

ICRA ANALYTICS LIMITED

Fleet Mobility Industry Assessment Report

June 2026



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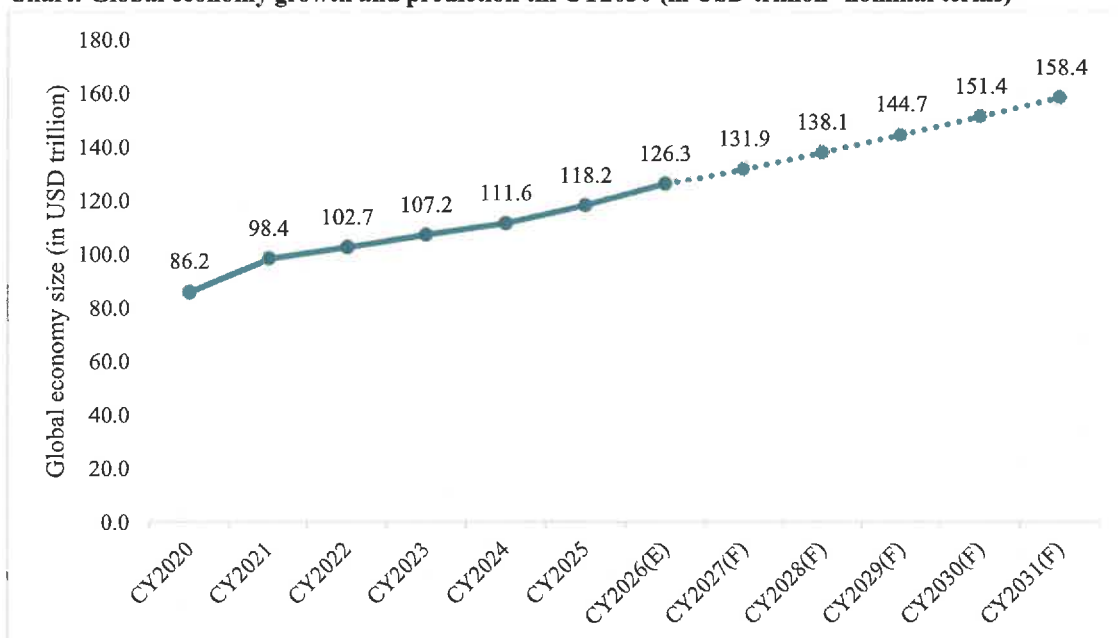
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1. Global macroeconomic overview

As per the International Monetary Fund (IMF), the size of global economy is projected to reach USD 126.3 trillion in CY2026 (in nominal terms) and continue to grow to USD 158.4 trillion in CY2031 (in nominal terms) at a CAGR of ~4.6%. According to the IMF's April 2026 World Economic Outlook, global economic momentum, which had shown resilience driven by strong labour markets, steady incomes and robust household consumption in major economies, has moderated amid heightened geopolitical tensions and energy supply disruptions. While disinflation had been progressing and inflation was nearing target levels in many advanced economies, renewed supply-side shocks particularly from elevated energy prices have slowed this trend. As a result, central banks remain cautious, with only limited and gradual shifts toward monetary policy easing, contingent on inflation becoming durably anchored and financial conditions stabilizing.

Chart: Global economy growth and prediction till CY2030 (in USD trillion- nominal terms)



Source: IMF (WEO April 2026), ICRA Analytics

CY2026 (E)- E is estimated

Note: F-Forecasted; data from CY2027-2031 are forecasted

As per the IMF, World Economic Outlook published in April 2026, the Global growth is anticipated to decrease from an estimated 3.4% in CY2025 to 3.1% in CY2026, subsequently rebounding to 3.2% in CY2027. This outlook is weaker than the projections presented in the World Economic Outlook Update of January 2026, with the IMF lowering global growth for CY2026 to 3.1 per cent, from earlier expectations of about 3.3-3.4 %. The downgrades are broad-based, affecting most advanced and emerging economies, and reflect the abrupt loss of growth momentum following heightened geopolitical tensions and trade disruptions, particularly those linked to energy supply shocks and trade route uncertainty.

The global economy is facing a complex mix of interconnected challenges, including geopolitical tensions, higher interest rates, elevated debt-to-GDP ratios, and limited monetary and fiscal policy flexibility. Together, these pressures are weighing on global GDP growth. Key factors include:

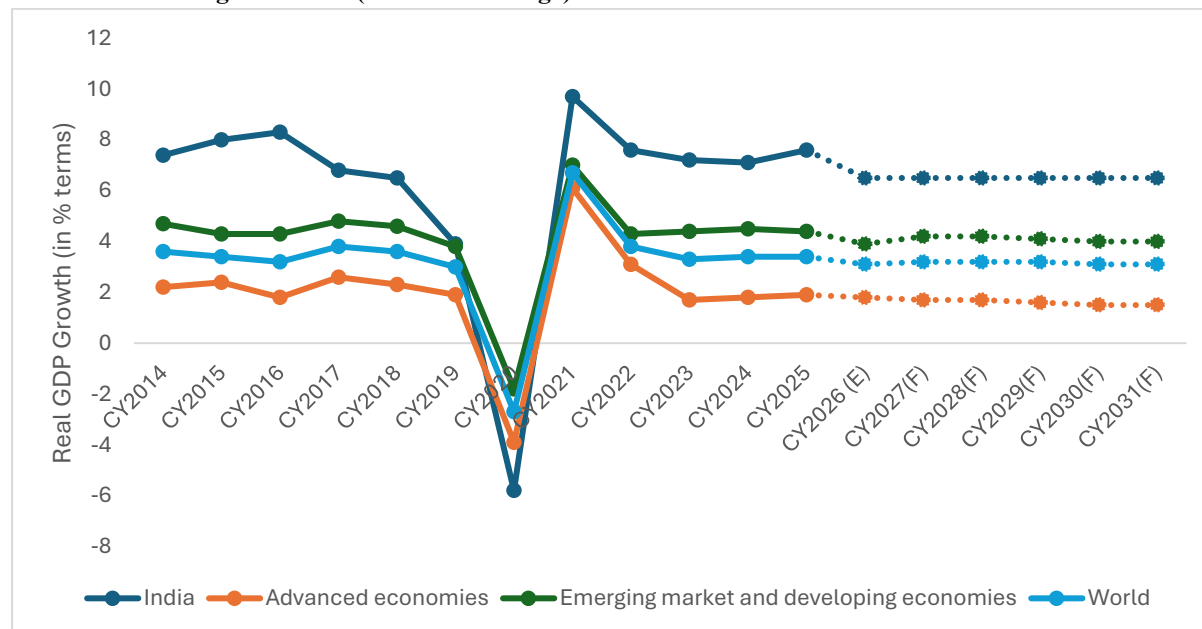
- **Inflationary Pressures:** Global headline inflation is projected at 4.4% in CY2026. Although inflation has eased from earlier peaks, it remains elevated due to energy shocks linked to the Middle East conflict. Inflation in advanced economies is expected to stay around 3-4%, while emerging markets may face higher price pressures of about 5-6%. Disinflation continues, but it remains vulnerable to renewed spikes in oil and gas prices, financial market disruptions, and worsening geopolitical tensions.



- Monetary & Fiscal Policies:** After tightening between 2022 and 2024, central banks are cautiously moving toward more neutral policy settings. However, with inflation still persistent, many are likely to keep policy tight well into 2026. In emerging markets, policy paths are diverging, as some central banks may be able to ease while others may delay due to inflation risks. Fiscal policy also remains constrained, with global public debt projected to approach 100% of GDP by 2028, limiting room for broad stimulus. The IMF therefore continues to emphasize targeted support, particularly for energy-importing emerging markets.
- Financial Market Volatility:** Financial market volatility rose sharply in early 2026 as investors repriced assets in response to changing inflation expectations and energy-related disruptions. This led to equity declines, higher bond yields, and wider risk spreads. Although markets have remained orderly so far, the IMF warns that prolonged shocks could create liquidity stress and trigger further volatility.
- Geopolitical Crises:** The IMF's April 2026 World Economic Outlook identifies the Middle East conflict, particularly disruptions around the Strait of Hormuz, as a major downside risk to global growth. These developments have contributed to the downgrade in global growth forecasts for CY2026. Rising military spending, trade fragmentation, and social instability in lower-income countries could add to these pressures and slow reform efforts.
- Commodity Price Increases:** Disruptions in the Strait of Hormuz and damage to regional energy infrastructure have pushed energy prices significantly higher. Under the base-case scenario, energy commodity prices are expected to rise by about 19% in 2026, contributing to headline inflation of 4.4%. If the conflict persists, inflation could climb above 5-6% and global growth could slow sharply to as low as 2-2.5%.

1.1 Global Economies and Growth Trend

Chart: Real GDP growth rate (annual % change) of India and other economies



Source: IMF, ICRA Analytics

Note: E-Estimated, CY2026 is estimated; F-Forecasted; data from CY2027-2031 are forecasted

Table: India v/s Other Economies (Real GDP, Y-o-Y % change)

Real GDP growth (Annual % change)	CY 2019	CY 2020	CY 2021	CY 2022	CY 2023	CY 2024	CY 2025	CY 2026(E)	CY 2027(F)	CY 2028(F)	CY 2029(F)	CY 2030(F)	CY 2031(F)
India*	3.9	-5.8	9.7	7.6	7.2	7.1	7.6	6.5	6.5	6.5	6.5	6.5	6.5
Advanced economies	1.9	-3.9	6.1	3.1	1.7	1.8	1.9	1.8	1.7	1.7	1.6	1.5	1.5
<i>United States</i>	2.6	-2.1	6.2	2.5	2.9	2.8	2.1	2.3	2.1	2.1	1.9	1.8	1.8
<i>China, People's Republic of</i>	6.1	2.3	8.6	3.1	5.4	5.0	5.0	4.4	4.0	4.0	3.7	3.3	3.3
<i>Canada</i>	1.9	-5.0	6.0	4.7	2.0	2.0	1.7	1.5	1.9	1.7	1.7	1.7	1.8
<i>Euro Area</i>	1.6	-6.0	6.4	3.6	0.4	0.9	1.4	1.1	1.2	1.4	1.2	1.1	1.1
<i>United Kingdom</i>	1.3	-10.0	8.5	5.1	0.3	1.1	1.3	0.8	1.3	1.6	1.6	1.5	1.4
Emerging market and developing economies	3.8	-1.8	7.0	4.3	4.4	4.5	4.4	3.9	4.2	4.2	4.1	4.0	4.0
World	3.0	-2.7	6.7	3.8	3.3	3.4	3.4	3.1	3.2	3.2	3.2	3.1	3.1

Source: IMF, ICRA Analytics

Note: E-Estimated, CY2026 is estimated; F- Forecasted; data from CY2027-2031 are forecasted, Advanced Economies includes United States, Germany, France, Japan, United Kingdoms, Canada and other developed countries. Emerging market and developing economies includes India, China, Saudia Arabia, Mexico, Vietnam and other developing economies.

*India's value in IMF document is given in terms of fiscal year. Eg- CY2020 is FY2021 for India

Global real GDP growth stood at ~3.4% in CY2025 and is expected to moderate to 3.1% in CY2026, before edging up to 3.2% in CY2027. The sharp escalation in trade tensions and exceptionally elevated policy uncertainty is expected to significantly weigh on global economic activity. Thereafter, growth is projected to remain broadly stable at around ~3.1% through CY2031, supported primarily by monetary policy easing and strong private consumption.

- **Growth trend in Advanced Economies**

- Real GDP growth in advanced economies was about 1.9% in CY2025 and is projected to ease to around 1.8% in CY2026 and 1.7% in CY2027, before gradually moderating to about 1.5% by CY2031. In the United States, growth was about 2.1% in CY2025 and is expected to rise to around 2.3% in CY2026, supported by gradual expansion despite persistent policy and trade-related uncertainty. It is then projected to soften to about 2.1% in CY2027 and stabilize at roughly 1.8% through CY2031.
- Europe recovered from GDP growth of 0.9% in CY2024 to 1.4% in CY2025, but growth is expected to slow to 1.1% in CY2026 before improving slightly to 1.2% in CY2027. Within the Euro area, France, Italy, and Spain recorded growth of 0.9%, 0.5%, and 2.8%, respectively, in CY2025 and are expected to post similar rates in CY2026. Germany grew by 0.2% in CY2025 and is projected to improve to 0.8% in CY2026.
- Among other advanced economies, the United Kingdom recorded real GDP growth of about 1.3% in CY2025. Growth is expected to slow to around 0.8% in CY2026 before returning to about 1.3% in CY2027.

- **Growth trend in emerging market and developing economies**

- Real GDP growth in emerging market and developing economies was 4.4% in CY2025 and is projected to slow to 3.9% in CY2026 before recovering to 4.2% in CY2027, with notable downgrades for countries most affected by recent trade measures, including China. Growth in emerging and developing Asia is expected to moderate from about 5.5% in CY2025 to around 4.9%. The region, especially ASEAN economies, has been among the hardest hit by the latest tariff changes.

- In Sub-Saharan Africa, GDP growth was a healthy 4.5% in CY2025 and is projected at 4.3% in CY2026. Within the region, South Africa and Nigeria grew by 1.1% and 4.0%, respectively, in CY2025, and are expected to record about 1.0% and 4.1%, respectively, in CY2026.
- By contrast, growth in emerging and developing Europe stood at about 2.0% in CY2025 and is projected to remain broadly stable at around 2.0% in CY2026. In Latin America and the Caribbean, real GDP growth is expected to edge down from about 2.4% in CY2025 to 2.3% in CY2026, before improving to around 2.7% thereafter.
- **Growth trend in India**
 - India remains the fastest-growing major economy. Real GDP growth moved from about 7.2% in CY2023 to 7.1% in CY2024, before rising to 7.6% in CY2025. According to the IMF, growth is projected at around 6.5% in both CY2026 and CY2027, supported by private consumption, particularly in rural areas. This momentum is expected to remain broadly stable through CY2031, with growth holding near 6.5%.

2. Domestic Economic overview

2.1 Trend in GDP growth in India and its Outlook

India's real Gross Domestic Product (GDP) is projected to grow by 7.7% in FY2026, according to the Provisional Estimates (PE) released by the National Statistical Office (NSO), Ministry of Statistics and Programme Implementation (MoSPI), in June 2026. This represents a marginal upward revision from the earlier estimate of 7.6% published in February 2026. With this revision, real GDP is estimated to reach INR 322.12 trillion.

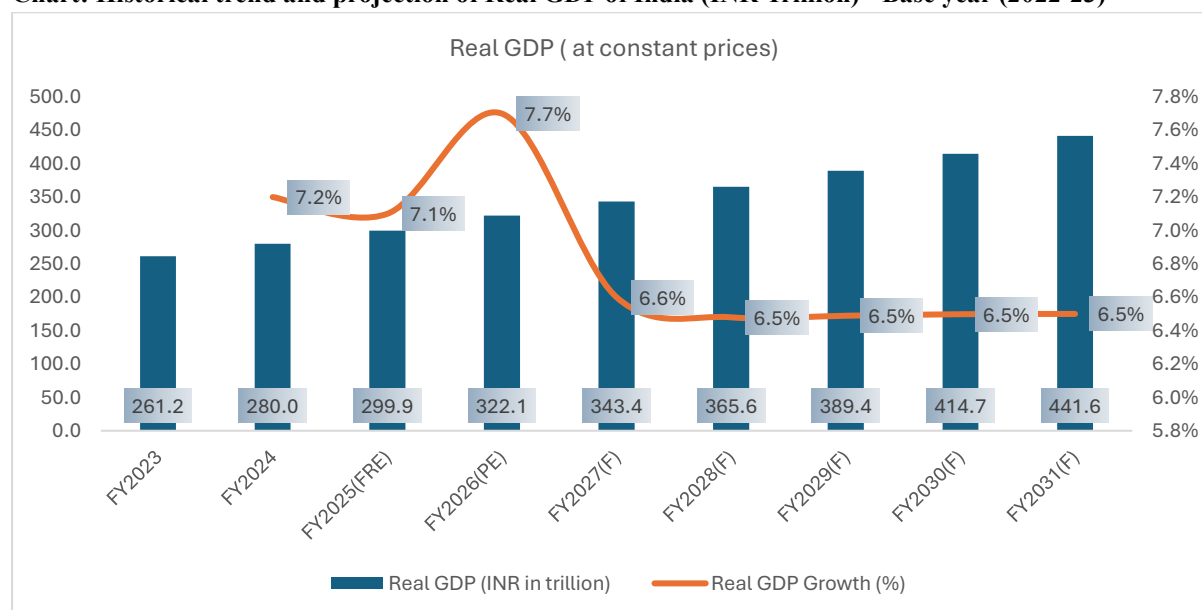
In FY2025, India's real GDP grew by 7.1%, compared with 7.2% in FY2024. This made FY2025 the third consecutive year in which real GDP growth remained at or above 7.0%, underscoring the economy's sustained resilience.

This growth momentum has been supported by several factors:

- **Strong domestic demand:** Resilient private consumption and sustained public capital expenditure have remained key growth drivers.
- **Sectoral strength:** Improved data coverage in the revised series points to a stronger contribution from the manufacturing and services sectors.
- **Structural reforms:** Measures such as digitalisation, GST-led formalisation, and continued emphasis on infrastructure development have reinforced economic activity.
- **External and productivity support:** India's increasing participation in global value chains, rising foreign investment inflows, and greater focus on innovation and productivity have further strengthened the growth outlook.

The International Monetary Fund (IMF) also expects India to remain the world's fastest-growing major economy, projecting annual growth of 6.5% from FY2028 to FY2031.

Chart: Historical trend and projection of Real GDP of India (INR Trillion) - Base year (2022-23)



Source: RBI, IMF, ICRA Analytics

Note: F-Forecasted; E- Estimated

Data for FY2027 is forecasted from RBI; Data from FY2028-2031F are forecasted from IMF

FY2025 (FRE) is the First Revised Estimates, FY2026(PE) is the Provisional Estimates, released by the National Statistical Office (NSO)

The Reserve Bank of India's (RBI) Monetary Policy Committee (MPC), in its policy announcement on 5 June 2026 delivered by Governor Sanjay Malhotra, revised India's real GDP growth forecast for FY2026-27 to 6.6%, down from the 6.9% estimate projected in April 2026.

This downward revision reflects increasing external pressures, including elevated global energy prices, persistent geopolitical tensions in West Asia, disruptions in supply chains, and weather-related uncertainties such as the possibility of a sub-normal monsoon.

The quarterly growth projections were also adjusted downward, with GDP growth now expected at 6.6% in Q1, 6.3% in Q2, 6.5% in Q3, and 6.8% in Q4 of FY2026-27.

Despite these revisions, the RBI emphasized that the domestic economy remains resilient. Strong private consumption, consistent fixed investment, robust services exports, and a gradual improvement in manufacturing activity continue to support overall economic momentum.

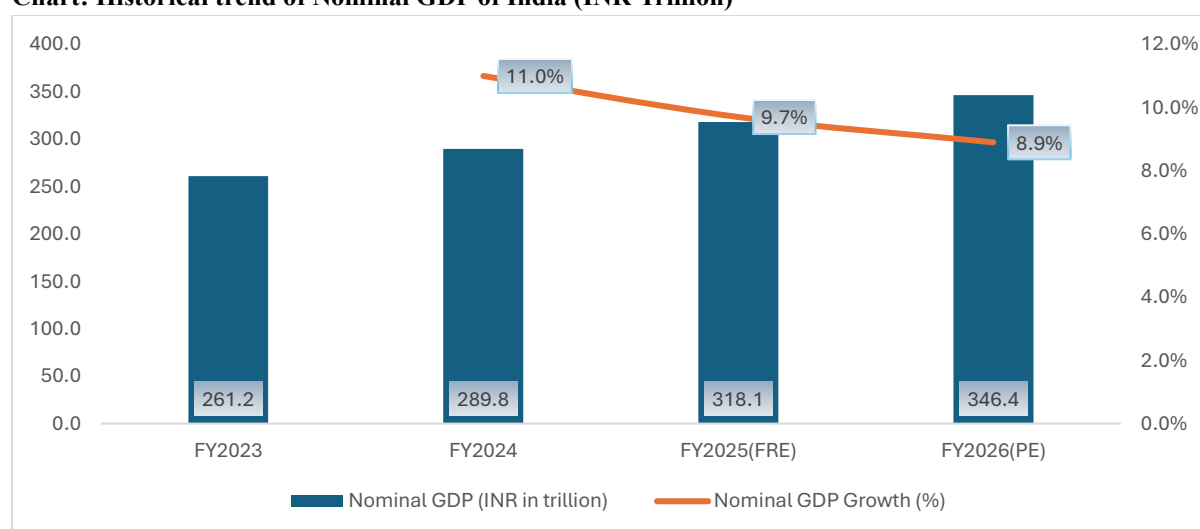
Overall, the June 2026 policy assessment presents a more cautious and pragmatic growth outlook, balancing solid domestic fundamentals against rising global and supply-side risks, while indicating a gradual moderation from the elevated growth levels seen in recent years.

Table: Real GDP growth forecasted by Reserve Bank of India

Real GDP Growth (at constant 2011-12 prices)	FY2026 E	FY2027 F				FY2027 F
% change	(E)	Q1 (F)	Q2 (F)	Q3(F)	Q4 (F)	(F)
GDP at market prices	7.7*	6.6	6.3	6.5	6.8	6.6

F- Forecasted; E- Estimated
Source: RBI, ICRA Analytics

Chart: Historical trend of Nominal GDP of India (INR Trillion)



Source: RBI, ICRA Analytics

Note: FY2025 (FRE) is the First Revised Estimates, FY2026(PE) is the Provisional Estimates, released by the National Statistical Office (NSO)

India's nominal GDP has recorded consistent growth from FY2023 to FY2026 (PE), marking a strong recovery following the pandemic-induced slowdown. Starting at INR 261.2 trillion in FY2023, it is projected to reach INR 346.4 trillion by FY2026, reflecting a robust compound annual growth rate (CAGR) of 7.3% over the four-year period.

The estimated year-on-year growth of 8.9% in FY2025-26 underscores strengthening aggregate income levels, supported by broad-based economic activity and rising nominal demand.

2.2 Trend in Private Final Consumption Expenditure (PFCE)

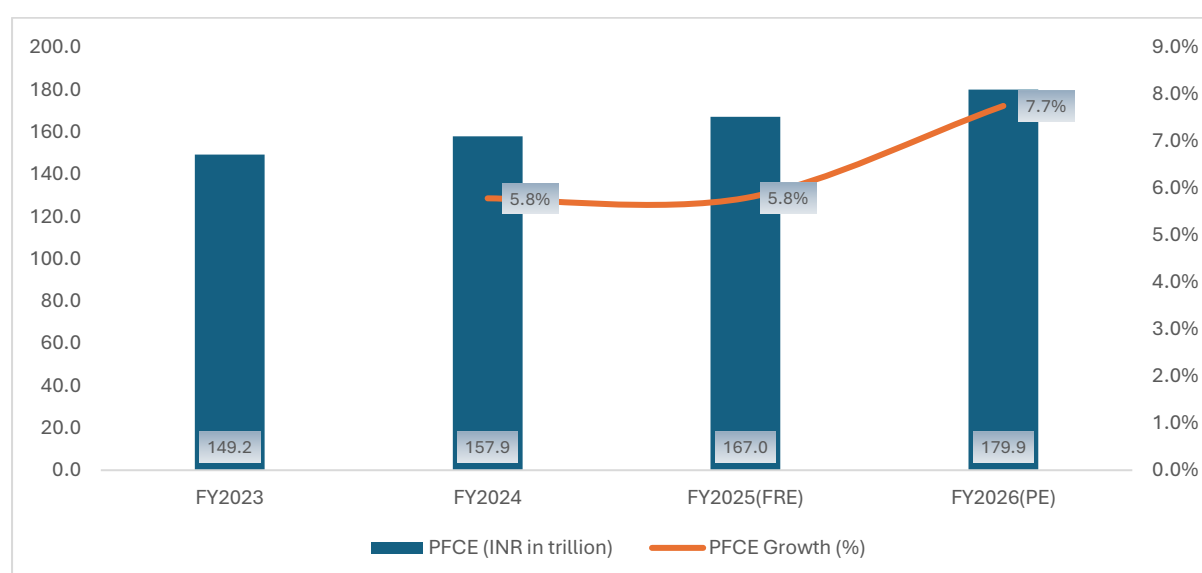
Private Final Consumption Expenditure (PFCE) at constant (2022-23) prices is estimated to have risen consistently from INR 166.99 trillion in FY2025 to INR 179.93 trillion in FY2026, indicating a steady increase in real consumer spending. On a year-on-year (YoY) basis, PFCE growth accelerated to 7.7% in FY2026 over FY2025, reflecting stronger consumption demand and an improvement in overall economic momentum.

This growth in private consumption is driven by a combination of structural and cyclical factors, including the expansion of the middle-class population, rising disposable incomes that enhance spending capacity, and improved access to credit and financing options, which support both consumption and asset creation. Government initiatives such as the Pradhan Mantri Awas Yojana and Ayushman Bharat Yojana have also contributed to sustaining consumption levels.

Additionally, advancements in technology, along with the increasing penetration of digital payments and financial innovations, have streamlined consumption patterns and improved spending efficiency.

Private consumption remains a key contributor to India's GDP, and its continued expansion plays a crucial role in driving economic growth. The rising YoY growth trend highlights the resilience of domestic demand and points to a positive outlook for the broader economy.

Chart: Historical trend of India's Private Final Consumption Expenditure (PFCE) (INR Trillion) - Base year (2022-23)



Source: MOSPI, RBI, ICRA Analytics

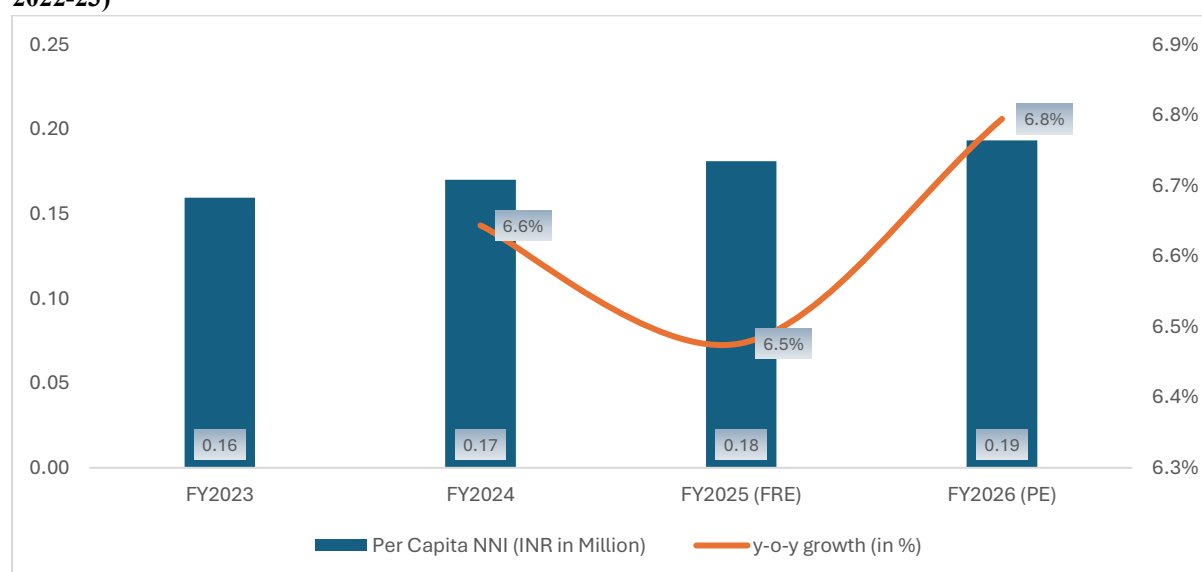
Note: FY2025 (FRE) is the First Revised Estimates, FY2026(PE) is the Provisional Estimates, released by the National Statistical Office (NSO)

2.3 Trend in Per capita Net National Income (NNI)

As per the latest estimates from the Ministry of Statistics and Programme Implementation (MoSPI), India's per capita Net National Income (NNI) at constant (2022-23) prices rose to INR 0.19 million in FY2026 (PE) from INR 0.18 million in FY2025, reflecting a year-on-year growth of 6.8%.

The increase in per capita income is expected to have a transformative impact on the country's economic trajectory. Growth is likely to be driven by a combination of expanding external trade, strengthening household consumption, and rising investment activity. As income levels improve, the middle-class base is expected to expand significantly, creating new opportunities across various sectors. This, in turn, will enhance living standards, boost savings, and support higher capital formation, thereby reinforcing the pace as well as the sustainability of overall economic growth.

Chart: Per Capita NNI (INR in Million) trend and y-o-y growth (in %), FY2023 to FY2026 (Base Year: 2022-23)

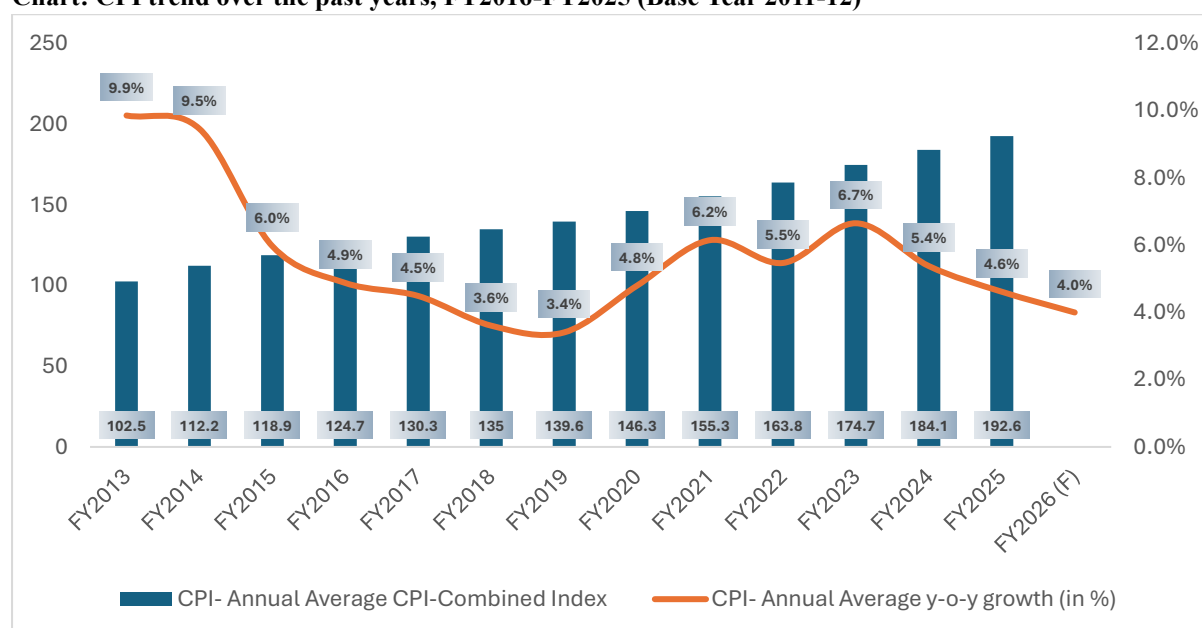


Source: MOSPI, ICRA Analytics

Note: FY2025 (FRE) is the First Revised Estimates, FY2026(PE) is the Provisional Estimates,

2.4 Review of inflation in India

Chart: CPI trend over the past years, FY2016-FY2025 (Base Year 2011-12)



Source: RBI, MOSPI, ICRA Analytics

Note: F-Forecasted

Retail inflation in India, as measured by the Consumer Price Index (CPI), which reflects the cost of everyday goods and services, has exhibited a steady downward trend over the past three financial years. Inflation moderated from 6.7% in FY2023 to 5.4% in FY2024, and further to 4.6% in FY2025. This sustained decline underscores the combined impact of the Reserve Bank of India's calibrated monetary policy and the Government of India's targeted measures to address supply-side constraints and stabilise essential commodity prices. The easing inflation trajectory has helped reduce cost-of-living pressures and contributed to a more stable macroeconomic environment.

In its policy announcement on 5 June 2026, the Monetary Policy Committee (MPC) of the RBI retained the repo rate at 5.25%, maintaining a neutral stance, while revising its inflation projections for FY2026-27 and the near-term quarters:

- FY2026-27 CPI projection: raised to 5.1% from the earlier 4.6%
- Q1 FY27: revised to 4.2% (from 4.0%)
- Q2 FY27: updated to 5.1% (from 4.4%)
- Q3 FY27: now projected at 5.9% (from ~5.2%)
- Q4 FY27: increased to 5.4% (from ~4.7%)

On the supply side, the MPC reiterated that core inflation (excluding precious metals) remains well-contained. This stability is supported by favourable food dynamics, including robust kharif output, adequate buffer stocks, strong rabi sowing, and healthy reservoir levels.

Overall, the revised policy stance and inflation outlook suggest that, while current inflationary pressures remain moderate, the trajectory for FY2027 has shifted upward. There is no clear easing bias, and the RBI has indicated a data-dependent, meeting-by-meeting approach, with readiness to respond proactively to persistent inflationary pressures and evolving external risks.

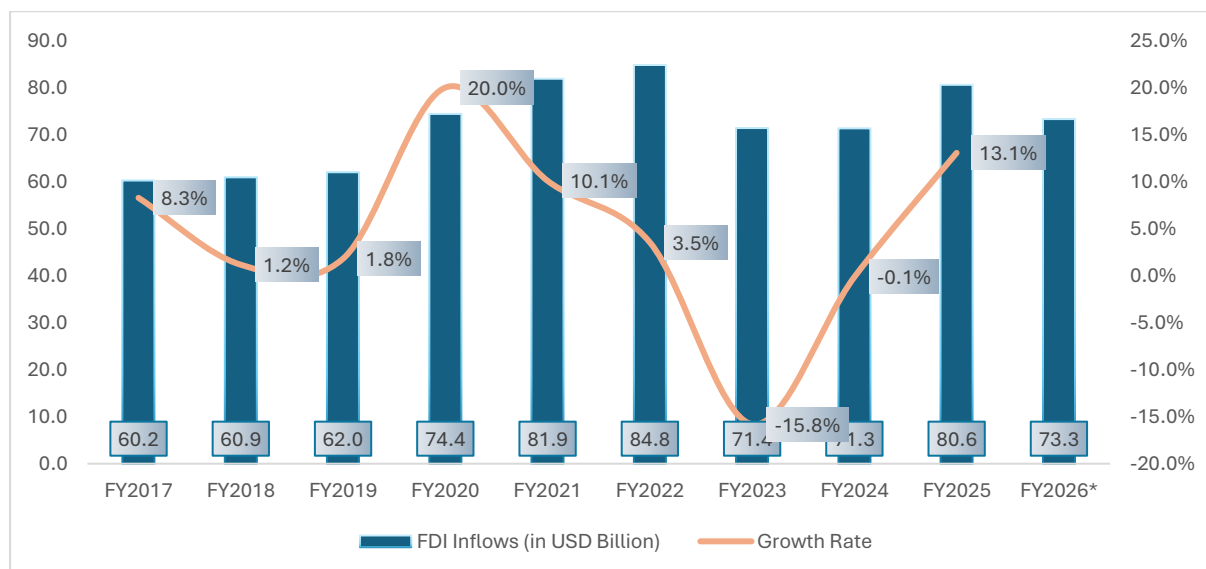
2.5 Review of Foreign Direct Investments (FDI) in India

India has emerged as a key global destination for foreign direct investment over the past decade, supported by economic reforms, a large consumer market, and improving ease of doing business. Between FY2017 and FY2022, FDI inflows witnessed steady growth from around USD 60.2 billion in FY2017 to a peak of ~USD 84.8 billion in FY2022, driven by strong investments in services, digital platforms and manufacturing.

However, in the subsequent period, inflows showed some moderation due to global uncertainties and normalization after pandemic-related spikes. FDI declined to about USD 71-72 billion in FY2023 and FY2024, reflecting weaker global investment conditions.

The trend reversed in FY2025, with inflows rising significantly to USD 80.6 billion, marking a 13.1% year-on-year increase and indicating renewed investor confidence. Further, FY2026 (latest estimates) indicate a continued strong trajectory, with gross FDI inflows reaching a record ~USD 94-95 billion, highlighting India's resilience despite global headwinds.

Chart: FD Inflows (in USD Billion) trend over the past years, FY2017-FY2026



Source: Department for Promotion of Industry and Internal Trade (DPIIT), ICRA Analytics

Note: *(April - December 2025)

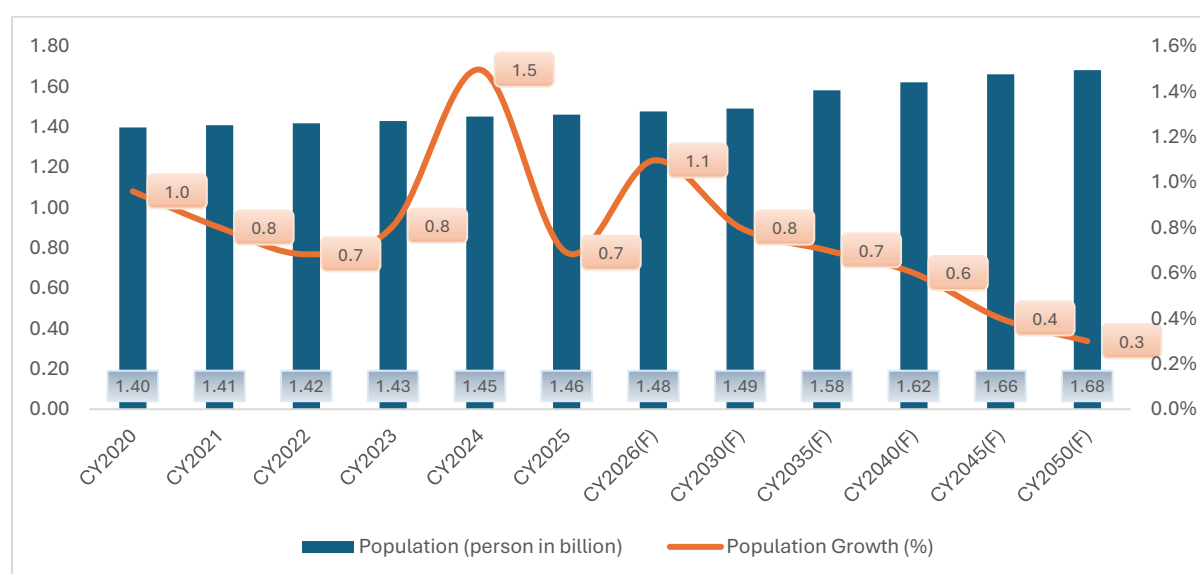
2.6 Key Demographic Indicators Overview in India

2.6.1 Demographic overview of India

India, the world's seventh-largest country by land area, has a population of about 1.46 billion as of CY2025 (IMF WEO, April 2026), making it the most populous country and accounting for roughly 18.1% of the global population of 8.05 billion. According to the World Population Review, India has a relatively young demographic profile, with a median age of 28 years, compared to 38 years in China and the United States, and 48 years in Japan. With its large and growing population, along with increasing emphasis on skill development, literacy and education, India holds strong potential to emerge as a major economic powerhouse.

Population growth trend and outlook

Chart: India's population trend and forecast (persons in billions) with y-o-y growth (in %)



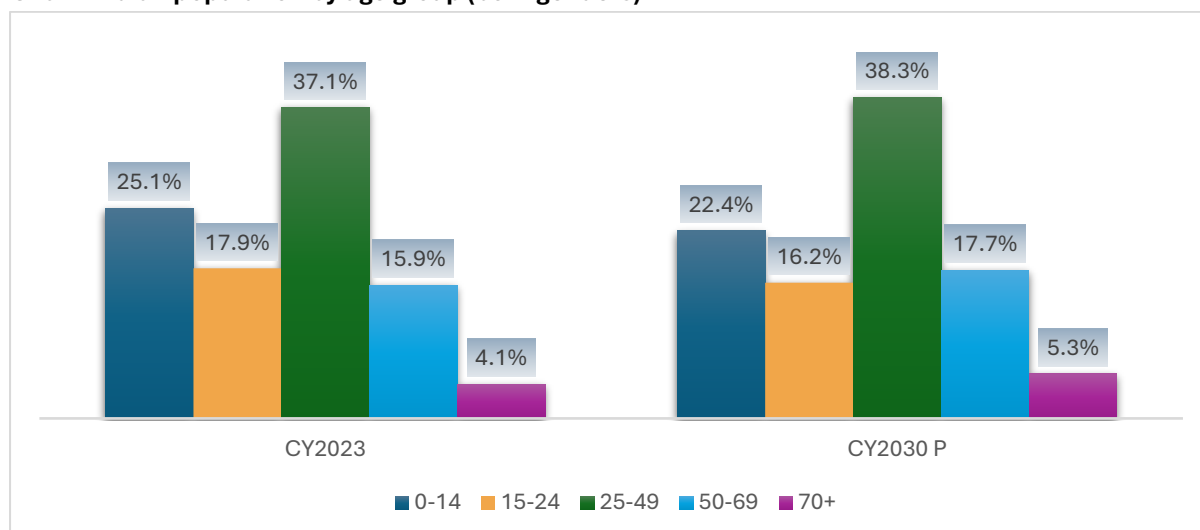
Source: IMF, Worldometer, ICRA Analytics

Note: F: Forecasted

In CY2026, India's population is projected to rise further to approximately 1.48 billion (IMF WEO, April 2026), sustaining its position as the world's most populous country after overtaking China in CY2024. Over the past decade, India's population growth rate has steadily moderated, influenced by factors such as increasing urbanization, higher levels of education, and gradual poverty reduction. Looking ahead, population growth is expected to stabilise at a slower pace, with growth estimated at 1.1% in CY2026, easing to 0.9% in CY2027.

In the long term, this trend of gradual deceleration is expected to continue, with the growth rate projected to decline to 0.7% by CY2035 and further to 0.6% by CY2040, indicating a sustained but moderating expansion of India's demographic base.

Chart: Indian population by age group (both genders)

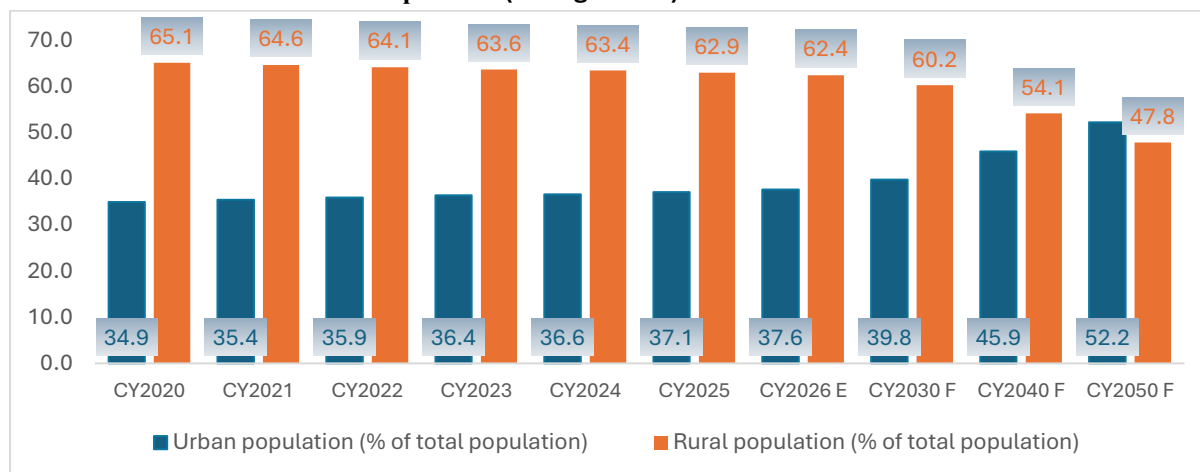


Note: P: Projected

Source: UN Department of Economic and Social Affairs, World Population Prospects 2024, ICRA Analytics

The population aged below 25 years is projected to account for approximately 38.6% of India's total population by CY2030, creating a substantial pool of potential consumers, particularly for sectors such as travel and tourism. Additionally, the share of the population in the 25-49 age group stood at around 37% in CY2023 and is expected to increase to ~38% by CY2030, reflecting strong prospects for higher earning capacity and disposable income. The expanding proportion of working-age individuals, combined with overall economic growth, is likely to broaden the consumer base for industries such as entertainment, cruising, and lifestyle products, thereby supporting increased spending in consumer-driven sectors. Rising disposable incomes are also expected to drive higher expenditure on luxury and leisure, as consumers focus on enhancing their quality of life and lifestyle experiences.

Chart: Urban V/s Rural Indian Population (both genders)



Source: Worldometer, ICRA Analytics

Note: E-Estimated, F: Forecast

India's urban population has been steadily rising and is expected to maintain this trajectory alongside economic growth. According to Worldometer data, the share of people living in cities is projected to increase from about 34.9% in CY2020 to nearly 40% by CY2030. This growth is driven by migration from rural areas, as individuals and families relocate to cities in search of improved employment opportunities, education and living standards. Migration may involve entire households or specific members, such as working individuals or students.

This demographic shift expands the addressable market for businesses targeting urban consumers, especially in sectors such as retail, luxury goods and services. At the same time, the narrowing gap between rural and urban consumption expenditure indicates rising purchasing power in rural areas. As a result, demand for products and services such as entertainment, fast-moving consumer durables (FMCD), and fast-moving consumer goods (FMCG) which were traditionally associated with urban markets, is also growing in rural India.

2.6.2 Growth Trends in India's Transportation and Mobility Services Sector

Chart: Gross Value Added of Transport, Storage, Communication and Broadcasting-Related Services (Constant Prices, INR Billion) (Base Year: 2011-12)



Source: National account statistics 2025, Ministry of Statistics and Programme Implementation (MoSPI), ICRA Analytics

Note: FE: Final estimates, FRE: Final revised estimates

Table: % share of total GVA of Transport, storage, communication & services related to broadcasting at Constant Basic Prices (Base Year 2011-12)

	FY 2019	FY 2020	FY 2021	FY 2022	FY 2023 (FE)	FY 2024 (FRE)
Railways	0.7	0.6	0.5	0.6	0.6	0.6
Road transport	3.3	3.3	2.5	3.1	3.0	2.9
Water transport	0.1	0.1	0.1	0.1	0.1	0.1
Air transport	0.1	0.1	0.0	0.0	0.1	0.1
Services incidental to transport	0.7	0.7	0.6	0.6	0.6	0.6
Storage	0.1	0.1	0.1	0.1	0.1	0.1
Communication & services related to broadcasting	1.5	1.7	1.7	1.7	1.8	1.8
Transport, storage, communication & services related to broadcasting	6.5	6.5	5.6	6.2	6.3	6.2

Source: National account statistics 2025, Ministry of Statistics and Programme Implementation (MoSPI), ICRA Analytics

Note: FE: Final estimates, FRE: Final revised estimates

The transport, storage, communication and services related to broadcasting sector contributed between 5.6% and 6.5% to India's total GVA during FY2019-FY2024, indicating a relatively stable share over time. The sector witnessed a temporary decline to 5.6% in FY2021 from 6.5% in FY2020, reflecting the disruption caused by the pandemic, but recovered to 6.2% in FY2022 and remained broadly steady thereafter.

Within the sector, road transport accounted for the largest share, although it moderated from 3.3% in FY2019 to 2.9% in FY2024. In contrast, communication and broadcasting-related services increased from 1.5% to 1.8% over the same period, highlighting the rising importance of digital and communication-led activities. Other segments such as railways and services incidental to transport remained stable, while water transport, air transport and storage continued to contribute only marginally.

2.7 Key Union Budget 2026-27 Announcements Relevant to the Transport and Tourism Sector

- **Strengthening Transport Infrastructure and Connectivity**

Transport infrastructure continues to be a pivotal enabler of tourism-led economic growth under the Union Budget 2026-27 framework. Strategic investments are focused on enhancing accessibility, sustainability, and seamless multimodal mobility across key tourist corridors.

- **Rail and regional connectivity expansion:** Accelerated development of high-speed rail corridors, semi-high-speed networks (e.g., Vande Bharat expansion), and enhanced last-mile rail connectivity to remote, aspirational, and emerging tourist destinations, including hill stations, heritage sites, and coastal regions.
- **Electric bus deployment and green mobility:** Scaled deployment of electric buses and EV-based public transport systems in major tourism hubs, pilgrimage circuits, and eco-sensitive zones to promote low-emission, sustainable travel experiences.
- **Integrated transport planning:** Greater convergence between transport infrastructure planning and tourism development through coordinated efforts across ministries to ensure seamless multimodal connectivity (rail, road, air, inland waterways) and improved first- and last-mile access.
- **Road infrastructure and tourism corridors:** Continued expansion of national highways, expressways, and border roads under flagship programs to improve access to high-potential tourism regions, including heritage circuits, wildlife reserves, and spiritual destinations.
- **Regional air connectivity (UDAN expansion):** The UDAN scheme has significantly improved regional air connectivity by making air travel affordable and accessible to a wider population. Under its revamped framework, it aims to connect 120 additional destinations and serve nearly four crore passengers over the next decade. The initiative focuses on developing airports, helipads, and landing infrastructure in remote areas particularly in hilly regions, aspirational districts and the Northeast to bridge connectivity gaps, boost tourism, and support inclusive economic growth.
- **Multimodal transport hubs:** Development of integrated transport hubs combining railway stations, bus terminals, and airports to enable seamless transfers and improve overall traveller convenience and experience.
- **Digital and smart mobility solutions:** Deployment of intelligent transport systems (ITS), unified ticketing platforms, and real-time passenger information systems to enhance efficiency, transparency, and ease of travel for tourists.
- **Urban mobility improvements in tourism cities:** Investment in metro rail expansion, ropeways in hilly terrain, and pedestrian-friendly infrastructure in key tourist cities to improve intra-city mobility and visitor experience.

- **Tax Slab Revisions and Demand Stimulus**

The increase in the personal income tax exemption threshold to INR 12 lakh is expected to boost disposable incomes for middle-income households, driving higher consumption and discretionary spending. As the middle class is a key contributor to domestic tourism demand, this measure is likely to stimulate increased spending on travel and experiential tourism segments.

- **Strengthening tourism-led employment and economic growth through a focus on sustainability, heritage development, and improved connectivity in Budget 2026-27**

- The tourism sector in India, recognized for its rich heritage, cultural diversity and strong multiplier effect, receives a significant strategic boost under the Union Budget 2026-27.
- Acknowledged as a key driver of employment generation, foreign exchange earnings, and balanced regional development, tourism contributes 5.22% to India's GDP (total impact), with a direct share of 2.72%, and supports 13.34% of total employment. This underscores its vital role in fostering inclusive growth, as highlighted in the India Tourism Data Compendium 2025 by the Ministry of Tourism.
- The Budget positions tourism as a high-impact sector by prioritizing destination development, sustainability, skill enhancement, and connectivity, with targeted measures aimed at enhancing service quality and global competitiveness.
- Initiatives such as the development of Buddhist tourism circuits in the North-East, eco-tourism trails, and upgrades to heritage destinations are expected to transform India into a more immersive, experience-driven tourism hub.

- **Measures to Facilitate Employment Led Growth**

The government's focus on employment-led growth includes strengthening hospitality education through upgraded institutions, along with large-scale skill development initiatives such as training 10,000 tourist guides and continuing CBSP and IITF programmes. These measures aim to enhance workforce capabilities, improve service quality, and generate employment opportunities across tourism-dependent regions.

2.8 Overview of India's Road Infrastructure and National Highway Network

2.8.1 Contribution of the Road Transport Sector to India's Gross Value Added

The road transport sector's contribution to India's Gross Value Added (GVA) has remained relatively stable over the years, albeit with some fluctuations driven by macroeconomic conditions. Its share stood at 2.54% in FY2023, compared to 3.07% in FY2022 and a pandemic-induced low of 2.51% in FY2021. Over the broader period from FY2019 to FY2025 (First Revised Estimates), the sector's share has ranged between 2.41% and 3.28%, indicating moderate but consistent participation in the overall economy.

In absolute terms, road transport GVA at constant prices has shown a strong recovery and growth trajectory post-pandemic, increasing from INR 3,179.0 billion in FY2021 to INR 6,047.2 billion in FY2023, and further to INR 6,593.4 billion in FY2025 (FRE). This upward trend reflects rising demand for passenger and freight movement, supported by improvements in road infrastructure and economic activity across sectors.

Table: Contribution of the Road Transport Sector to India's Gross Value Added (% change)

GVA (at constant prices)	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025 (FRE)
Road transport share in GVA (%)	3.28%	3.27%	2.51%	3.07%	2.54%	2.49%	2.41%
Road transport (INR Billion)	4,175.4	4,321.6	3,179.0	4,267.1	6,047.2	6,350.5	6,593.4

Source: Ministry of Statistics & Programme Implementation, GOI & PIB, National Accounts Division, National Statistics Office, ICRA Analytics

Note: FRE - First Revised Estimates

2.8.2 Road Infrastructure Landscape in India

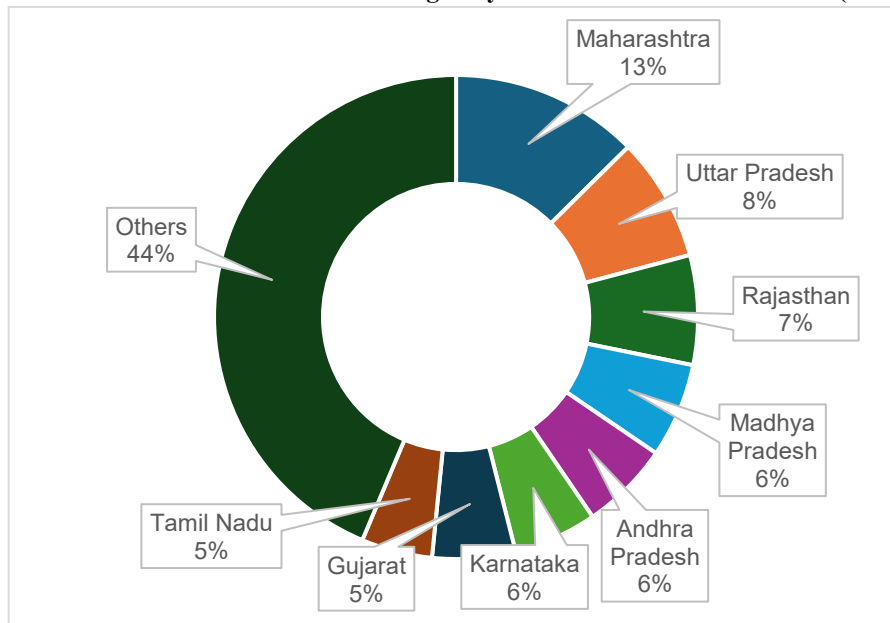
India has developed one of the world's largest road networks, spanning approximately 63.74 lakh kilometres. The network comprises National Highways, Expressways, State Highways, Major District Roads, Other District Roads, and Village Roads, providing critical connectivity for passenger mobility, freight transportation, tourism, and economic development across the country.

Table: Classification of India's Road Network and Connectivity Coverage

Road Category	Network Length ('000 km)	Key Connectivity Served
National Highways	146.57 (FY2026)	National capital, state capitals, major ports, border trade routes, and strategic economic corridors
State Highways	178.75 (FY2020)*	Major commercial and administrative centers within states and links to National Highways
Other Roads	6,048.26 (FY2020)*	District roads, rural roads, agricultural production centers, markets, railway stations, and local connectivity networks

Source MoRTH Annual Report 2025-26 , *Basic Road Statistics of India (2019-20), ICRA Analytics

Chart: State-wise Distribution of National Highway Network in India as of FY26 (Till Dec' 25)



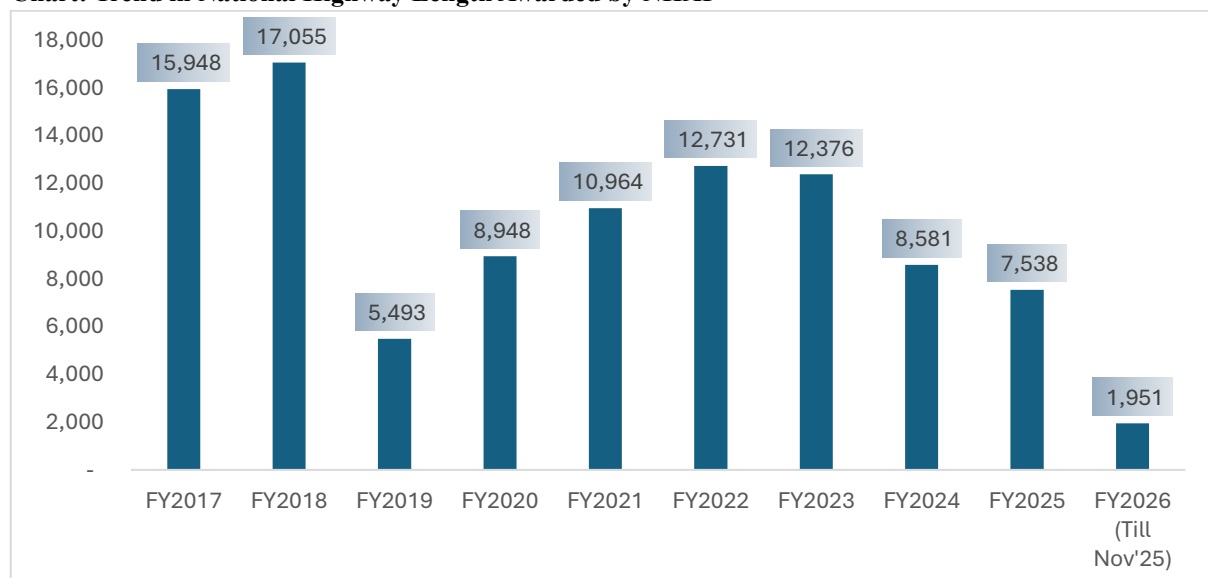
Source: MoRTH Annual Report 2025-26, ICRA Analytics

- **NHAI Awarding Activity in FY26**

Awarding activity has exhibited considerable variability over the past decade, peaking at 17,055 km in FY2018 and 15,948 km in FY2017, before declining to 5,493 km in FY2019. It subsequently recovered to 12,731 km in FY2022 and 12,376 km in FY2023. However, the pace has moderated in recent years, with awards decreasing to 8,581 km in FY2024 and further to 7,538 km in FY2025, with only 1,951 km awarded as of November FY2026.

This slowdown reflects underlying challenges, including cost overruns in key programmes such as Bharatmala Pariyojana Phase I, driven by elevated land acquisition costs and inflationary pressures. As a result, overall project costs have risen significantly above initial estimates, necessitating revised approvals and additional funding support.

Chart: Trend in National Highway Length Awarded by NHAI



- **NHAI has demonstrated consistent execution progress over the years**

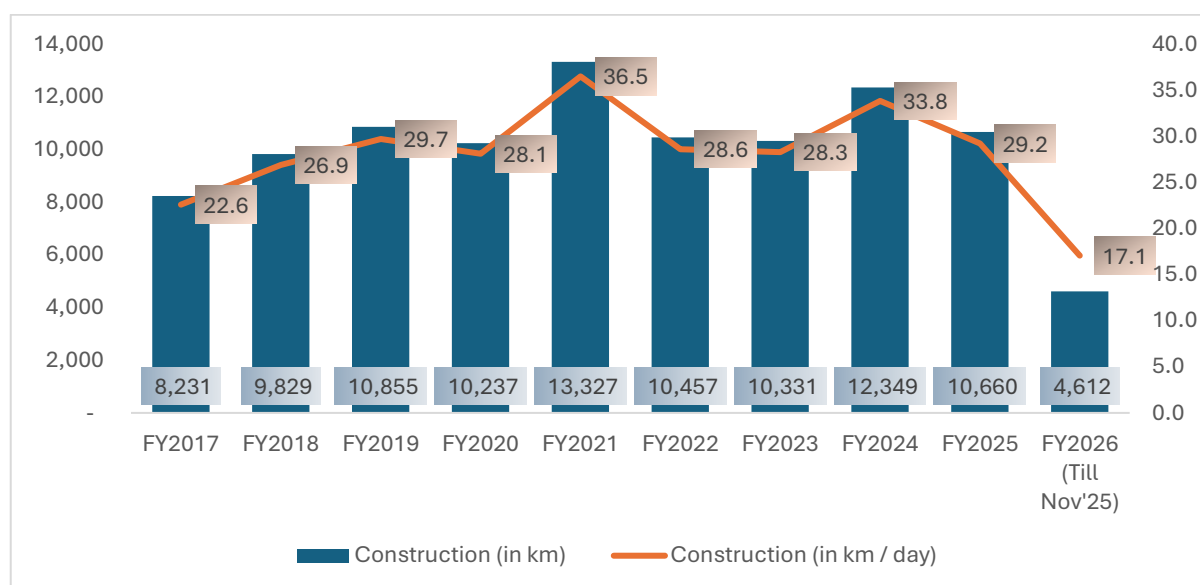
NHAI's execution has demonstrated strong momentum over the years, supported by a sustained focus on faster project delivery and improved operational efficiency. Highway construction activity increased significantly from 8,231 km in FY2017 to a peak of 13,327 km in FY2021, reflecting the accelerated pace of infrastructure development across the country.

While execution levels moderated in the subsequent years, construction activity remained robust, with 10,331 km completed in FY2023 and further improving to 12,349 km in FY2024, translating to an execution pace of nearly 33.8 km per day. This growth was driven by better project preparedness, timely achievement of appointed dates, and policy measures aimed at expediting land acquisition, streamlining approvals, and providing liquidity support to EPC contractors under initiatives such as Atmanirbhar Bharat.

However, execution momentum softened to 10,660 km in FY2025 (approximately 29.2 km per day) and further declined to 4,612 km as of November FY2026 (around 17.1 km per day), indicating a near-term moderation in pace. This slowdown was primarily attributable to relatively lower project awards in earlier periods, along with execution-related challenges arising from cost inflation and increasing project complexity.

Despite this recent moderation, the sector continues to benefit from a strong project pipeline and healthy order books. Over the medium term, improved awarding activity, greater private sector participation, and continued government focus on infrastructure development are expected to support stabilization and a gradual recovery in execution momentum.

Chart: NHAI Highway Development Progress: Length Constructed/Upgraded (km)



3. Overview of the Indian Cab and Coach Rental Market with Focus on Luxury Transportation Services

The cab and coach rental industry in India forms an important component of the country's broader transportation and mobility services sector, providing temporary access to passenger vehicles for a diverse customer base including individual travellers, corporate organizations, educational institutions, government agencies, travel operators, and event management companies. The industry caters to a wide range of mobility requirements, spanning short-distance urban travel, intercity transportation, airport transfers, employee transportation, tourism-related travel, event mobility, and organized group transportation.

Over the years, the industry has evolved beyond traditional vehicle hiring and now encompasses a comprehensive range of mobility solutions including chauffeur-driven transportation, self-drive rentals, corporate travel services, conference and exhibition transportation, wedding mobility, VIP transfers, and customized travel arrangements. Service providers maintain fleets across multiple vehicle categories, enabling them to cater to varying customer requirements in terms of budget, group size, travel purpose, and comfort preferences. Customers typically access these services through online booking platforms, mobile applications, travel agencies, corporate contracts, and direct fleet operator relationships, with digitalization significantly enhancing booking convenience, fleet visibility, and service management capabilities.

The coach rental segment primarily serves larger passenger groups and includes vehicles such as vans, tempo travellers, minibuses, executive coaches, and luxury buses. These services are widely utilized for corporate outings, educational tours, destination weddings, religious pilgrimages, sightseeing tours, conferences, exhibitions, sporting events, and long-distance group travel. Operators generally offer a range of seating capacities and service levels, from standard transportation solutions to premium luxury coaches equipped with enhanced comfort, connectivity, and entertainment amenities.

Within the broader industry, the luxury cab and coach rental segment has emerged as one of the fastest-growing categories, supported by rising disposable incomes, increasing business travel, expanding tourism activity, growth in destination weddings and premium events, and evolving consumer preferences toward experience-led travel. Luxury mobility providers offer high-end vehicles including Mercedes-Benz, BMW, Audi, Lexus, Toyota Vellfire, luxury SUVs, and premium executive coaches equipped with advanced comfort, safety, connectivity, and entertainment features. These services are increasingly utilized for corporate travel, diplomatic visits, celebrity movement, government delegations, weddings, luxury tourism, airport transfers, and VIP transportation requirements.

In addition to conventional luxury sedans and SUVs, premium fleet offerings have expanded to include luxury people movers and executive group transportation vehicles such as the Toyota Hiace, Mercedes-Benz V-Class, Mercedes Sprinter, Toyota Coaster, and Toyota Vellfire. These vehicles are particularly suited for executive delegations, high-profile events, luxury tourism groups, family travel, and corporate team movements. Customers in the luxury segment place significant emphasis on comfort, exclusivity, reliability, professional chauffeur services, privacy, safety, and personalized travel experiences, prompting operators to continuously upgrade fleet quality, invest in technology-enabled fleet management systems, and enhance service standards. As a result, the luxury cab and coach rental market is increasingly positioning itself as a premium mobility and experience-driven segment within India's evolving transportation landscape.

Role and Significance of the Cab and Coach Rental Industry in India's Transportation Ecosystem

The cab and coach rental industry represents a critical component of India's transportation and mobility ecosystem, providing flexible, accessible, and scalable travel solutions for individuals, corporates, institutions, government bodies, and tourism stakeholders. The industry enables customers to access transportation services without the financial burden associated with vehicle ownership, maintenance, insurance, and driver management,

making it an increasingly preferred mobility model in an environment characterized by rapid urbanization, evolving travel patterns, and growing demand for convenience.

The industry serves a broad spectrum of mobility requirements, ranging from daily commuting and airport transfers to long-distance intercity travel, employee transportation, tourism, conferences, exhibitions, sporting events, weddings, and large-scale social gatherings. By offering a diverse range of vehicles and service formats, the sector addresses the transportation needs of both individual travelers and organized groups across multiple end-use segments.

The cab and coach rental industry also plays an important enabling role for several key sectors of the economy, including tourism, hospitality, corporate services, education, healthcare, government administration, and event management. Reliable transportation services improve accessibility to tourist destinations, facilitate efficient employee mobility for businesses, support educational and institutional travel requirements, and enable seamless transportation management for conferences, exhibitions, conventions, weddings, sporting events, and cultural programs.

The increasing integration of rental mobility services with airports, railways, hotels, travel operators, online travel agencies, and digital mobility platforms has further strengthened the industry's position within the broader travel and tourism value chain. Consumers increasingly seek end-to-end travel experiences that combine transportation, accommodation, and itinerary management through integrated digital platforms, creating significant growth opportunities for organized rental operators.

In addition to improving transportation accessibility, the industry contributes substantially to employment generation through opportunities for drivers, fleet operators, maintenance personnel, dispatch teams, customer service professionals, tour coordinators, technology service providers, and ancillary support functions. The sector also supports a wider ecosystem comprising vehicle manufacturers, fuel suppliers, insurance companies, financial institutions, technology vendors, and infrastructure providers, thereby creating a meaningful economic multiplier effect.

The growing adoption of professionally managed transportation services also contributes to improved passenger safety, service reliability, and operational efficiency. Well-maintained fleets, trained chauffeurs, standardized operating procedures, and technology-enabled fleet management systems help enhance overall service quality while supporting better utilization of transportation assets.

Furthermore, the expansion of airports, expressways, tourism circuits, convention centres, smart cities, and urban infrastructure projects under various government initiatives is expected to continue stimulating demand for organized cab and coach rental services across both urban and intercity transportation networks.

Growing Importance of Luxury Mobility within the Industry

The luxury cab and coach rental segment has emerged as one of the fastest-growing and most attractive segments within India's broader mobility market. Rising disposable incomes, increasing wealth creation, expansion of the high-net-worth individual (HNI) population, growing corporate travel expenditure, premium tourism, destination weddings, and rising demand for personalized experiences have significantly accelerated the adoption of luxury mobility services.

Luxury transportation is increasingly being viewed not merely as a mode of travel but as an extension of the overall customer experience. As consumers become more experience-oriented, demand has shifted toward premium transportation solutions that emphasize comfort, exclusivity, privacy, safety, convenience, and superior service quality.

Luxury mobility services are now widely utilized across multiple high-value use cases, including:

- Corporate travel and executive transportation
- Airport transfers for business travelers and VIP guests
- Destination weddings and luxury celebrations
- Government delegations and diplomatic visits
- Conferences, exhibitions, and international events
- Celebrity and entertainment industry transportation
- Luxury tourism and curated travel experiences
- Sporting events and tournament logistics
- High-profile family occasions and private events

Luxury cab operators typically maintain fleets comprising premium sedans, luxury SUVs, executive MPVs, and luxury vehicles such as Mercedes-Benz, BMW, Audi, Lexus, Toyota Vellfire, Range Rover, and similar high-end models. These vehicles are supported by professionally trained chauffeurs, advanced safety systems, personalized onboard amenities, and customized service offerings designed to meet the expectations of affluent customers.

Beyond traditional luxury sedans and SUVs, the premium fleet category has expanded significantly to include luxury people movers and executive group transportation solutions. Vehicles such as the Toyota Hiace, Mercedes-Benz V-Class, Mercedes-Benz Sprinter, Toyota Coaster, Force Urbania, and luxury-configured coaches are increasingly being utilized for executive delegations, corporate group transfers, international visitors, family travel, destination weddings, and premium tourism experiences.

The luxury coach segment has also witnessed increasing adoption among corporate groups, government delegations, event organizers, tourism operators, and destination wedding planners. Premium coaches are equipped with reclining seats, enhanced legroom, Wi-Fi connectivity, onboard entertainment systems, climate control, charging ports, advanced safety features, and customized hospitality services that significantly improve passenger experience during long-distance travel.

Demand for luxury mobility services has been particularly strong across major metropolitan regions, business hubs, tourism destinations, convention centres, wedding destinations, and emerging affluent markets. The growing number of luxury hotels, premium resorts, convention facilities, integrated townships, and destination event venues is expected to further support long-term growth in this segment.

An important structural shift supporting the luxury rental market is the increasing preference for access-based consumption over ownership. Many consumers and corporates now prefer accessing premium vehicles on demand rather than investing in vehicle ownership, maintenance, depreciation, and fleet management. This trend has created significant opportunities for organized luxury mobility operators offering professionally managed fleets, flexible rental models, subscription-based mobility solutions, and chauffeur-driven premium transportation services.

As customer expectations continue to evolve toward experience-led consumption, luxury mobility is expected to become an increasingly important component of India's transportation ecosystem, contributing to higher service standards, greater technology adoption, and the continued formalization of the cab and coach rental industry.

Classification of Cab and Coach Rental Services in India

Cab and coach rental services can be categorized based on the nature of service delivery, vehicle type, rental duration, and operating model.

Based on Service Type

- Corporate transportation services
- Government agencies

- Event and occasion-based transportation
- Chauffeur-driven rental services
- Self-drive vehicle rentals
- Airport transfer services
- Intercity travel services

Based on Vehicle Category

- Economy hatchbacks
- Standard sedans
- Premium sedans
- SUVs and multipurpose vehicles (MUVs)
- Tempo travellers and minibuses
- Luxury coaches and premium buses

Based on Rental Duration

- Hourly rentals
- Daily rentals
- Weekly rentals
- Monthly subscription models
- Long-term leasing arrangements

Based on Business Model

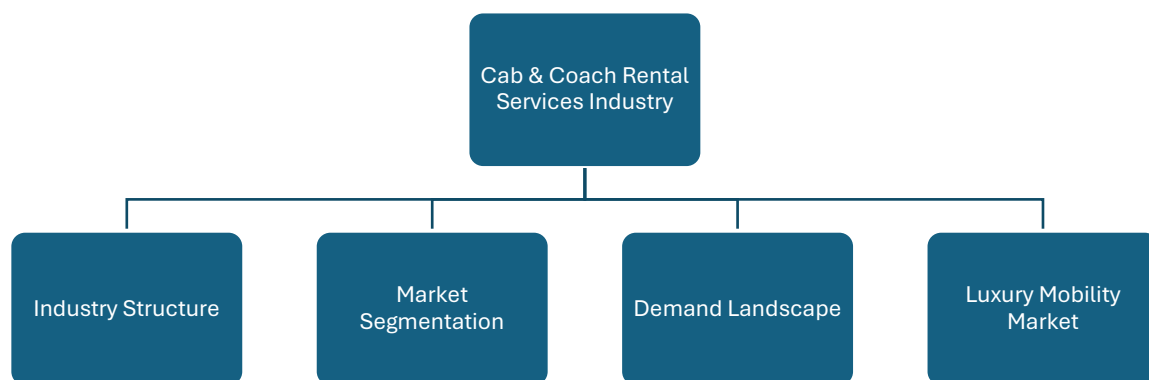
- Company-owned fleet operations
- Technology-enabled aggregator platforms
- Franchise-based transportation networks
- Driver-partner and owner-operator models

The availability of diverse service formats allows operators to cater to a broad spectrum of customer requirements while adapting to changing market dynamics and mobility preferences.

3.1 India's Cab and Coach Rental Services Market

The cab and coach rental industry in India is a key component of the country's mobility and transportation ecosystem, offering flexible travel solutions across individual, corporate, tourism, and event-based requirements. The industry has undergone significant transformation over the past decade, driven by rising urbanization, increased disposable income, expansion of tourism, and rapid digital adoption.

The sector provides a wide range of services including chauffeur-driven rentals, self-drive options, corporate transportation solutions, airport transfers, intercity travel, and group mobility services. Service providers operate diversified fleets ranging from economy vehicles to premium luxury cars and large passenger coaches, allowing them to serve multiple customer segments with varying budget levels and service expectations.



3.1.1 Industry Structure and Service Delivery Models

The Indian cab services industry offers a wide range of transportation solutions designed to meet the varying mobility requirements of individuals, businesses, tourists, and institutions. Service offerings are generally classified according to the manner in which transportation is delivered and the nature of customer demand. The principal service categories include chauffeur-driven rentals, self-drive services, corporate transportation arrangements, airport transfer services, intercity travel solutions, and event-based mobility services.

The choice of service model depends on several factors, including travel purpose, trip duration, convenience requirements, budget considerations, and customer preferences. The increasing demand for flexible transportation solutions has encouraged operators to diversify their service portfolios and cater to multiple customer segments.

Self-Drive Rentals

Self-drive rental services allow customers to rent vehicles without drivers, enabling greater flexibility and independence during travel. This model has gained popularity among younger consumers, business travellers, and tourists seeking privacy and control over their travel schedules.

The segment has experienced growth in major metropolitan cities and tourism destinations where customers increasingly prefer temporary access to vehicles without the long-term commitment of ownership. Digital booking platforms and simplified rental processes have further supported the expansion of self-drive services.

Chauffeur-Driven Rentals

Chauffeur-driven services remain one of the most widely utilized categories within the Indian cab market. Under this model, customers hire vehicles together with professional drivers for a specified duration or route. These services are extensively used for corporate travel, executive transportation, tourism activities, airport transfers, and premium personal mobility requirements.

The primary advantage of this model lies in the convenience it offers, allowing passengers to focus on their activities without the responsibility of driving or navigating unfamiliar routes. Service providers typically emphasize driver training, punctuality, customer service, and vehicle quality to enhance customer satisfaction.

Event-Based Transportation Services

Event transportation solutions are designed to facilitate organized mobility during weddings, exhibitions, conferences, trade fairs, political gatherings, entertainment events, and sporting tournaments. Demand in this category is typically linked to specific occasions and often involves transportation of large groups within a limited timeframe.

Service providers frequently manage vehicle deployment, route planning, guest movement, and shuttle operations to ensure efficient transportation logistics. The segment experiences seasonal demand fluctuations based on event calendars and tourism activity.

Corporate Transportation and Long-Term Leasing

Corporate transportation services involve dedicated mobility arrangements for organizations requiring employee transportation, executive travel, or long-term vehicle access. Such arrangements are typically governed by contractual agreements extending over several months or years.

Fleet operators generally provide vehicle maintenance, driver management, replacement vehicles, and operational support, enabling businesses to access organized transportation services without investing in fleet ownership. This model has become particularly important for large enterprises, multinational corporations, and business process outsourcing companies.

Airport Transfer Services

Airport transfer services provide dedicated transportation between airports and destinations such as hotels, offices, residences, and commercial districts. These services are particularly important for business travellers, tourists, and corporate executives who require dependable and time-sensitive transportation.

Advance scheduling, flight tracking, and punctual service delivery are critical success factors within this category. Airport transfer services are often offered through online booking platforms, travel agencies, hotels, and specialized transportation providers.

3.1.2 Classification of vehicles

The Indian cab and coach rental industry can be segmented into four broad categories based on vehicle type, service quality, customer profile, and pricing levels. Each segment caters to distinct mobility requirements ranging from affordable daily transportation to premium executive travel and luxury chauffeur-driven services.

- **Economy Segment:** Affordable transportation solutions comprising hatchbacks, compact sedans, and entry-level MPVs primarily used for daily commuting, intra-city travel, airport transfers, and budget-conscious travel requirements.
- **Premium Segment:** Mid-sized sedans, MPVs, and SUVs offering enhanced comfort, luggage capacity, and reliability for business travel, family transportation, tourism, corporate mobility, airport transfers, and intercity journeys.
- **Luxury Segment:** Chauffeur-driven premium mobility solutions comprising luxury sedans, luxury SUVs, executive MPVs, luxury vans, premium coaches, and flagship luxury vehicles. This segment caters to executive travel, luxury tourism, destination weddings, hospitality services, premium group transportation, VIP movements, diplomatic delegations, celebrity transportation, protocol-driven travel, conferences, exhibitions, and other high-profile events requiring elevated levels of comfort, privacy, service quality, and exclusivity.

3.1.3 Operational Models

The Indian cab industry operates through various business models, each characterized by different ownership structures, investment requirements, and operating frameworks.

Driver-Partner Model

Under this arrangement, individual drivers own or lease vehicles and operate through mobility platforms or transportation networks. Revenue is shared between the platform and participating drivers. The model enables rapid expansion with lower capital investment requirements.

Company-Owned Fleet Model

In this model, transportation companies directly own and manage vehicle fleets. This approach provides greater control over fleet quality, maintenance standards, driver behavior, and customer experience.

Company-owned operators often focus on corporate clients, airport transfers, luxury transportation, and premium mobility services where service consistency is a critical competitive factor.

Aggregator-Based Model

Under the aggregator model, technology platforms act as intermediaries between customers and vehicle owners or drivers. These platforms generally do not own vehicles directly but facilitate bookings, payments, route allocation, and customer support through digital applications.

This model has gained widespread adoption due to its scalability, convenience, and ability to connect large customer bases with transportation providers.

Franchise-Based Model

Franchise arrangements allow operators to expand geographically through partnerships with regional transportation providers operating under a common brand identity. Standardized operating procedures, branding guidelines, and quality requirements help maintain consistency across locations.

Operational Model	Typical Vehicle Segments	Illustrative Vehicle Categories*	Key Characteristics
Driver-Partner Model	Economy, Premium	WagonR, Dzire, Amaze, Aura, Ertiga, Innova Crysta	Individual vehicle owners operate through mobility platforms or transportation networks. Revenue is shared between the platform and participating drivers, enabling rapid fleet expansion with relatively lower capital requirements.
Company-Owned Fleet Model	Premium, Luxury	Innova Hycross, Toyota Camry, Mercedes-Benz E-Class, BMW 5 Series, Toyota Vellfire, Mercedes-Benz GLS, Mercedes-Benz S-Class, BMW 7 Series	Operators directly own and manage fleets, enabling greater control over vehicle quality, maintenance standards, chauffeur training, safety protocols, and customer experience. Commonly used for corporate mobility, luxury travel, diplomatic movements, hospitality transportation, and premium mobility services.
Aggregator-Based Model	Economy, Premium	WagonR, Dzire, Amaze, Aura, Ertiga, Innova Crysta, Fortuner	Technology platforms connect customers with vehicle owners or drivers through digital applications. The model is scalable, asset-light, and widely utilized for daily commuting, airport transfers, business travel, and intercity transportation.
Franchise-Based Model	Premium, Luxury	Innova Crysta, Fortuner, Camry, Mercedes-Benz E-Class, Toyota Vellfire, Luxury Coaches	Regional operators function under a common brand identity and operating framework. The model facilitates geographic expansion while maintaining standardized operating procedures, service quality standards, branding consistency, and centralized customer management.

*Illustrative list and not exhaustive.

3.1.4 Rental Tenure and Usage Format

Cab rental services can also be classified according to the duration and frequency of vehicle usage. Different rental formats address varying customer requirements and usage patterns.

Hourly Rentals

Hourly rental services are designed for short-duration travel within city limits. These services are commonly utilized for meetings, shopping trips, local sightseeing, and business appointments.

Daily Rentals

Daily rentals are widely used for tourism activities, local travel requirements, and business visits. Customers typically hire vehicles for an entire day with predetermined mileage allowances.

Weekly Rentals

Weekly rental arrangements cater to customers requiring transportation for extended periods, including tourists, temporary residents, and business travellers on medium-term assignments.

Monthly Subscription Models

Monthly rental programs provide flexibility to customers seeking regular transportation without vehicle ownership. These services have gained popularity among professionals and expatriates.

Long-Term Leasing

Long-term leasing arrangements are primarily utilized by corporate organizations requiring structured transportation access over extended periods. Such agreements generally include vehicle maintenance, servicing, and replacement support.

3.1.5 Indian Cab Services Market: Industry Overview

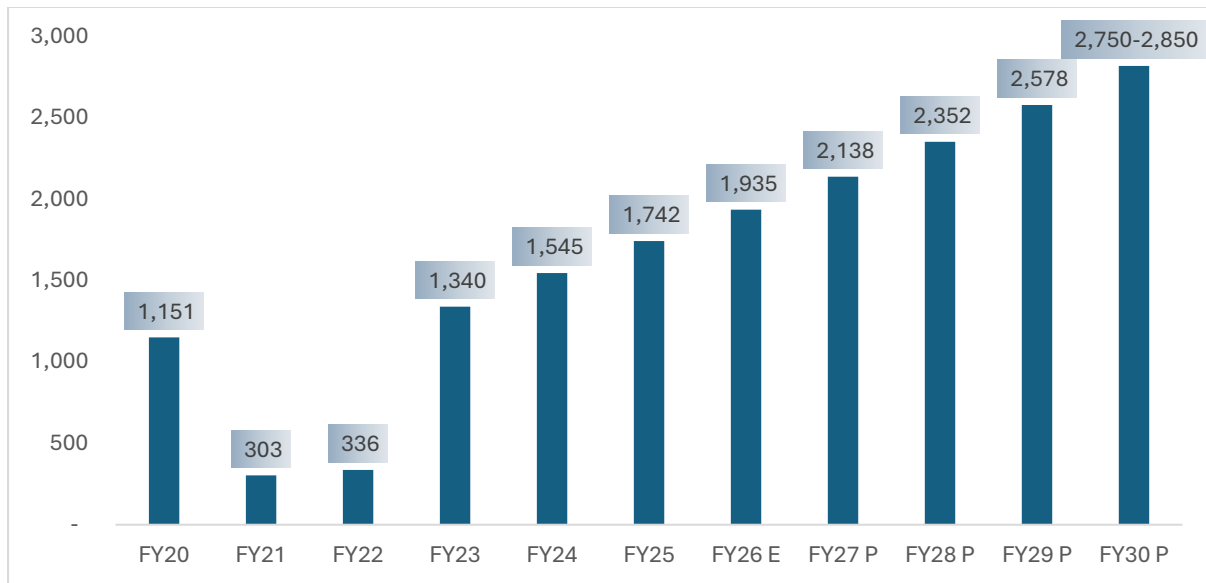
The Indian cab services industry has recorded strong growth over the past few years, driven by increasing urban transportation needs, rising domestic travel, improving road connectivity, and greater adoption of app-based mobility platforms. What was once viewed primarily as a mode of transportation has gradually become an integral part of the broader travel and mobility ecosystem. Today, cab operators cater to diverse customer segments across metropolitan areas, suburban markets, commercial districts, airports, and tourist destinations, providing convenient and flexible mobility solutions for both individual and corporate users.

The industry faced a significant setback during the Covid-19 pandemic, with market size declining sharply from approximately Rs 1,151 billion in FY2020 to Rs 303 billion in FY2021 as lockdowns and travel restrictions severely impacted mobility demand. Following the easing of restrictions, however, the sector witnessed a robust recovery, reaching nearly Rs 1,340 billion in FY2023 and expanding further to around Rs 1,742 billion in FY2025. The market is estimated to have grown to approximately Rs 1,935 billion in FY2026, representing a CAGR of about 9.0% over FY2020-FY2026. This growth has been supported by rising disposable incomes among middle-income households, increasing daily commuting requirements, a revival in tourism activity, advancements in digital booking technologies, and the growing availability of affordable transportation options through organized operators and mobility aggregators.

Looking ahead, the Indian cab services market is expected to maintain its growth momentum and reach approximately Rs 2,750-2,850 billion by FY2030, reflecting a projected CAGR of nearly 9.8% during FY2026-FY2030. Key growth drivers are likely to include continued urbanization, increasing business and leisure travel, rising demand for airport and intercity transportation, and the ongoing expansion of organized mobility platforms across the country.

Within the broader market, the luxury cab segment is anticipated to grow at a comparatively faster pace. Demand is expected to be supported by the expanding population of HNIs and UHNIs, increasing consumer preference for premium experiences, stronger demand from corporate and MICE travel, and sustained activity in luxury tourism, weddings, and large-scale events. In response, luxury mobility providers are strengthening their offerings through upgraded fleets comprising premium sedans, SUVs, and chauffeur-driven luxury vehicles, aimed at meeting customer expectations for superior comfort, exclusivity, and personalized travel experiences.

Market Size of the Cab Services Industry in India (INR billion)



E: Estimated, P: Projected

Source: Expert interactions, IMARC, ICRA Analytics

Segmentation in the cab service industry by type of vehicle

The Indian cab service industry serves a wide range of customer groups across urban, semi-urban, intercity, corporate, tourism, hospitality, and event-based travel requirements. For the purpose of this study, the industry is classified into three broad vehicle segments: Economy, Premium and Luxury. Each category caters to distinct customer needs, service expectations, and travel purposes.

Economy cabs primarily address affordable daily mobility and high-volume transportation requirements. Premium Luxury cabs cater to executive travel, premium tourism, destination weddings, corporate mobility, hospitality transportation, and long-haul group travel. Luxury cabs represent the highest tier of chauffeur-driven mobility, primarily serving VIP movements, diplomatic delegations, luxury weddings, celebrity transportation, high-profile corporate events, and prestige clientele.

The industry continues to evolve with increasing adoption of digital booking platforms, GPS-enabled fleet tracking systems, dynamic pricing tools, and customer relationship management solutions. Fleet operators are also focusing on service customization, chauffeur training, loyalty programs, and technology integration to enhance customer experience and improve operational efficiency. Growing demand for organized transportation, rising tourism activity, and increasing preference for premium mobility solutions are expected to support long-term growth across all vehicle categories.

Vehicle-Based Segmentation of India's Cab Market

Segment	Vehicle Categories	Illustrative Models*	Key Customer Segments	Major Applications	Indicative Pricing**
Economy	Hatchbacks, Compact Sedans, Entry-Level MPVs	Maruti Suzuki WagonR, Maruti Suzuki Eeco, Maruti Suzuki Dzire, Honda Amaze, Hyundai Aura, Tata Tiago, Renault Kwid	Budget travellers, daily commuters, students, working professionals, small families	Intra-city commuting, last-mile connectivity, office transportation, budget airport transfers, short-	₹10-20 per km

Segment	Vehicle Categories	Illustrative Models*	Key Customer Segments	Major Applications	Indicative Pricing**
				distance intercity travel	
Premium	Mid-Sized Sedans, MPVs, SUVs	Honda City, Hyundai Verna, Toyota Innova Crysta, Toyota Innova Hycross, Kia Carens, Toyota Fortuner, MG Gloster, Toyota Camry	Business travellers, professionals, corporate employees, families, tourist groups	Airport transfers, business travel, intercity transportation, tourism, family travel, corporate mobility	₹20-45+ per km
Luxury	Luxury Sedans, Luxury SUVs, Executive MPVs, Luxury Vans, Premium Coaches	Mercedes-Benz E-Class, BMW 5 Series, Audi A6, Audi Q5, Audi Q7, Mercedes-Benz GLS, Toyota Vellfire, Mercedes-Benz V-Class, Toyota Hiace, Mercedes-Benz S-Class, BMW 7 Series, BMW X7, Range Rover, Rolls-Royce Phantom/Ghost, Bentley Flying Spur/Bentayga	Corporate executives, HNIs, UHNI individuals, diplomats, celebrities, hospitality clients, luxury tourists, wedding clients, international delegates	Executive transportation, VIP mobility, diplomatic visits, celebrity movement, luxury tourism, destination weddings, conferences, exhibitions, protocol-driven travel, board-level executive transfers, premium event transportation	₹45-150+ per km or hourly / daily / event-based packages

*Illustrative list and not exhaustive.

**Pricing may vary based on city, distance travelled, vehicle configuration, duration of hire, seasonal demand, and additional services.

Economy Cabs: Urban Daily Commutes and Essential Travel

The economy cab segment serves India's high-volume daily mobility market and primarily comprises hatchbacks, compact sedans, and entry-level MPVs used for affordable city travel, office commuting, short intercity journeys, and last-mile connectivity.

Vehicles commonly deployed in this segment include the Maruti Suzuki WagonR, Maruti Suzuki Eeco, Maruti Suzuki Dzire, Honda Amaze, Hyundai Aura, Tata Tiago, and Renault Kwid.

The segment caters largely to working professionals, students, lower and middle-income households, and budget-conscious travellers seeking cost-effective transportation. Services are typically utilized for point-to-point city travel, airport transfers, metro and railway station connectivity, and routine daily commuting requirements.

Operators within this segment focus on maximizing vehicle utilization through high trip volumes and efficient fleet management. Demand is primarily generated through ride-hailing platforms such as Ola and Uber, along with regional fleet operators and local taxi service providers. Vehicle maintenance schedules are optimized to minimize downtime, while driver availability, incentive structures, and peak-hour demand patterns significantly influence service capacity and operational performance.

The economy segment continues to account for the largest share of trip volumes within the Indian cab market due to its affordability, accessibility, and suitability for daily transportation requirements.

Premium Cabs: Business Travel, Airport Transfers and Family Transportation

The premium segment caters to customers seeking greater comfort, enhanced vehicle quality, higher luggage capacity, and improved service standards compared to economy vehicles. The category primarily comprises premium sedans, MPVs, and mid-to-premium SUVs.

Commonly deployed vehicles include the Honda City, Hyundai Verna, Toyota Innova Crysta, Toyota Innova Hycross, Maruti Suzuki Ertiga, Kia Carens, Toyota Fortuner, MG Gloster, and similar vehicles positioned between mass-market and luxury categories.

Demand is driven by airport transfers, business meetings, corporate transportation, family travel, tourism-related mobility, intercity journeys, and small group transportation requirements. The segment serves business travellers, corporate executives, families, tourists, and customers seeking a balance between affordability and comfort.

Corporate transportation programs represent a significant source of demand, with organizations increasingly utilizing organized mobility services for employee transportation, client visits, executive movement, and business travel requirements.

MPVs and SUVs have witnessed growing demand owing to their higher seating capacity, luggage carrying capability, and suitability for long-distance travel. These vehicles are frequently deployed for tourism circuits, religious pilgrimages, family vacations, destination weddings, and airport group transfers.

Operators in this segment place greater emphasis on chauffeur professionalism, punctuality, vehicle upkeep, customer support, and service reliability. The segment offers an intermediate positioning between economy transportation and luxury mobility services and remains one of the most widely utilized categories within organized cab rental services.

Luxury Cabs: Executive Mobility, Premium Tourism and Organized Group Transportation

The luxury segment caters to customers seeking premium vehicles, professional chauffeur services, enhanced comfort, privacy, and superior service standards. The segment comprises luxury sedans, luxury SUVs, executive MPVs, luxury vans, premium coaches, and flagship luxury vehicles catering to premium and high-end mobility requirements.

Representative vehicles include Mercedes-Benz E-Class, BMW 5 Series, Audi A6, Audi Q5, Audi Q7, Mercedes-Benz GLS, Toyota Vellfire, Mercedes-Benz V-Class, Toyota Hiace, Mercedes-Benz S-Class, BMW 7 Series, BMW X7, Range Rover, Rolls-Royce Phantom, Rolls-Royce Ghost, Bentley Flying Spur, Bentley Bentayga, and other premium vehicles.

Demand is driven by corporate travel, executive airport transfers, luxury tourism, destination weddings, conferences and exhibitions, sporting events, premium hospitality services, diplomatic delegations, celebrity transportation, board-level executive travel, and organized group mobility. Key customers include corporate executives, HNIs and UHNIs, diplomats, government officials, celebrities, hospitality operators, event organizers, and luxury travellers.

Luxury SUVs and executive MPVs account for a significant share of demand owing to their passenger capacity, luggage carrying capability, and suitability for long-distance travel. Vehicles such as the Toyota Vellfire, Mercedes-Benz V-Class, Toyota Hiace, Mercedes-Benz GLS, BMW X7, and Range Rover are commonly deployed for corporate delegations, VIP guest movements, wedding groups, and premium tourism requirements. Demand for such vehicles is further supported by India's varied road and terrain conditions, where higher ground clearance and superior ride quality enhance passenger comfort.

Premium coaches form an important part of the luxury mobility ecosystem and are widely used for conferences, corporate offsites, destination weddings, tourism circuits, sporting events, religious pilgrimages, and intercity group transportation. Operators increasingly deploy coaches equipped with reclining seats, climate-control systems, Wi-Fi connectivity, entertainment facilities, charging ports, and spacious luggage compartments.

Operators place considerable emphasis on vehicle maintenance, chauffeur training, route planning, safety standards, customer coordination, and service reliability. Services are typically provided through advance

reservations, corporate contracts, hotel partnerships, travel management companies, event-based transportation agreements, concierge service providers, and private client relationships.

Growth in luxury tourism, destination weddings, premium hospitality infrastructure, international business travel, high-profile events, and the expanding population of HNIs and UHNIs continues to support demand for luxury transportation services across major metropolitan cities and tourism destinations in India. Service quality, customer experience, vehicle availability, chauffeur professionalism, and operational reliability remain key differentiating factors within the segment.

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3.1.6 Overview of the Organized and Unorganized Cab Services Market

The Indian cab services market is characterized by the coexistence of organized and unorganized operators, both of which play an important role in meeting the country's transportation requirements. While organized operators have expanded rapidly through technology adoption and standardized service offerings, the unorganized sector continues to maintain a significant presence, particularly in smaller cities and rural markets.

The relative importance of each segment varies across regions, customer categories, and travel requirements. Organized operators generally focus on scale, service consistency, and technology integration, whereas unorganized operators often compete through local market knowledge, flexibility, and competitive pricing.

Organized Sector

The organized segment comprises structured transportation providers operating under established brands with standardized operating procedures. This segment includes app-based mobility aggregators, corporate transportation providers, fleet management companies, and organized rental service operators.

Operators in this category typically utilize digital booking platforms, GPS-enabled fleet tracking systems, cashless payment infrastructure, and centralized customer support functions. Standardized pricing mechanisms, professionally managed fleets, and compliance with regulatory requirements contribute to higher service consistency and customer confidence.

The organized sector has witnessed significant growth due to increasing smartphone penetration, digital payment adoption, and rising customer preference for reliable and transparent transportation services. Corporate clients, business travellers, tourists, and premium mobility users constitute a substantial portion of the customer base served by organized operators.

In addition, organized companies often possess stronger financial resources, enabling investments in technology, fleet modernization, customer experience enhancement, and geographic expansion.

Unorganized Sector

The unorganized segment consists primarily of independent taxi operators, owner-driver vehicles, local travel agencies, and small fleet owners operating within specific geographic markets.

Unlike organized operators, businesses in this segment typically rely on direct customer relationships, referrals, taxi stands, local networks, and telephone-based bookings to generate demand. Pricing structures are often negotiated directly between service providers and customers.

The unorganized sector remains particularly important in Tier II, Tier III, and rural markets where digital penetration may be lower and customer relationships play a greater role in service selection. These operators often possess strong local market knowledge and provide customized services tailored to regional requirements.

However, the segment faces challenges related to limited scalability, inconsistent service quality, lower technology adoption, and varying levels of regulatory compliance.

Organized vs. Unorganized Cab Sector in India

Criteria	Organized Sector	Unorganized Sector
Ownership Model	Fleet vehicles are typically owned directly by operators or procured through leasing arrangements. Operations are managed through centralized systems that enable fleet monitoring, vehicle allocation, maintenance scheduling, and driver management.	Vehicles are generally owned by individual operators or small fleet owners managing a limited number of vehicles. Operations are largely dependent on personal supervision with limited adoption of structured fleet management practices.
Technology Adoption	Operators extensively utilize digital infrastructure including mobile booking applications, fleet management software, GPS-enabled tracking systems, automated dispatch platforms, digital payment solutions, and customer relationship management tools to improve operational efficiency and customer experience.	Technology adoption remains relatively limited. Bookings are commonly generated through direct calls, local agents, or referrals. While UPI payments are increasingly accepted, the use of GPS tracking, digital fleet management systems, and automated booking platforms remains inconsistent.
Pricing Structure	Pricing is generally standardized and technology-driven, with fares determined based on factors such as travel distance, duration, vehicle category, route, and prevailing demand conditions. Customers typically receive transparent fare estimates, digital invoices, and electronic payment options.	Pricing is often negotiated directly with customers and may vary depending on travel requirements, seasonality, local market conditions, customer relationships, and vehicle availability. Formal billing mechanisms may be limited.
Fleet Maintenance and Compliance	Vehicles are maintained through scheduled servicing programs and periodic inspections in accordance with manufacturer recommendations. Regulatory requirements relating to permits, insurance, fitness certificates, and pollution norms	Maintenance practices are often driven by operational necessity and cost considerations. Servicing schedules may be irregular, and compliance documentation such as permits, insurance, and fitness

Criteria	Organized Sector	Unorganized Sector
	are generally monitored and renewed systematically.	certifications may not always be managed through formal processes.
Geographic Presence	Organized operators are primarily concentrated in metropolitan cities, airports, business hubs, tourism centres, and major Tier I and Tier II cities where demand visibility and customer volumes are relatively higher.	Operations are largely concentrated in Tier III cities, smaller towns, pilgrimage destinations, rural regions, and local markets where organized operators have relatively lower penetration.
Target Customer Base	The sector primarily caters to corporate clients, business travellers, airport passengers, tourists, event organizers, government institutions, and customers seeking reliability, service consistency, and technology-enabled booking experiences.	The customer base largely comprises local travellers, budget-conscious consumers, wedding and event customers, regional tourists, and individuals preferring traditional operator relationships and offline booking channels.
Revenue Sources	Revenue is generated through corporate contracts, airport transfers, employee transportation services, tourism packages, app-based bookings, subscription programs, event transportation, and strategic B2B partnerships. Structured invoicing and contract-based billing are common.	Revenue is predominantly derived from local customer networks, seasonal tourism demand, weddings, pilgrimage travel, repeat customers, referrals, and short-term transportation assignments. Business generation is often relationship driven.
Customer Service and Support	Organized operators generally offer structured customer support through dedicated helplines, mobile applications, feedback systems, service-level protocols, complaint resolution mechanisms, and digital communication channels.	Customer service is primarily relationship-based and managed through direct interaction with vehicle owners or local operators. Formal grievance redressal mechanisms and structured support systems are generally limited.

3.1.7 Classification of Cab Services by Booking Model

Cab services in India are generally delivered through two primary booking formats: pre-scheduled services and on-demand services. Both models address different customer requirements and contribute significantly to overall market demand.

On-Demand Services

On-demand transportation services are designed to meet immediate travel requirements and are typically booked in real time. These services have gained widespread popularity due to the rapid growth of app-based mobility platforms.

Vehicle allocation occurs dynamically based on driver availability, location proximity, traffic conditions, and demand patterns.

Key Features

Instant Booking: Vehicles can be booked immediately through mobile applications or local operators.

Dynamic Vehicle Allocation: Drivers are assigned based on proximity and availability.

Flexible Pricing: Fares may vary depending on demand, traffic conditions, time of day, and weather circumstances.

High Accessibility: Services are particularly popular in metropolitan areas with dense transportation networks.

Major Customer Groups

- Daily commuters

- Students
- Working professionals
- Urban residents
- Tourists requiring local transportation

The coexistence of both models allows operators to optimize fleet utilization while serving both planned and spontaneous mobility requirements

Pre-scheduled Cab services

Pre-scheduled transportation services involve bookings made prior to the commencement of travel. Reservations may be made several hours, days, or even weeks in advance depending on the purpose of travel.

These services are widely utilized for airport transfers, intercity journeys, corporate travel, weddings, tourism activities, conferences, and other planned events where reliability and vehicle availability are important considerations

Key Features

Advance Reservations: Customers can schedule transportation through digital platforms, travel agencies, corporate booking systems, or directly through service providers.

Predictable Availability: Vehicles and drivers are allocated in advance, reducing uncertainty and improving service reliability.

Fixed Pricing Structure: Charges are typically determined before the journey begins based on vehicle category, distance, duration, and additional requirements.

Diverse Fleet Availability: Customers may choose from economy vehicles, sedans, SUVs, luxury cars, minibuses, or coaches depending on travel needs.

Major Customer Groups

- Corporate organizations
- Government agencies
- Event organizers
- Tour operators
- Educational institutions
- Families and leisure travellers

3.1.8 Industry Value Chain

The cab services industry operates through a multi-stage value chain involving vehicle manufacturers, financiers, fleet operators, technology providers, drivers, and end customers. Each participant contributes to service delivery and overall market efficiency.

Vehicle Procurement

The value chain begins with vehicle manufacturers and dealerships supplying vehicles to fleet operators, leasing companies, and individual drivers. Financing institutions often play a crucial role by providing loans and leasing solutions that support fleet acquisition.

Fleet Operations

Fleet operators manage vehicle deployment, maintenance schedules, insurance compliance, permits, driver allocation, and customer service operations. Efficient fleet management directly influences profitability and service quality.

Technology Platforms

Technology providers facilitate booking management, route optimization, GPS tracking, payment processing, customer relationship management, and operational analytics. Digital platforms have become increasingly important in improving efficiency and enhancing customer convenience.

Driver Services

Drivers represent a critical component of service delivery. Their responsibilities include safe vehicle operation, customer interaction, route management, and adherence to service standards.

Customer Interface

The final stage involves transportation service delivery to end users. Customer satisfaction depends on factors such as punctuality, safety, vehicle quality, driver behavior, pricing transparency, and ease of booking.

A well-integrated value chain contributes to improved operational efficiency, enhanced customer experiences, and sustainable industry growth.

3.1.9 Technology and Digital Transformation

Technology has emerged as one of the most significant drivers of change within the Indian cab services industry. Digital innovation has transformed traditional transportation services into integrated mobility solutions capable of serving millions of users daily.

Mobile Applications and Online Booking

Mobile applications have simplified the booking process by allowing customers to reserve vehicles instantly, track rides in real time, and make digital payments. This has significantly improved convenience and service accessibility.

GPS and Fleet Tracking Systems

GPS-enabled tracking systems help operators monitor vehicle locations, optimize routes, reduce idle time, and improve operational efficiency. Customers also benefit from enhanced transparency regarding vehicle arrival times and journey progress.

Dynamic Pricing Algorithms

Advanced pricing systems utilize demand patterns, traffic conditions, weather factors, and vehicle availability to determine fares dynamically. Such systems enable operators to balance supply and demand more effectively.

Digital Payment Infrastructure

The adoption of digital payment solutions including UPI, mobile wallets, debit cards, and credit cards has accelerated across the industry. Cashless transactions improve convenience, transparency, and operational efficiency.

Data Analytics and Artificial Intelligence

Increasingly, operators are utilizing data analytics and artificial intelligence to forecast demand, optimize fleet deployment, improve driver productivity, and personalize customer experiences.

As technology adoption continues to increase, digital capabilities are expected to become a major differentiator within the competitive landscape.

3.1.10 Regulatory Environment

The Indian cab services industry operates within a regulatory framework established by both central and state governments. Regulations are intended to ensure passenger safety, fair competition, operational transparency, and compliance with transportation standards.

Vehicle Registration and Permits

Commercial passenger vehicles are required to obtain appropriate permits and registrations before commencing operations. Permit requirements may vary across states and service categories.

Driver Licensing Requirements

Drivers operating commercial vehicles must possess valid licenses and satisfy applicable eligibility criteria. Certain operators additionally conduct background verification and training programs to improve service quality and safety.

Insurance Compliance

Commercial vehicles are required to maintain valid insurance coverage in accordance with prevailing regulations. Insurance provides protection for passengers, drivers, and vehicle owners in the event of accidents or unforeseen incidents.

Safety and Consumer Protection

Regulators increasingly emphasize passenger safety through measures such as GPS tracking, emergency response features, driver verification systems, and grievance redressal mechanisms.

Aggregator Guidelines

The rapid growth of app-based transportation services has resulted in the introduction of aggregator-specific regulations governing pricing practices, driver onboarding, operational standards, and data management.

Going forward, regulatory developments are expected to focus on passenger safety, digital governance, environmental sustainability, and the integration of emerging mobility technologies within the transportation ecosystem.

3.1.11 Electric Vehicle Adoption and Emerging Industry Trends

The Indian cab services industry is gradually undergoing a transition toward cleaner, technology-enabled, and more sustainable mobility solutions. Growing environmental concerns, rising fuel costs, supportive government policies, and advancements in vehicle technology are encouraging operators to explore alternative business models and fleet compositions. Among these developments, the adoption of electric vehicles (EVs) represents one of the most significant structural changes expected to influence the industry's long-term evolution.

Adoption of Electric Vehicles in Cab Services

Electric vehicles are increasingly being incorporated into commercial passenger transportation fleets, particularly in metropolitan cities where vehicle utilization levels are high and charging infrastructure is expanding. Fleet operators view EVs as an opportunity to reduce operating expenses, improve environmental performance, and align with evolving regulatory expectations.

Compared to conventional internal combustion engine vehicles, electric vehicles generally offer lower running costs due to reduced fuel expenditure and fewer moving components requiring maintenance. These cost advantages become more significant in commercial operations where vehicles accumulate substantial daily mileage.

Several fleet operators have initiated pilot programs and fleet electrification initiatives, particularly for airport transfers, corporate transportation, and urban mobility services. Adoption has been most prominent in cities with supportive charging infrastructure and government incentives.

Government Support and Policy Initiatives

The Government of India and various state governments have introduced multiple initiatives aimed at accelerating EV adoption. These measures include financial incentives, tax benefits, charging infrastructure development programs, and manufacturing support schemes.

Such initiatives are expected to improve the economic viability of electric mobility solutions and encourage greater participation from fleet operators over the coming years.

Challenges to EV Adoption

Despite positive momentum, several challenges continue to influence the pace of adoption:

Charging Infrastructure Constraints

The availability of charging stations remains uneven across regions, particularly outside major urban centers. Limited charging infrastructure can impact fleet utilization and route planning efficiency.

Higher Initial Acquisition Costs

Although operating costs are generally lower, electric vehicles often require higher upfront investment compared to conventional vehicles, creating financing challenges for smaller operators.

Range and Operational Considerations

Vehicle range limitations, charging times, and battery performance remain important operational considerations, particularly for long-distance transportation services.

Emerging Industry Trends

Beyond electrification, several broader trends are reshaping the cab services landscape.

Subscription-Based Mobility

Consumers are increasingly exploring subscription-based transportation models that provide vehicle access without ownership responsibilities. These arrangements offer flexibility and predictable monthly costs.

Data-Driven Fleet Management

Operators are increasingly leveraging analytics platforms to optimize fleet deployment, improve route planning, reduce idle time, and enhance operational efficiency.

Artificial Intelligence and Automation

Artificial intelligence is being utilized for demand forecasting, dynamic pricing, customer support automation, and driver allocation. Such technologies are expected to improve resource utilization and customer experience.

Integrated Mobility Ecosystems

Transportation providers are increasingly collaborating with airports, hotels, travel agencies, tourism operators, and public transportation systems to offer seamless end-to-end mobility solutions.

Sustainability Initiatives

Environmental sustainability is becoming an important strategic priority. In addition to EV adoption, operators are exploring fuel-efficient vehicles, carbon reduction initiatives, and environmentally responsible operating practices.

Overall, technological innovation and sustainability considerations are expected to play an increasingly important role in shaping the future direction of the Indian cab services industry.

3.1.12 Competitive Landscape

The Indian cab services industry is characterized by intense competition, with participants ranging from large technology-driven mobility platforms to regional transportation providers and independent fleet operators. The competitive environment continues to evolve as companies seek to differentiate themselves through pricing, service quality, technology adoption, fleet diversification, and customer experience.

Market Participants

The industry comprises several categories of participants:

App-Based Mobility Platforms

Technology-enabled mobility platforms have transformed the industry by introducing real-time booking capabilities, digital payment systems, GPS-based tracking, and standardized customer experiences. These operators have significantly expanded organized transportation services across major urban centers.

Corporate Fleet Operators

Corporate mobility providers specialize in employee transportation, executive travel, airport transfers, and long-term transportation contracts. Their competitive advantage often lies in service reliability, compliance standards, and fleet management expertise.

Local and Regional Operators

Regional transportation companies continue to maintain strong positions within specific geographic markets. Their understanding of local customer preferences and established networks often enable them to compete effectively against larger operators.

Luxury Transportation Providers

Specialized luxury mobility operators focus on premium transportation services, including executive travel, wedding transportation, luxury tourism, and VIP movement. Competition within this segment is based primarily on service quality, vehicle standards, chauffeur professionalism, and customer experience.

Key Competitive Factors

Several factors influence competitive positioning within the industry:

Pricing Competitiveness

Pricing remains an important consideration, particularly within economy and mid-market segments. Operators continuously seek to balance affordability with profitability.

Fleet Quality and Availability

Vehicle condition, fleet diversity, and availability significantly influence customer satisfaction and service selection.

Technology Integration

Digital platforms, mobile applications, fleet management systems, and customer support technologies have become critical differentiators.

Customer Experience

Factors such as punctuality, vehicle cleanliness, driver behavior, safety standards, and service responsiveness play a major role in customer retention.

Geographic Coverage

Operators with wider geographic reach and stronger service networks often benefit from greater brand visibility and customer convenience.

Industry Consolidation

As competition intensifies, the industry may experience increasing consolidation through partnerships, acquisitions, strategic alliances, and expansion initiatives. Larger operators are likely to benefit from economies of scale, stronger capital resources, and advanced technological capabilities.

3.1.13 Luxury Cab Market in India

The luxury cab market represents one of the fastest-growing segments within India's broader transportation and mobility industry. Rising disposable incomes, increasing business travel, expansion of luxury tourism, and growing demand for premium customer experiences have contributed significantly to the segment's development. Unlike conventional transportation services that primarily focus on affordability and convenience, luxury mobility solutions emphasize exclusivity, comfort, privacy, and personalized service.

Customer Profile

The customer base for luxury transportation services is diverse and includes:

- High-net-worth individuals (HNIs)
- Corporate executives
- Senior management personnel
- International tourists
- Celebrities and public figures
- Wedding organizers
- Event management companies
- Diplomatic delegations

These customers typically prioritize service quality, reliability, comfort, and exclusivity over cost considerations.

Vehicle Categories

Luxury transportation providers operate premium fleets consisting of high-end sedans, SUVs, luxury vans, and chauffeur-driven executive vehicles.

Common vehicle categories include:

Premium Sedans

Premium sedans are widely utilized for executive travel, corporate transportation, airport transfers, and business meetings.

Luxury SUVs

Luxury SUVs are preferred for group travel, VIP movement, destination weddings, and tourism-related transportation due to their spacious interiors and enhanced comfort features.

Executive Vans and MPVs

Luxury multi-purpose vehicles provide additional seating capacity while maintaining premium comfort levels, making them suitable for corporate groups and family travel.

Key Service Features

Luxury mobility providers differentiate themselves through superior service standards and customized travel experiences.

Professional Chauffeurs

Drivers undergo specialized training focused on customer service, safety standards, confidentiality, etiquette, and professional conduct.

Premium Vehicle Maintenance

Operators maintain rigorous vehicle inspection, detailing, and servicing schedules to ensure high standards of cleanliness, reliability, and comfort.

Personalized Services

Luxury transportation frequently includes customized itineraries, dedicated customer support, flexible scheduling, and tailored hospitality arrangements.

Technology-Enabled Convenience

Advanced booking systems, real-time tracking, customer relationship management platforms, and personalized communication channels enhance the customer experience.

Growth Drivers

Several structural factors are expected to support long-term growth in the luxury mobility segment:

Rising Affluence

Growth in the number of affluent households and high-income professionals is increasing demand for premium transportation services.

Expansion of Luxury Tourism

India's luxury tourism market continues to expand, creating opportunities for premium mobility providers.

Growth in MICE Activities

Meetings, Incentives, Conferences, and Exhibitions (MICE) generate significant demand for executive transportation and organized premium mobility solutions.

Destination Weddings

India's growing destination wedding industry represents a major source of demand for luxury transportation services, particularly in premium hospitality destinations.

Recovery in Business Travel

The resurgence of corporate travel and in-person business interactions is further strengthening demand for executive mobility services.

Given these factors, the luxury cab segment is expected to outpace growth in several other categories of the transportation market over the medium to long term.

3.2 Coach Rental Services Industry in India: Market Overview

Coach Rental Services Market Expected to Witness Steady Growth Over the Medium Term

India's coach rental industry has demonstrated strong resilience and steady expansion following the pandemic, supported by growing demand for organized group transportation across multiple end-use segments, including weddings, religious tourism, corporate travel, educational excursions, leisure tours, and large-scale events. As mobility requirements become increasingly organized and experience-driven, coach rental services have emerged as an important component of the broader travel and tourism ecosystem.

Demand for coach rentals has been particularly strong during wedding seasons, religious congregations, pilgrimage circuits, and tourism activities, where large groups prefer cost-effective, coordinated, and comfortable transportation options. Major events such as the Maha Kumbh, regional festivals, destination weddings, sporting tournaments, and cultural gatherings have further contributed to market growth by generating substantial requirements for group mobility solutions.

The industry experienced a sharp contraction during the Covid-19 pandemic, with market size declining from approximately Rs 198 billion in FY2020 to nearly Rs 53 billion in FY2021 as travel restrictions and lockdowns severely impacted passenger movement. Following the reopening of economic activity and revival of domestic travel, the sector recovered significantly, reaching around Rs 218 billion in FY2023 and expanding further to approximately Rs 254 billion in FY2025. The market is estimated to have reached nearly Rs 272 billion in FY2026, reflecting a CAGR of about 5.4% during FY2020-FY2026.

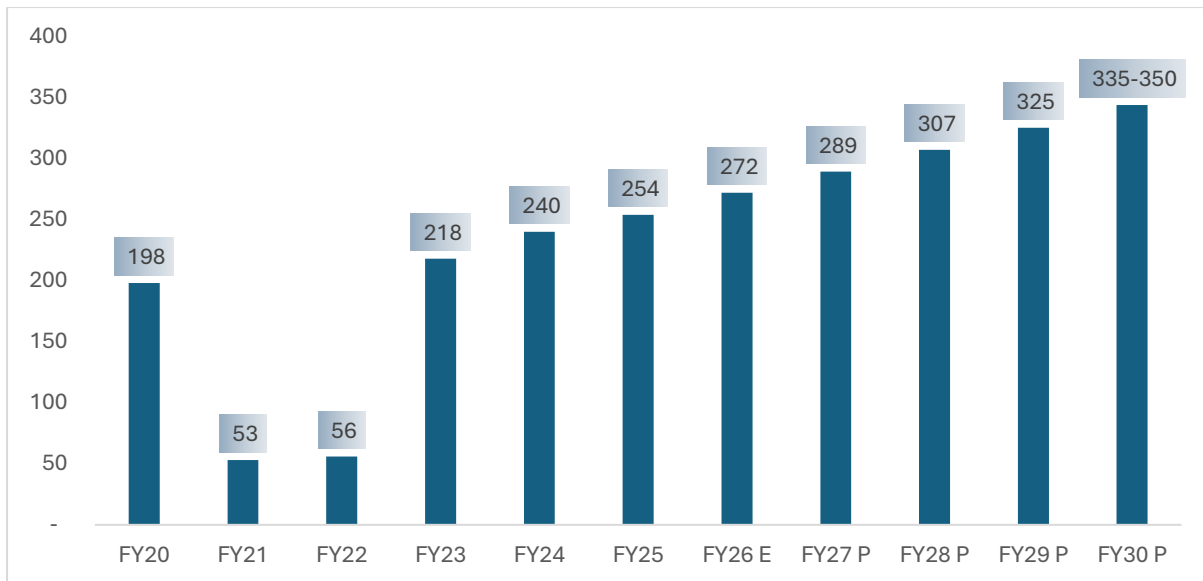
Several structural factors continue to support industry growth. These include rising disposable incomes, increasing preference for organized group travel, expansion of highway and expressway infrastructure, growth in domestic tourism, and greater demand for comfortable long-distance transportation. The Indian wedding industry remains one of the largest demand generators, with destination weddings and large family gatherings creating substantial transportation requirements. Religious tourism has also emerged as a key growth driver, supported by increasing pilgrimage travel undertaken by families, community organizations, and spiritual groups.

Corporate demand has strengthened in recent years as businesses increasingly utilize coach services for employee transportation, conferences, exhibitions, offsite programs, training activities, and business events. Furthermore, the rising popularity of concerts, music festivals, sports tournaments, entertainment events, and cultural programs has generated additional demand for organized transportation for attendees, performers, support staff, and event organizers.

Technology adoption is also gradually transforming the sector, with operators increasingly utilizing GPS-enabled fleet tracking, digital booking systems, route optimization tools, and centralized fleet management platforms to improve operational efficiency and customer experience. Growing demand from Tier-II and Tier-III cities, along with increasing focus on safety, vehicle quality, and passenger comfort, is further supporting market expansion.

Going forward, the Indian coach rental market is projected to reach approximately Rs 335-350 billion by FY2030, registering a CAGR of around 6.1% during FY2026-FY2030. Future growth is expected to be driven by continued expansion in domestic tourism, rising demand for premium and luxury travel experiences, increasing organized travel activities, growth in religious and experiential tourism, and wider adoption of technology-enabled transportation services across urban and intercity routes.

Market size of coach rental industry in India (INR billion)



E: Estimated, P: Projected

Source: Expert interactions, IMARC, ICRA Analytics

Luxury Coach Rental Industry in India: Market Overview

The luxury coach rental segment in India caters to organized group travel requirements where customers prioritize comfort, convenience, safety, reliability, and premium service quality. The segment has witnessed significant growth in recent years, supported by rising corporate mobility requirements, employee transportation needs, business conferences, incentive travel programs, destination weddings, religious pilgrimages, educational excursions, leisure tourism, sporting events, and curated travel experiences. Unlike conventional coach rental services that primarily focus on transportation, luxury coach operators emphasize passenger comfort, journey experience, operational excellence, and end-to-end travel management. These services are widely utilized for long-distance journeys, corporate events, tourism circuits, wedding guest transportation, institutional travel, and specialized group movements where service quality and travel experience play an important role in customer decision-making.

Demand is generated from a diverse customer base comprising corporations, travel agencies, tour operators, destination management companies, event management firms, educational institutions, hospitality operators, government organizations, and families organizing special occasions or group vacations. Corporate clients increasingly utilize luxury coaches for employee transportation, leadership retreats, conferences, exhibitions, dealer meets, and business events, while the tourism sector leverages premium coaches for sightseeing tours, heritage circuits, religious tourism, and customized travel itineraries. The growing popularity of destination weddings, luxury tourism packages, and experiential travel has further strengthened demand for organized and premium group transportation solutions across India.

To cater to varying customer requirements, operators typically segment their offerings based on passenger capacity, vehicle configuration, route structure, travel duration, and customer profile. This enables the provision of customized services such as dedicated route planning, advance scheduling, itinerary management, branded corporate transportation, onboard hospitality services, event-specific transportation arrangements, and specialized travel coordination support. The ability to provide tailored mobility solutions has become an important differentiating factor for operators serving premium customer segments.

The luxury coach segment is also undergoing significant transformation in vehicle design, fleet quality, and onboard passenger amenities. Fleet operators are increasingly deploying premium coaches equipped with reclining seats, enhanced legroom, climate-controlled cabins, onboard washrooms, spacious luggage compartments, Wi-Fi connectivity, USB charging ports, ambient lighting, advanced suspension systems, and infotainment facilities to improve passenger comfort during long-haul journeys. Premium upholstery, noise-

insulated cabins, panoramic windows, and customized interior configurations are becoming increasingly common as operators seek to differentiate their offerings and enhance the overall travel experience. These developments reflect the growing focus on elevating service standards and meeting the evolving expectations of corporate and leisure travelers.

Technology adoption is emerging as a key competitive differentiator within the luxury coach rental industry. Operators are increasingly investing in telematics platforms, GPS-enabled fleet tracking systems, route optimization software, centralized fleet management solutions, digital booking interfaces, and automated dispatch systems to improve operational efficiency and service reliability. Real-time vehicle monitoring enables operators to optimize route planning, improve fleet utilization, enhance fuel efficiency, and provide greater transparency to customers throughout the travel journey. The integration of digital technologies has also improved scheduling accuracy, customer communication, and overall service responsiveness.

Artificial Intelligence (AI) is gradually gaining prominence across fleet operations, particularly in the areas of safety management, driver monitoring, and predictive maintenance. AI-enabled driver monitoring systems can assess driver behaviour in real time and identify instances of distracted driving, speeding, harsh braking, fatigue, or drowsiness. Such technologies help operators improve passenger safety, reduce accident risks, strengthen regulatory compliance, and enhance operational control. In addition, AI-powered predictive maintenance solutions analyze vehicle performance data to identify potential mechanical issues before breakdowns occur, thereby reducing downtime, lowering maintenance costs, and improving fleet availability. As customers increasingly prioritize safety, reliability, and service consistency, adoption of AI-driven fleet management technologies is expected to increase across the organized luxury coach rental market.

Safety has become an increasingly important area of focus within the luxury coach segment. Operators are investing in advanced braking systems, vehicle health monitoring tools, driver assistance technologies, telematics-based safety analytics, and real-time tracking capabilities to improve passenger security and operational performance. The growing emphasis on safety standards reflects increasing customer expectations, regulatory requirements, and the need to maintain service reliability in a competitive operating environment.

The industry is also witnessing a gradual shift toward sustainability and environmentally responsible transportation solutions. Several operators are evaluating cleaner fuel technologies, low-emission vehicles, and electric mobility solutions, particularly for airport transfers, urban transportation requirements, and short-distance premium travel. Growing environmental awareness, evolving regulatory standards, and corporate sustainability commitments are expected to support the adoption of greener mobility solutions over the medium to long term.

Supported by rising corporate travel, growing tourism activity, increasing preference for organized group transportation, expansion of destination weddings and large-scale events, continuous fleet modernization, and rapid technology adoption, the luxury coach rental segment is expected to remain one of the key growth areas within India's premium mobility ecosystem. As customers increasingly seek superior travel experiences characterized by comfort, safety, personalization, and reliability, organized luxury coach operators are likely to benefit from sustained demand across both corporate and leisure travel segments.

High Value Tourism

Purpose

This segment supports organized tourism activities, including sightseeing tours, cultural programs, leisure vacations, nature retreats, heritage circuits, and curated travel experiences. Luxury coaches are frequently utilized for multi-day itineraries covering extensive travel routes.

The segment also caters to international tourists, embassy-related travel requirements, NRI-focused tourism programs, sporting events, and cultural festivals.

Preferred Vehicles

Operators generally deploy 35-to-50-seater luxury coaches featuring reclining seats, panoramic windows, entertainment systems, climate control, and dedicated luggage compartments.

Common Users

Domestic and international tour operators, tourism boards, destination management companies, and travel agencies.

Service Expectations

Customers typically expect itinerary integration, reserved seating for tour leaders, coordination with hotels and hospitality partners, professional route planning, and scheduled stops at key attractions.

Wedding and Event Transportation

Purpose

This segment covers transportation requirements for weddings, social gatherings, family functions, corporate events, cultural programs, film productions, celebrity movements, concerts, and entertainment events.

Preferred Vehicles

Operators generally deploy 25-to-50-seater luxury coaches with comfortable interiors and passenger amenities. Depending on event requirements, vehicles may also include customized branding or decorative elements.

Common Users

Wedding planners, event management companies, production houses, celebrity management firms, and families organizing large-scale celebrations.

Service Expectations

Customers typically seek flexible scheduling, timely operations, coordination across multiple pickup and drop locations, and the ability to accommodate last-minute changes efficiently.

Executive Corporate Travel

Purpose

Executive corporate travel services are primarily used for structured transportation of employees, management teams, clients, and business delegates attending meetings, conferences, exhibitions, airport transfers, offsite programs, and corporate events. The segment also includes transportation arrangements for airline crew members, including pilots and cabin crew, between airports and designated accommodation facilities, particularly at major aviation hubs.

Preferred Vehicles

Operators typically deploy 13-to-35-seater air-conditioned minibuses and executive coaches suitable for urban commuting as well as short intercity travel. These vehicles are often equipped with Wi-Fi connectivity, charging points, comfortable seating, bottle holders, and other passenger amenities.

Common Users

Medium and large corporations, public sector organizations, international airline operators, event management firms, and business travel coordinators constitute the primary customer base.

Service Expectations

Clients generally require punctual operations, fixed pickup and drop schedules, professionally trained drivers, GPS-enabled tracking systems, centralized coordination, and efficient itinerary management.

Religious or Pilgrimage Travel

Purpose

This category includes organized transportation for pilgrims visiting temples, mosques, churches, shrines, and other spiritual destinations. It also covers yoga retreats, spiritual gatherings, and guided religious tours.

Preferred Vehicles

Large coaches with seating capacities ranging from 40 to 55 passengers are commonly deployed. These vehicles generally offer wide aisles, luggage storage facilities, and convenient boarding arrangements suitable for senior citizens.

Common Users

Religious trusts, pilgrimage tour operators, community organizations, spiritual institutions, and travel coordinators.

Service Expectations

Key requirements include efficient route planning, scheduled rest stops, medical assistance arrangements when necessary, and smooth coordination for multi-day travel programs.

Educational or Institutional Use

Purpose

Educational institutions utilize coach rental services for academic tours, industrial visits, excursions, workshops, training programs, and other organized travel activities. The segment also includes transportation requirements for media institutes, film schools, and professional training organizations.

Preferred Vehicles

Mid-sized and full-sized coaches with capacities ranging from 30 to 50 passengers are generally preferred. These vehicles feature safety systems, emergency exits, and adequate luggage storage.

Common Users

Schools, colleges, universities, coaching centers, training institutes, and alumni associations.

Service Expectations

Customers typically require structured schedules, predefined stoppages, strong safety standards, faculty coordination, and adherence to budget and timeline requirements.

Format of services used in Coach rental

Service Format	Description
Point-to-Point Executive Transfers	Designed for one-time transportation requirements such as airport transfers, hotel pickups, railway station transfers, and event shuttle services operating on predefined routes.

Service Format	Description
Full-Day Charter Services	Typically utilized for weddings, corporate programs, sightseeing tours, and group events. Pricing is generally based on duration, distance travelled, or a combination of both, and often includes driver and fuel costs.
Custom Package Models	Comprehensive service packages that may include vehicle rental, driver charges, fuel expenses, tolls, parking fees, overnight halts, accommodation for drivers, and itinerary planning services, offering greater operational convenience and pricing transparency.
Multi-Day Charter and Tour Contracts	Suitable for tour operators, educational institutions, religious groups, and corporate clients requiring dedicated vehicles and drivers over multiple days. Commonly used for intercity tours, pilgrimage travel, and extended group journeys.

3.3 Demand Dynamics Across Key End-User Segments in India's Cab and Coach Rental Industry

The Indian cab and coach rental industry derives demand from a diverse set of customer segments, each characterized by distinct transportation requirements, service expectations, and travel patterns. Growth in organized mobility services has been supported by increasing urbanization, expansion of domestic and international tourism, rising disposable incomes, and growing preference for professionally managed transportation solutions.

Tourism Segment

The tourism segment represents one of the largest demand contributors for cab and coach rental operators. This category encompasses inbound and domestic leisure travel, airport transfers, sightseeing activities, intercity journeys, pilgrimage travel, and curated tourism experiences.

Demand is influenced by seasonal travel trends, popularity of tourist destinations, government tourism promotion initiatives, and growing consumer preference for experiential travel. The increasing popularity of luxury tourism, heritage circuits, wellness retreats, and customized travel itineraries has further strengthened the need for reliable and professionally managed transportation services.

Corporate Segment

The corporate travel segment includes employee transportation, executive mobility, airport transfers, business travel, conferences, exhibitions, meetings, incentives, conferences and exhibitions (MICE), and corporate events. Customers in this category place significant importance on punctuality, service consistency, regulatory compliance, safety standards, and operational reliability. The continued expansion of business parks, technology hubs, multinational corporations, and organized commercial activities has contributed to rising demand for structured mobility solutions across major metropolitan and emerging business centers.

Sports and Entertainment Events Segment

This category includes transportation services for athletes, officials, sponsors, media personnel, event staff, performers, and spectators during sporting tournaments, entertainment programs, concerts, and cultural festivals. Demand frequently involves premium transportation arrangements for distinguished guests, dedicated fleet management for teams and support staff, and coordinated mobility solutions capable of handling large-scale event logistics efficiently.

Wedding and Special Occasion Segment

Transportation requirements associated with destination weddings, family celebrations, social gatherings, and private events represent a significant source of demand for both cab and coach rental operators.

This segment is typically characterized by bulk vehicle bookings, premium transportation requirements, guest transfer management, and customized logistics planning. India's growing destination wedding industry, along with increasing spending on celebrations and events, continues to create substantial opportunities for organized transportation providers.

Political Events Segment

The political events segment comprises transportation requirements associated with election campaigns, political rallies, public gatherings, and party-related activities.

Such events often require large fleets, coordinated logistics management, route planning, and timely execution of transportation schedules for political leaders, party workers, media representatives, and attendees. Demand within this category generally increases during election cycles and large-scale political campaigns.

3.4 Tourism-Driven Demand in India's Cab and Coach Rental Industry

India's cab and coach rental industry has increasingly become an integral part of the country's tourism and hospitality value chain, particularly following the strong recovery in travel and tourism activity after the COVID-19 pandemic. The sector plays a critical role in supporting inbound international tourism as well as domestic leisure travel across metropolitan cities, heritage destinations, pilgrimage circuits, wellness centers, coastal tourism hubs, and emerging leisure destinations. International visitors, including leisure travellers, business delegates, premium Free Independent Travellers (FITs), medical tourists, spiritual travellers, and wellness seekers, rely extensively on organized ground transportation services to ensure convenience, safety, and reliability throughout their journeys. Consequently, demand for airport transfers, chauffeur-driven transportation, intercity mobility, city sightseeing tours, and customized travel itineraries remains strong across major tourism destinations in India.

The continued expansion of India's transportation infrastructure is further supporting tourism-driven demand for rental mobility services. Investments in expressways, economic corridors, highway modernization projects, airport expansion programs, and regional connectivity initiatives are improving accessibility between key tourism destinations and reducing travel times. Improved road connectivity is encouraging greater adoption of economy, premium, and luxury cab and coach services for road-based tourism while simultaneously supporting the development of hotels, resorts, convention centers, and hospitality facilities along major travel corridors. These developments are creating new demand centers for vehicle rentals and organized transportation services across both established and emerging tourism routes.

The increasing preference for premium and experience-driven travel has significantly enhanced demand for luxury mobility solutions. High-end vehicles such as the Toyota Vellfire, Mercedes-Benz V-Class, luxury SUVs, executive vans, and premium coaches are witnessing growing adoption among international tourists, corporate travellers, and affluent domestic travellers. The growing popularity of heritage tourism, wellness tourism, adventure tourism, culinary tourism, luxury vacations, and curated cultural experiences has strengthened the need for transportation providers capable of delivering personalized, reliable, and professionally managed travel services. Operators offering multilingual chauffeur services, premium fleets, customized itineraries, digital booking capabilities, and high service reliability are increasingly well-positioned to capture this growing segment.

The demand outlook for tourism-related transportation services is further supported by several structural growth drivers, including the expansion of international air connectivity, increasing tourist arrivals, rising disposable incomes, and government initiatives aimed at promoting tourism across the country. Programs such as *Dekho Apna Desh*, *Bharat Parv*, development of thematic tourism circuits, destination promotion initiatives, and visa facilitation measures are contributing to increased visitor flows across heritage, spiritual, cultural, wellness, and adventure tourism destinations. Simultaneously, growing investments in tourism infrastructure and destination development are creating additional opportunities for organized transportation operators.

Modern international travellers increasingly seek transportation solutions that combine convenience, personalization, safety, and technology. This evolving demand profile is being shaped by several factors:

- Growing adoption of digitally planned travel itineraries, wherein travellers expect seamless integration of flights, accommodations, sightseeing activities, and transportation services through unified booking platforms.
- Rising demand for premium and experiential tourism offerings, resulting in greater utilization of chauffeur-driven services, luxury vehicles, multilingual driver assistance, and customized mobility solutions.
- Increasing popularity of medical tourism, wellness tourism, and spiritual travel, generating transportation requirements between airports, hospitals, wellness centers, hotels, and pilgrimage destinations.
- Government initiatives promoting inbound tourism through destination development programs, thematic tourism circuits, and improved international accessibility.

- Continued growth in airport infrastructure, regional aviation connectivity, and highway development projects supporting multi-city travel experiences.

Environmental sustainability is also emerging as an important consideration among global travellers and tourism stakeholders. Growing emphasis on Environmental, Social and Governance (ESG) considerations is encouraging transportation operators to modernize fleets through the adoption of electric vehicles (EVs), compressed natural gas (CNG) vehicles, hybrid technologies, and fuel-efficient transportation solutions. Several operators are also investing in chauffeur training programs focused on hospitality standards, passenger safety, multilingual communication, and customer service excellence to align service delivery with global tourism expectations.

Technology adoption is further transforming the sector. Increasing deployment of GPS-enabled fleet monitoring systems, mobile booking applications, digital payment platforms, route optimization tools, telematics solutions, and integrated travel management systems is improving service quality, operational transparency, and customer convenience. The emergence of AI-enabled customer support, predictive fleet maintenance, and intelligent route planning solutions is further enhancing operational efficiency and customer experience. These developments are gradually positioning organized cab and coach rental providers as critical enablers of India's premium tourism ecosystem rather than merely transportation service providers.

Looking ahead, continued growth in international tourist arrivals, rising preference for personalized and experiential travel, expansion of luxury and wellness tourism, improving transportation infrastructure, and increasing digitalization of travel services are expected to further strengthen the role of organized cab and coach rental operators within India's tourism ecosystem. As travel experiences become increasingly integrated and service-oriented, professionally managed transportation providers are expected to play a central role in supporting India's long-term tourism growth trajectory.

3.4.1 Key Elements Supporting the Cab and Coach Rental Industry in Inbound International Tourism

Airport Transfers: A Critical Component of the Inbound Tourism Experience

Airport transfer services represent one of the earliest touchpoints between international visitors and their destination, making them an important contributor to the overall travel experience. For travellers arriving in India, particularly first-time visitors, reliable and professionally managed airport transportation services play a significant role in ensuring convenience, safety, comfort, and a positive first impression of the destination.

As inbound tourism continues to expand, airport transfers have evolved beyond basic transportation requirements and are increasingly viewed as an extension of the hospitality and tourism experience. International travellers expect seamless connectivity between airports, hotels, business districts, healthcare facilities, tourism attractions, and event venues through well-coordinated transportation arrangements.

Cab and coach rental operators play a vital role in facilitating these mobility requirements by offering structured pickup and drop services designed to cater to diverse traveller categories, including leisure tourists, corporate executives, medical travellers, families, diplomatic delegations, and organized tour groups. Service providers are increasingly focusing on punctuality, passenger safety, multilingual communication, and personalized assistance to meet evolving customer expectations.

The increasing use of digital travel planning platforms has further strengthened demand for organized airport transfer services. Many travellers now prefer booking transportation in advance through online travel agencies, hotel concierge services, airline partnerships, and dedicated mobility applications, allowing greater transparency, convenience, and travel coordination.

In addition, India's expanding airport infrastructure, increasing international air connectivity, and growth in tourism related activities across major and emerging destinations are contributing to rising demand for professional airport transfer services. The segment is also benefiting from growth in medical tourism, wellness tourism, destination weddings, luxury tourism, and corporate travel, all of which require dependable and high-quality transportation arrangements immediately upon arrival.

Key Features Commonly Associated with Quality Airport Transfer Services:

- Meet and assist services at airport terminals supported by trained personnel carrying identification signage and capable of communicating in English and other major foreign languages.
- Round the clock service availability aligned with domestic and international flight schedules, including late night and early morning arrivals.
- Real time vehicle tracking and communication systems that facilitate coordination among travellers, hotels, tour operators, and transportation providers.
- Flexible fleet availability ranging from economy vehicles and executive sedans to luxury SUVs, premium multipurpose vehicles, executive vans, and large air-conditioned coaches suitable for group travel.
- Value added passenger assistance such as luggage support, bottled water, wireless internet access, destination information, and local travel guidance.
- Digital booking confirmations, contactless payment facilities, and automated travel updates that improve customer convenience and service transparency.
- Enhanced safety standards through verified chauffeurs, GPS enabled monitoring systems, emergency support mechanisms, and customer assistance services.

Key trends and drivers for airport transfer in tourism segment for cab and coach rental services

Emerging Trend / Demand Driver	Industry Implications
Shift Towards Premium Airport Mobility Solutions	The growing influx of business travellers, luxury tourists, corporate executives, and affluent international visitors is increasing demand for premium airport transportation. Customers are increasingly seeking chauffeur-driven sedans, luxury SUVs, executive vans, and personalized transfer services that offer greater comfort, privacy, punctuality, and convenience. Bookings are increasingly being facilitated through airline partnerships, hospitality programs, travel aggregators, and integrated travel management platforms.
Rising Adoption of Concierge-Led Travel Assistance	Airport transfer services are evolving beyond basic transportation and increasingly include concierge-oriented offerings such as arrival assistance, baggage support, guest coordination, and end-to-end travel facilitation. These services are particularly popular among diplomats, corporate travellers, high-spending tourists, and luxury leisure travellers seeking seamless travel experiences.
Greater Emphasis on Operational Reliability and Passenger Safety	Service quality expectations among international travellers continue to rise. As a result, transportation operators are strengthening chauffeur verification processes, safety protocols, emergency response systems, fleet monitoring capabilities, and service standardization practices. Reliability and passenger assurance are increasingly influencing vendor selection decisions.
Expansion of Medical and Wellness Tourism Mobility Requirements	The growth of medical tourism and wellness travel is creating specialized transportation demand. Patients frequently travel with family members, caregivers, or attendants, increasing the need for larger and more comfortable vehicles. Consequently, mobility providers are establishing partnerships with hospitals, healthcare facilitators, and wellness resorts to offer coordinated transportation between airports, hotels, treatment centres, and recovery facilities.
Technology-Enabled Booking and Travel Coordination	International tourists increasingly prefer transportation solutions supported by digital platforms that offer online reservations, multilingual support, GPS-enabled tracking, real-time travel updates, transparent fare visibility, and itinerary-linked scheduling. Integration with airline arrival information and accommodation bookings is becoming an important service differentiator.
Growing Preference for Sustainable Transportation Alternatives	Environmental considerations are becoming increasingly relevant in travel-related decision making. Transportation providers are gradually incorporating electric vehicles (EVs), hybrid vehicles, compressed natural gas (CNG) vehicles, and other low-emission alternatives into their fleets. Simultaneously, airports and tourism destinations are investing in sustainable mobility infrastructure to support environmentally responsible transportation solutions.

Emerging Trend / Demand Driver	Industry Implications
Increasing Importance of Multilingual and Personalized Service Delivery	With tourist arrivals becoming more geographically diversified, effective communication and customized customer engagement have become increasingly important. Operators are investing in language training, hospitality-focused chauffeur development programs, cultural awareness initiatives, and service quality enhancements to improve traveller experiences and strengthen customer retention.

Airport transfer services are increasingly evolving into a strategic component of the tourism value chain rather than merely a transportation requirement. Operators capable of delivering technology enabled services, professional chauffeur support, personalized customer experiences, and consistent operational standards are expected to benefit from the continued growth of inbound tourism and premium travel segments in India.

3.4.2 Role of Chauffeur-Driven Mobility in Inbound Tourism

Chauffeur driven urban mobility has emerged as an important component of the inbound tourism transportation ecosystem, particularly among international travellers seeking convenience, flexibility, comfort, and personalized travel experiences. Unlike conventional transportation services that primarily focus on point to point movement, chauffeur driven mobility solutions offer a more comprehensive travel experience by combining transportation with local assistance, destination knowledge, itinerary flexibility, and enhanced customer service.

International visitors often face challenges related to unfamiliar road networks, language barriers, navigation complexities, local transportation systems, and time management. Chauffeur driven services help address these concerns by providing professionally trained drivers capable of ensuring seamless movement across cities while allowing travellers to focus on sightseeing, business engagements, cultural exploration, shopping, or leisure activities.

Demand for chauffeur driven mobility is particularly strong among business executives, luxury travellers, family groups, senior citizens, medical tourists, diplomats, and high spending international visitors who prioritize comfort, privacy, safety, and reliability. The segment has witnessed increasing adoption in major tourism and business destinations such as Delhi, Mumbai, Bengaluru, Chennai, Hyderabad, Jaipur, Udaipur, Goa, Kochi, and Kolkata, where travellers often require flexible transportation throughout their stay.

As travel preferences evolve, chauffeur driven services are increasingly becoming an extension of the hospitality experience. Travellers now expect transportation providers to deliver not only mobility but also local insights, personalized recommendations, destination guidance, and responsive customer support. This shift has encouraged operators to focus on service quality, chauffeur training, multilingual communication capabilities, and technology enabled customer engagement.

Several transportation providers have expanded their offerings beyond traditional vehicle rentals by integrating concierge style services, customized travel assistance, route planning support, and itinerary coordination. These enhancements are particularly valued by international tourists undertaking multi day city visits, cultural tours, business travel programs, or premium leisure experiences.

The growing popularity of experiential tourism has further strengthened demand for chauffeur driven mobility. Travellers increasingly seek authentic local experiences, hidden attractions, regional cuisine, cultural interactions, and customized sightseeing opportunities that often require flexible transportation arrangements not typically available through standard transportation modes.

Key Characteristics of Chauffeur Driven Mobility Services

- Dedicated chauffeurs with local destination knowledge and customer service training.
- Flexible scheduling that allows travellers to modify itineraries based on preferences and travel requirements.

- Availability of premium vehicle categories including executive sedans, luxury SUVs, premium multipurpose vehicles, and luxury vans.
- Assistance with hotel transfers, sightseeing activities, shopping excursions, restaurant visits, and business appointments.
- Real time route optimization to minimize travel delays and improve travel efficiency.
- Personalized recommendations relating to local attractions, dining options, cultural experiences, and shopping destinations.
- Multilingual communication support for international travellers from different regions.
- Enhanced privacy and comfort compared to conventional transportation options.

Factors Supporting Growth of Chauffeur Driven Mobility

Growth Driver	Description
Rising Preference for Personalized Travel Experiences	International tourists increasingly prefer customized travel experiences rather than fixed itineraries. Chauffeur driven mobility allows greater flexibility in destination selection, travel schedules, sightseeing activities, and leisure experiences.
Growth in Luxury and Premium Tourism	Expansion of luxury tourism, destination weddings, premium leisure travel, and high-end hospitality experiences is creating additional demand for chauffeur driven transportation services.
Increasing Business and Corporate Travel	Business travellers frequently require reliable transportation for meetings, conferences, exhibitions, airport transfers, and client engagements. Chauffeur driven services offer convenience, professionalism, and time efficiency.
Expansion of Medical and Wellness Tourism	Medical tourists and wellness travellers often require dependable transportation between airports, hospitals, treatment centers, wellness retreats, and accommodations, supporting demand for professionally managed chauffeur services.
Technology Enabled Travel Management	Mobile applications, digital reservations, GPS tracking, electronic payments, and real time communication tools are improving customer convenience and enhancing service quality.
Demand for Safety and Reliability	International travellers increasingly prioritize verified chauffeurs, professionally maintained vehicles, transparent pricing structures, and standardized operating procedures when selecting transportation providers.

Evolution of Chauffeur Services Beyond Transportation

The role of chauffeurs is gradually evolving beyond vehicle operation and transportation management. In many cases, chauffeurs serve as informal destination ambassadors by assisting travellers with local information, cultural insights, language support, and recommendations regarding attractions, restaurants, shopping locations, and entertainment options.

For international visitors unfamiliar with local customs and travel conditions, knowledgeable chauffeurs can significantly enhance the overall travel experience by providing practical assistance and facilitating smoother

interactions throughout the journey. This trend is particularly evident within premium tourism segments where travellers increasingly value personalized service and local expertise.

Consequently, transportation operators are investing in customer service training, hospitality development programs, language skills, grooming standards, and destination awareness initiatives to strengthen service differentiation and improve customer satisfaction levels.

As inbound tourism continues to diversify and become increasingly experience driven, chauffeur driven urban mobility is expected to play a progressively important role in supporting premium travel experiences, enhancing visitor satisfaction, and contributing to the overall growth of India's tourism and hospitality ecosystem.

3.4.3 Key User Segments for Chauffeur Driven Tourism Mobility

The demand for chauffeur driven transportation services within the inbound tourism segment is influenced by a diverse range of traveller profiles, each characterized by distinct preferences, service expectations, and mobility requirements. As international tourism becomes increasingly experience oriented and personalized, transportation providers are tailoring services to cater to the specific needs of different visitor categories.

Understanding these traveller segments enables operators to design customized transportation solutions, improve service quality, enhance customer satisfaction, and create differentiated travel experiences. The following user groups represent some of the most important demand contributors within the chauffeur driven tourism mobility market.

Solo Women Travellers and Senior Citizens

Solo women travellers and senior tourists often place significant emphasis on safety, reliability, comfort, and convenience when selecting transportation services. For these travellers, professionally managed chauffeur driven transportation provides a secure and dependable alternative to navigating unfamiliar public transportation systems or self driving arrangements.

Key service expectations typically include:

- Verified and professionally trained chauffeurs.
- GPS enabled vehicle tracking and emergency support systems.
- Transparent pricing structures and digital payment options.
- Comfortable vehicles with easy accessibility features.
- Flexible scheduling and personalized assistance throughout the journey.
- Reliable customer support and trip monitoring services.

As the number of solo leisure travellers and senior tourists continues to increase globally, transportation operators that prioritize safety standards and customer care are likely to experience growing demand from this segment.

Environmentally Conscious Travellers

Sustainability considerations are becoming increasingly important for international travellers, particularly visitors from Europe, North America, Australia, and other environmentally aware markets. Many travellers actively seek tourism providers that demonstrate commitment toward responsible and environmentally sustainable practices.

In response to this evolving preference, transportation operators are increasingly adopting:

- Electric vehicles and hybrid vehicle fleets.
- Alternative fuel transportation solutions.
- Fuel efficient route planning systems.

- Carbon footprint reduction initiatives.
- Environmentally responsible operational practices.

The growing focus on sustainable tourism and environmental stewardship is expected to further strengthen demand for green mobility solutions within the tourism transportation sector.

Cultural and Heritage Tourists

Cultural and heritage travellers represent an important segment within India's inbound tourism market. These visitors are typically interested in exploring historical monuments, museums, architectural landmarks, religious sites, traditional arts, cultural festivals, and heritage destinations.

Transportation requirements for this segment often involve:

- Full day and multi day sightseeing programs.
- Flexible travel schedules.
- Knowledgeable chauffeurs familiar with local attractions.
- Customized routes covering multiple destinations.
- Comfortable vehicles suitable for extended travel durations.

Popular destinations frequently visited by this traveller category include Delhi, Agra, Jaipur, Varanasi, Khajuraho, Hampi, Mysuru, Udaipur, and several UNESCO World Heritage sites across the country.

Luxury Leisure Travellers

Luxury travellers typically prioritize exclusivity, privacy, personalized service, and superior comfort throughout their journeys. This segment often includes high net worth individuals, affluent families, corporate leaders, celebrities, diplomats, and premium international tourists.

Common expectations include:

- Luxury sedans, premium SUVs, executive vans, and chauffeur driven luxury vehicles.
- Personalized itinerary planning and travel coordination.
- Airport concierge assistance and VIP transfers.
- Highly trained chauffeurs with strong hospitality skills.
- Flexible scheduling and destination customization.
- Seamless coordination with luxury hotels, resorts, and travel planners.

Growth in luxury tourism, destination weddings, wellness retreats, and premium hospitality experiences continues to support expansion of this segment.

Family and Group Travellers

Families and organized travel groups often require transportation solutions that prioritize convenience, space, coordination, and operational efficiency. Such travellers frequently undertake city sightseeing activities, pilgrimage tours, leisure vacations, educational excursions, and multi destination itineraries.

Key transportation requirements generally include:

- Spacious multipurpose vehicles, vans, minibuses, and luxury coaches.
- Adequate luggage storage capacity.

- Child friendly and senior friendly travel arrangements.
- Coordinated pickup and drop schedules.
- Cost effective transportation solutions for larger groups.
- Professional itinerary management and route planning support.

As family travel and group tourism continue to grow, demand for organized transportation solutions is expected to remain strong across both leisure and cultural tourism segments.

Medical and Wellness Tourists

India has emerged as a preferred destination for medical treatment, healthcare services, wellness retreats, yoga programs, and holistic therapies. Consequently, medical and wellness tourists represent a growing customer segment for chauffeur driven transportation providers.

These travellers typically require:

- Reliable airport transfers.
- Transportation between hospitals, hotels, wellness centers, and treatment facilities.
- Comfortable vehicles suitable for patients and accompanying family members.
- Flexible scheduling to accommodate medical appointments.
- Professional drivers trained in customer care and passenger assistance.

The continued expansion of India's medical tourism and wellness tourism sectors is expected to generate additional opportunities for organized transportation providers.

Business Delegates and MICE Travellers

Business travellers attending meetings, conferences, exhibitions, trade fairs, and corporate events constitute another significant user segment. These travellers generally prioritize punctuality, professionalism, efficiency, and service consistency.

Common requirements include:

- Executive transportation services.
- Airport transfers and hotel connectivity.
- Transportation for corporate events and business meetings.
- Dedicated vehicles for senior management and international delegates.
- Centralized scheduling and real time travel coordination.

The growth of India's MICE (Meetings, Incentives, Conferences, and Exhibitions) industry, coupled with increasing international business travel, is expected to further strengthen demand for premium chauffeur driven mobility services.

Evolving Expectations Across Traveller Segments

While transportation remains the core service offering, travellers increasingly expect chauffeurs and transportation providers to contribute to the overall visitor experience. Local destination knowledge, cultural awareness, communication skills, personalized assistance, and hospitality oriented service delivery are becoming important differentiators in the market.

As inbound tourism becomes more diverse and experience focused, transportation operators capable of tailoring services to different traveller profiles while maintaining high standards of safety, reliability, comfort, and customer engagement are expected to be better positioned for long term growth.

3.4.4 City Sightseeing & Leisure Tours

City sightseeing and leisure tours constitute a significant source of demand for cab and coach rental operators serving inbound international tourists. As travellers increasingly seek immersive and experience driven journeys, organized transportation services play a vital role in enabling convenient access to cultural landmarks, historical attractions, architectural sites, shopping districts, culinary destinations, entertainment venues, and local experiences.

Unlike airport transfers or point to point transportation, sightseeing services typically involve multiple destinations within a city or region, requiring flexible scheduling, route optimization, local expertise, and personalized travel coordination. Consequently, professionally managed transportation providers have become important partners in delivering seamless and memorable tourism experiences.

International tourists frequently prefer chauffeur driven vehicles and organized tour transportation as they offer greater convenience, safety, comfort, and flexibility while eliminating challenges associated with navigation, language barriers, parking availability, and local transportation systems. The ability to customize travel schedules and incorporate spontaneous visits to attractions further enhances the appeal of organized sightseeing services.

The segment has witnessed growing demand due to increasing popularity of experiential tourism, heritage tourism, culinary tourism, photography tours, wellness travel, shopping focused itineraries, and cultural immersion experiences. Travellers increasingly seek personalized journeys that allow them to explore destinations at their preferred pace while benefiting from local insights and destination expertise.

Transportation providers supporting sightseeing activities typically collaborate with hotels, travel agencies, destination management companies, tour operators, and hospitality providers to create integrated tourism experiences. Such partnerships help improve itinerary planning, customer convenience, and service coordination.

Key Transportation Requirements for Sightseeing Travellers

- Flexible travel schedules allowing modifications based on traveler preferences.
- Chauffeurs with strong destination knowledge and familiarity with major tourist attractions.
- Comfortable vehicles suitable for extended travel durations.
- Multilingual communication support where required.
- Efficient route planning to maximize sightseeing opportunities.
- Safe and reliable transportation throughout the travel program.
- Integration with hotels, tour operators, and local tourism service providers.
- Capacity to accommodate individual travellers, families, and organized groups.

Major Sightseeing Destinations and Mobility Requirements

Destination Category	Typical Travel Requirements
Heritage and Historical Cities	Full day sightseeing programs, monument visits, guided cultural tours, museum visits, and heritage walks.
Religious and Spiritual Destinations	Multi stop itineraries covering temples, churches, mosques, monasteries, spiritual centers, and pilgrimage locations.

Destination Category	Typical Travel Requirements
Coastal and Leisure Destinations	Flexible transportation for beaches, resorts, recreational activities, waterfront attractions, and leisure experiences.
Cultural and Festival Destinations	Transportation supporting cultural events, local festivals, traditional performances, and community experiences.
Shopping and Lifestyle Destinations	Dedicated transportation for shopping districts, artisan markets, luxury retail outlets, and local handicraft centers.

Popular Tourist Cities and Transportation Preferences

City	Key Tourist Attractions	Preferred Transportation Solutions
Delhi	Historical monuments, museums, cultural districts, shopping centers, and heritage sites	Chauffeur driven sedans, premium SUVs, executive vans, and guided city tour vehicles
Agra	Taj Mahal, Agra Fort, and Mughal heritage attractions	Private vehicles, luxury coaches, and day excursion transportation
Jaipur	Palaces, forts, cultural attractions, shopping markets, and heritage experiences	Chauffeur driven vehicles, luxury coaches, and customized sightseeing services
Varanasi	Religious tourism, spiritual experiences, heritage walks, and cultural activities	Flexible city transportation and guided sightseeing vehicles
Mumbai	Urban tourism, cultural landmarks, entertainment venues, shopping districts, and business centers	Executive sedans, premium SUVs, and chauffeur driven urban mobility services
Goa	Beaches, leisure tourism, nightlife, wellness retreats, and recreational activities	Premium multipurpose vehicles, luxury vans, and leisure focused transportation services
Kochi	Heritage tourism, backwater experiences, cultural attractions, and wellness tourism	Customized sightseeing vehicles and chauffeur driven transportation
Udaipur	Luxury tourism, heritage properties, lakeside attractions, and destination weddings	Luxury vehicles, premium coaches, and personalized travel arrangements

Emerging Trends in Sightseeing and Leisure Transportation

Several evolving tourism trends are influencing transportation demand within the sightseeing segment:

Growth of Experiential Tourism

Travellers increasingly seek authentic local experiences rather than traditional sightseeing alone. Culinary tours, artisan workshops, photography excursions, village visits, cultural interactions, and nature based activities are generating additional transportation requirements beyond conventional tourist circuits.

Rise of Customized Travel Programs

International tourists increasingly prefer personalized itineraries that reflect individual interests, travel pace, and destination preferences. Transportation operators capable of offering flexible schedules and customized route planning are witnessing stronger demand.

Increased Demand for Premium Mobility Solutions

Growing luxury tourism activity is driving demand for premium transportation services that combine comfort, privacy, exclusivity, and personalized attention. Luxury sedans, executive SUVs, premium multipurpose vehicles, and chauffeur driven transportation continue to gain popularity among affluent travellers.

Integration of Technology into Tourism Mobility

Digital booking platforms, GPS enabled navigation systems, real time itinerary management, mobile applications, and customer communication tools are improving operational efficiency and enhancing visitor convenience throughout sightseeing journeys.

Expansion of Culinary and Lifestyle Tourism

Food tourism, local market exploration, wine and beverage experiences, wellness programs, and lifestyle focused travel activities are creating additional opportunities for transportation providers to support diversified tourism experiences.

Role of Organized Transportation in Enhancing Visitor Experience

As international travellers increasingly prioritize convenience, flexibility, and personalized service, organized transportation has become an important facilitator of destination experiences rather than merely a means of travel. Transportation providers that combine operational reliability with local expertise, customer service excellence, and flexible itinerary management are well positioned to benefit from the continued growth of inbound leisure tourism and experiential travel in India.

3.4.5 Key Demand Drivers Shaping Inbound Leisure Tourism Transportation

The mobility requirements of inbound leisure tourists are evolving rapidly as travel preferences shift toward personalized experiences, convenience, sustainability, and technology enabled services. Transportation providers are increasingly required to deliver solutions that go beyond traditional point to point travel and contribute meaningfully to the overall visitor experience. Several emerging trends are reshaping demand patterns within the cab and coach rental industry and influencing how operators design and deliver their services.

Purpose Driven and Experience Focused Travel

International travellers are increasingly selecting destinations based on specific interests, experiences, and lifestyle preferences rather than conventional sightseeing alone. Wellness retreats, cultural immersion programs, culinary tourism, heritage exploration, adventure tourism, wildlife experiences, photography tours, and spiritual journeys have become important components of modern travel itineraries.

As a result, transportation providers are witnessing growing demand for customized mobility solutions that support specialized travel experiences. Travellers increasingly seek flexible transportation arrangements capable of accommodating unique schedules, multiple stopovers, and personalized sightseeing requirements.

Growing Preference for Personalized Mobility Solutions

Modern tourists increasingly value flexibility and customization throughout their journeys. Fixed itineraries are gradually giving way to more adaptable travel programs that allow visitors to modify schedules, add destinations, extend stays, and incorporate local experiences based on individual preferences.

This trend has increased demand for chauffeur driven transportation, dedicated vehicles, and customized travel arrangements that provide greater control over travel schedules and destination selection. Transportation providers

capable of offering tailored mobility solutions are gaining a competitive advantage within the inbound tourism segment.

Sustainable Tourism and Environmentally Responsible Mobility

Environmental sustainability has become an increasingly important consideration for international travellers, particularly visitors from Europe, North America, Australia, and other environmentally conscious markets. Many tourists actively seek service providers that demonstrate commitment toward responsible tourism and sustainable operational practices.

This shift is encouraging transportation operators to invest in:

- Electric vehicle fleets.
- Hybrid and alternative fuel vehicles.
- Fuel efficient fleet management practices.
- Carbon footprint reduction initiatives.
- Sustainable route planning and operational optimization.

The growing emphasis on environmental responsibility is expected to influence transportation procurement decisions across both leisure and corporate tourism segments in the coming years.

Technology Enabled Travel Experiences

Technology continues to transform the tourism mobility ecosystem. International travellers increasingly expect transportation services that offer convenience, transparency, and real time information throughout the travel journey.

Key technology driven developments include:

- Mobile based reservation platforms.
- Real time vehicle tracking.
- Digital payment systems.
- Automated booking confirmations and travel updates.
- GPS enabled route optimization.
- Customer support through digital communication channels.
- Integration with airline, hotel, and travel management platforms.

Operators investing in digital capabilities are better positioned to improve customer experience, operational efficiency, and service reliability.

Concierge Enabled Transportation Services

Transportation services are increasingly evolving beyond mobility and becoming an extension of the hospitality experience. Modern travellers value chauffeurs and transportation coordinators who can provide destination guidance, local recommendations, cultural insights, and travel assistance throughout the journey.

Drivers with strong communication skills, professional presentation, local destination knowledge, and multilingual capabilities are increasingly viewed as valuable contributors to overall visitor satisfaction.

Consequently, transportation providers are investing in hospitality training, customer service development, and destination awareness programs to strengthen service differentiation.

Customized Modular Itineraries

Inbound leisure travellers increasingly prefer travel programs that can be tailored according to personal interests, available time, budget considerations, and destination preferences. Rather than following rigid travel schedules, tourists seek flexibility in selecting attractions, modifying routes, and incorporating spontaneous experiences.

Transportation providers capable of offering modular itineraries supported by dynamic route planning, real time coordination, and personalized scheduling are experiencing growing demand. This trend is particularly evident among luxury travellers, family groups, long stay visitors, and free independent travellers seeking unique experiences.

Key segments

Tourist segment	Traveller pursuit	Popular circuit	Chauffeur key destinations	Typical duration
Luxury Heritage Travelers	Explore royal history, architecture, and palace stays in comfort	Golden Triangle & Rajasthan	Delhi, Agra, Jaipur, Udaipur, Jodhpur, Jaisalmer, Bikaner	7-10 Days
Spiritual Wellness Seekers	Seek spiritual growth, yoga retreats, and Ayurvedic healing	Spiritual North & Wellness South	Rishikesh, Varanasi, Bodh Gaya, Auroville, Munnar, Thekkady, Kovalam	7-14 Days
Wildlife & Eco Tourists	Experience India's biodiversity, national parks, and eco-tourism	Wildlife India	Ranthambore, Bandhavgarh, Kanha, Kaziranga, Sunderbans, Panna	10+ Days
Royal Train + Road Travelers	Combine luxury trains with guided road extensions for in-depth travel	Heritage Extensions	Post Palace on Wheels: Udaipur, Jaipur, Pushkar, Mount Abu	3-5 Days (Addon)

Growth of Wellness, Medical, and Spiritual Tourism

India continues to strengthen its position as a global destination for wellness programs, yoga retreats, Ayurveda therapies, alternative healing practices, and medical treatments. This has generated increasing demand for transportation services connecting airports, hospitals, wellness centers, resorts, rehabilitation facilities, and spiritual destinations.

Visitors within these segments often require dependable transportation, enhanced comfort, flexible scheduling, and personalized assistance, creating additional opportunities for organized transportation providers.

Expansion of Luxury and Premium Tourism

The continued growth of luxury tourism, destination weddings, premium hospitality experiences, and high end leisure travel is supporting demand for executive transportation services, luxury coaches, premium SUVs, chauffeur driven vehicles, and customized travel experiences.

Affluent travellers increasingly prioritize privacy, exclusivity, comfort, and personalized attention, encouraging operators to upgrade fleets and enhance service offerings to cater to premium customer segments.

Increasing Importance of Safety and Service Standardization

Safety, reliability, and service consistency have become important considerations for international travellers when selecting transportation providers. Verified chauffeurs, standardized operating procedures, emergency response systems, transparent pricing structures, and customer support mechanisms are increasingly influencing traveler preferences.

Transportation operators that maintain high service standards and strong safety credentials are likely to benefit from growing demand among both leisure and business travellers.

Emerging Role of Integrated Travel Ecosystems

The tourism industry is witnessing increasing collaboration among transportation providers, hotels, airlines, travel agencies, destination management companies, hospitals, and event organizers. Such partnerships facilitate seamless travel experiences by integrating transportation with accommodation, sightseeing, healthcare, and event related services.

Operators capable of participating in these broader travel ecosystems are expected to strengthen customer acquisition, improve operational efficiency, and generate higher value opportunities within the tourism sector.

Impact of Noida International Airport (NIA) on the Market

The commencement of commercial operations at Noida International Airport (NIA) in Jewar represents a significant growth opportunity for the cab rental services industry in North India. Located approximately 65 km from central Noida and East Delhi, the airport is expected to generate substantial demand for airport transfers, intercity travel, corporate mobility, employee transportation, and premium chauffeur-driven services. During the initial phase of operations, road-based transportation will be the primary mode of airport access, as metro connectivity is yet to be developed and mass transit infrastructure remains limited.

The absence of direct rail connectivity places cab aggregators and rental operators at the center of the airport's mobility ecosystem. NIA has partnered with major mobility platforms such as Uber, Ola, Rapido, and Mahindra Mobility to facilitate passenger transportation from launch. Given the airport's distance from major residential and commercial centers across NCR, app-based cabs, airport taxis, and rental vehicles are expected to account for a significant share of passenger movement during the initial years of operation.

While the Noida Authority and UPSRTC are rolling out a fleet of 100 air-conditioned electric buses to improve connectivity between the airport and key parts of the city, these services are still in the early stages of deployment. Consequently, last-mile connectivity is expected to remain heavily dependent on the cab ecosystem in the near term. With approximately 20,000 registered cab drivers operating across Noida and surrounding regions, cab aggregators are likely to play a critical role in supporting airport passenger traffic until larger public transportation networks, including metro connectivity, become operational.

Beyond passenger transportation, the airport is expected to create significant opportunities for organized coach rental operators. Airlines, airport operators, hotels, corporate offices, travel companies, and event organizers will require shuttle services connecting the airport with business districts, hospitality hubs, and major urban centers across NCR. The resulting increase in airport-linked mobility demand is expected to strengthen both the cab rental and coach rental segments.

Additionally, NIA is expected to accelerate the formalization of the regional transportation market. Airport-linked operations require strict adherence to vehicle permits, driver verification, insurance coverage, GPS tracking, safety standards, and service quality requirements. As a result, organized operators with technology-enabled fleet management systems and strong compliance capabilities are expected to gain market share over smaller unorganized players. Over the long term, the airport's planned expansion and rising passenger throughput are likely to make it a major demand driver for India's cab and coach rental services industry.

3.5 Corporate Transportation as a Key Demand Driver for the Cab and Coach Rental Services Industry

The corporate travel segment represents one of the most stable and recurring revenue streams within the cab and coach rental industry, supported by long term business relationships, structured mobility programs, and consistent transportation requirements. Unlike leisure travel, which is often influenced by seasonality and discretionary spending patterns, corporate mobility demand is largely driven by business operations, workforce movement, client engagements, meetings, conferences, and organisational travel requirements. As a result, corporate travel has evolved into a highly structured and service oriented segment for transportation providers.

Over the past decade, India's growing services sector, increasing corporate employment, expansion of multinational operations, and rising participation in business events have contributed significantly to the growth of organised corporate mobility services. Companies increasingly recognise transportation not merely as a logistical necessity but as an important contributor to employee productivity, operational efficiency, brand perception, and duty of care obligations.

Modern organisations place considerable emphasis on employee convenience, safety standards, regulatory compliance, sustainability objectives, and service reliability while selecting transportation partners. Consequently, corporate clients increasingly prefer professionally managed operators capable of delivering technology enabled, scalable, and customised mobility solutions aligned with internal travel policies and governance frameworks.

The growing adoption of hybrid work models and geographically distributed workforces has further transformed corporate mobility requirements. Organisations now require transportation support for office visits, leadership meetings, training programs, employee engagement activities, offsites, conferences, and large scale corporate events. This has expanded the scope of mobility providers beyond routine transportation and positioned them as strategic partners supporting workforce mobility and business continuity.

Increasing international exposure has also elevated expectations regarding chauffeur professionalism, vehicle presentation, passenger safety, data security, and service responsiveness. Businesses increasingly expect transportation providers to maintain high service standards, offer real time issue resolution, and deliver seamless travel experiences that reflect organisational values and professional standards.

Technology is playing an increasingly important role in shaping the corporate mobility ecosystem. Corporate clients now expect integrated transportation platforms that provide live vehicle tracking, automated scheduling, digital approvals, route optimisation, travel analytics, expense management capabilities, and management reporting dashboards. These capabilities enhance travel visibility, improve operational efficiency, strengthen compliance monitoring, and support data driven decision making.

Environmental, social, and governance (ESG) considerations are also becoming increasingly important within transportation procurement decisions. Many organisations are encouraging mobility partners to adopt electric vehicles, alternative fuel technologies, route optimisation practices, and sustainability reporting mechanisms to align transportation operations with broader corporate sustainability objectives.

As workforce mobility continues to support business productivity, employee engagement, and organisational effectiveness, enterprises are increasingly partnering with transportation providers capable of delivering reliable, scalable, technology integrated, and customer focused mobility solutions. This trend is expected to further strengthen the role of organised cab and coach rental operators within India's evolving corporate travel landscape.

Key Corporate Mobility Service Categories

Corporate transportation requirements typically span multiple business use cases and employee mobility needs.

The major service categories include:

1. **Chauffeur Driven Services**

- Executive travel
- Airport transfers
- Client meetings

- Daily business travel
- 2. **Employee Transportation and Workforce Mobility**
 - Employee commute services
 - Shift transportation
 - Corporate shuttle programs
 - Last mile connectivity solutions
- 3. **Corporate Offsites, Retreats and Team Engagement Programs**
 - Team building initiatives
 - Leadership retreats
 - Annual planning sessions
 - Employee engagement events
- 4. **Trade Events, Exhibitions and Product Launches**
 - Industry exhibitions
 - Dealer conferences
 - Product launches
 - Marketing and promotional events
- 5. **Industry Conferences, Seminars and Business Meetings**
 - Corporate conferences
 - Board meetings
 - Training workshops
 - Networking events
- 6. **Airport and Intercity Corporate Travel**
 - Executive airport transfers
 - Intercity business travel
 - Site visits
 - Regional mobility requirements
- 7. **MICE Travel (Meetings, Incentives, Conferences and Exhibitions)**
 - Delegate transportation
 - VIP mobility
 - Event shuttle operations
 - Conference logistics management
- 8. **Corporate Hospitality and Client Engagement Travel**
 - Investor visits
 - Client entertainment programs
 - Corporate guest transportation
 - Board member and senior management mobility

Each of these service categories possesses distinct mobility requirements, operational complexities, and service expectations, creating opportunities for specialised transportation providers to deliver tailored solutions and establish long term corporate relationships.

Chauffeur-Driven Services: A Core Pillar of Corporate Mobility

Chauffeur driven mobility services have emerged as a fundamental component of corporate transportation, evolving from simple point to point travel arrangements into comprehensive mobility solutions that support employee productivity, business continuity, executive travel, and corporate image management. Across industries such as information technology, consulting, banking and financial services, pharmaceuticals, manufacturing,

telecommunications, and professional services, organisations increasingly depend on structured transportation programs to facilitate efficient workforce movement and business operations.

As businesses become more geographically dispersed and employee mobility requirements grow in complexity, transportation providers are expected to deliver services that extend beyond vehicle availability. Corporate clients increasingly prioritise punctuality, professionalism, confidentiality, safety, operational reliability, and regulatory compliance when selecting mobility partners. These requirements span daily employee travel, executive transportation, airport transfers, client meetings, site visits, and intercity business travel.

In today's corporate environment, chauffeur driven services play a critical role in supporting time sensitive schedules and ensuring seamless movement across multiple locations. Businesses increasingly require transportation partners capable of managing dynamic travel requirements, multi stop itineraries, and last minute scheduling changes while maintaining service consistency and operational efficiency.

The quality and professionalism of chauffeurs have become important differentiators within the corporate mobility segment. Modern corporate travel programs emphasise trained and verified chauffeurs who possess strong driving skills, professional etiquette, communication capabilities, and familiarity with corporate protocols. Chauffeurs are increasingly expected to function as service representatives who contribute positively to employee experience and organisational brand perception.

Corporate transportation providers are therefore investing significantly in chauffeur development programs covering:

- Corporate etiquette and professional conduct.
- Customer service and communication skills.
- Navigation and route planning capabilities.
- Emergency response and passenger safety procedures.
- Data privacy and confidentiality requirements.
- Vehicle inspection and operational compliance standards.
- Executive protocol management and VIP handling.

Technology integration has further enhanced the effectiveness of chauffeur driven mobility solutions. Modern fleets increasingly utilise GPS enabled tracking systems, digital dispatch platforms, route optimisation tools, electronic trip management systems, and real time communication channels. These capabilities improve service visibility, reduce travel disruptions, and enable organisations to monitor transportation performance more effectively.

The increasing focus on Environmental, Social and Governance (ESG) objectives is also influencing corporate mobility practices. Organisations increasingly prefer transportation providers that adopt fuel efficient operations, electric vehicle fleets, route optimisation practices, and structured safety management frameworks. Consequently, mobility providers are integrating sustainability initiatives alongside operational excellence to remain aligned with evolving corporate expectations.

During meetings, incentives, conferences and exhibitions (MICE), organisations require transportation providers capable of managing coordinated fleet operations, strict timelines, delegate movement, VIP transfers, and complex event logistics. In such scenarios, experienced chauffeurs familiar with event venues, security protocols, and high pressure operating environments become particularly valuable.

In major business centres and international gateway cities, multilingual chauffeur capabilities are becoming increasingly important. International executives and foreign delegates often prefer transportation providers capable of facilitating effective communication, cultural sensitivity, and enhanced service quality throughout their journeys.

As corporate travel continues to evolve, chauffeur driven services are expected to remain a core pillar of the mobility ecosystem, supporting operational efficiency, employee wellbeing, executive convenience, and business productivity across a wide range of industries.

Importance of chauffeur-driven services in corporate travel

Key Business Need	Chauffeur Driven Service Solution
Reliable and Safe Employee Mobility	Organisations require dependable transportation solutions that support workforce movement while maintaining high standards of safety, punctuality, and operational consistency. Chauffeur driven services provide structured transportation supported by verified drivers, standard operating procedures, and reliable service delivery, helping improve employee experience and travel dependability.
Business Continuity and Operational Reliability	Organisations increasingly depend on transportation partners capable of maintaining uninterrupted mobility support during peak travel periods, business events, operational disruptions, and changing travel requirements. Reliable chauffeur driven services contribute to smoother business operations and improved workforce mobility.
Executive Mobility and Leadership Travel	Senior executives frequently operate under time sensitive schedules requiring efficient transportation between offices, client locations, airports, hotels, and business meetings. Chauffeur driven services provide a professional and controlled travel environment that enables executives to maximise productivity while ensuring confidentiality and schedule adherence.
Multi Location Business Travel	Corporate travel often involves multiple meetings, site visits, inspections, and stakeholder engagements across different locations. Chauffeur driven mobility solutions support flexible routing, efficient scheduling, and seamless movement between destinations, allowing business travellers to optimise their time and focus on core activities.
Client Hospitality and Relationship Management	Transportation services frequently form part of the overall experience for clients, investors, partners, and business guests. Professionally managed chauffeur services help organisations create a positive impression by delivering comfort, convenience, and consistent service quality during business interactions.

Chauffeur driven transportation has evolved beyond a convenience-based service and is increasingly regarded as an important operational enabler that supports employee productivity, executive effectiveness, stakeholder engagement, and overall business efficiency. As corporate travel requirements become more complex and service expectations continue to rise, professionally managed chauffeur driven mobility solutions are expected to remain a key component of the corporate transportation ecosystem.

3.5.1 Corporate Travel Requirements: Offsites, Retreats and Team Engagement Programs

Corporate offsites, leadership retreats, and team engagement programmes have become increasingly important components of organisational culture, employee development, and workforce engagement strategies. While offsites are typically organised to facilitate strategic planning, business reviews, leadership discussions, and departmental alignment, retreats are generally designed to promote team bonding, employee wellbeing, collaboration, and informal interaction outside the traditional workplace environment. Team engagement

programmes further support organisational objectives by strengthening communication, enhancing teamwork, and improving employee morale.

The growing emphasis on employee experience, workplace culture, and talent retention has contributed to a steady increase in corporate spending on offsite events and engagement initiatives. Organisations across sectors such as information technology, consulting, banking and financial services, pharmaceuticals, manufacturing, and professional services are increasingly organising annual meetings, leadership summits, training workshops, sales conferences, and team building programmes at destinations outside their primary office locations.

As these programmes continue to expand in scale and frequency, transportation has evolved into a critical component of event planning and execution. Organisations increasingly view mobility services not merely as a logistical requirement but as an integral part of the overall employee experience. Efficient transportation ensures seamless movement of participants while contributing to event satisfaction, operational coordination, and programme effectiveness.

Corporate offsite travel often involves transportation between offices, airports, railway stations, hotels, conference venues, resorts, and activity locations. Depending on the scale of the event, mobility requirements may range from small group transfers to large scale movement of hundreds of participants across multiple locations. This creates significant demand for organised cab and coach rental services capable of managing complex transportation requirements while maintaining punctuality and service consistency.

Fleet preference and travel amenities for corporate

Vehicle Type	Capacity	Popular Circuit	Key amenities
Luxury Coaches	30 to 45 passengers	Large corporate teams, annual conferences, leadership summits, and offsite travel	Air conditioning, reclining seats, audio visual systems, onboard restrooms, and large luggage compartments
Tempo Travellers	9 to 20 passengers	Small and medium sized teams, training programmes, and team outings	Reclining seats, USB charging ports, overhead storage, and comfort oriented interiors
Mini Buses	20 to 30 passengers	Departmental travel, intercity movement, and specialised group transportation	Comfortable seating, optional wireless internet access, privacy features, and enhanced passenger comfort
Premium Vans and SUVs	5 to 8 passengers	Leadership teams, senior management groups, and executive offsite travel	Spacious interiors, enhanced comfort, privacy, and premium travel experience

Importance of Cab and Coach Services in Corporate Offsites and Retreats

Transportation as the First Touchpoint of the Employee Experience

Transportation often represents the first physical interaction employees have with an offsite programme or retreat. Consequently, the quality of transportation services can significantly influence participants' perception of the event. Comfortable vehicles, timely departures, organised coordination, and a smooth travel experience help establish a positive atmosphere from the outset and contribute to overall programme success.

Growing Corporate Demand Supporting Industry Expansion

The frequency of offsites, annual business reviews, sales meetings, leadership workshops, and employee engagement initiatives has increased considerably in recent years. Organisations are increasingly investing in face to face interactions to strengthen collaboration, reinforce organisational culture, and improve team cohesion. This trend continues to support demand for organised cab and coach rental services capable of accommodating diverse group sizes and travel requirements.

Operational Complexity Creating Opportunities for Specialised Operators

Corporate offsite transportation frequently involves multiple pickup points, staggered departures, varying participant schedules, and coordination across several venues. Managing these requirements efficiently demands detailed planning, strong operational capabilities, and effective communication. As a result, organisations increasingly prefer experienced transportation providers capable of delivering end to end mobility management rather than relying on fragmented travel arrangements.

Group Travel Efficiency and Cost Optimisation

Coach and group transportation solutions provide organisations with an efficient and cost effective alternative to individual travel reimbursements and uncoordinated transportation arrangements. Consolidated transportation improves scheduling efficiency, reduces administrative complexity, and facilitates better management of participant movement throughout the programme.

Enhanced Safety and Duty of Care Responsibilities

Employee safety remains a key consideration during offsite travel. Organisations increasingly prefer transportation providers that maintain high vehicle maintenance standards, employ verified drivers, and follow established safety procedures. Structured transportation arrangements also enable companies to maintain better visibility and accountability throughout the travel programme.

Add On Services Enhancing Corporate Travel Experience

As organisations increasingly seek differentiated employee experiences, demand for value added transportation services continues to grow. Common requirements include:

- Customised vehicle branding aligned with corporate identity and event themes.
- Dedicated event transportation coordinators for large group movements.
- Priority vehicle allocation for leadership teams and key stakeholders.
- Onboard refreshments for long distance travel programmes.
- Welcome kits and event related communication materials.
- Special transportation arrangements for outdoor activities and team building sessions.
- Flexible scheduling to accommodate programme modifications and activity extensions.

Transportation as a Contributor to Employee Engagement

A well managed travel experience can positively influence employee satisfaction and engagement during corporate programmes. Group travel often encourages informal interaction, relationship building, and collaboration among participants before formal activities commence. Comfortable and organised transportation also reduces travel related fatigue, allowing employees to participate more actively in programme activities and discussions.

As organisations continue to prioritise employee engagement, leadership development, and workplace culture, corporate offsites and retreats are expected to remain an important source of demand for organised cab and coach rental services. Transportation providers capable of delivering reliable group mobility solutions, operational coordination, and high quality travel experiences are likely to benefit from the continued growth of this segment.

Travel Experience Enhancing Employee Engagement and Retention

Transportation plays a significant role in shaping employee perception during corporate events. A well-managed travel experience enhances employee satisfaction, reinforces a sense of value, enables informal interaction among colleagues, and reduces travel fatigue. This becomes particularly important for outstation events where travel comfort directly impacts participation and engagement levels.

Regulatory Landscape Governing Corporate Employee Transportation in India

Corporate employee transportation in India is governed by a combination of transport regulations, labour laws, workplace safety requirements, and employee protection guidelines. As transportation is increasingly viewed as an extension of the workplace, compliance has become essential for ensuring employee safety, minimizing legal risks, and maintaining business continuity.

Motor Vehicles Act and Transport Regulations: All vehicles used for employee transportation must comply with the Motor Vehicles Act, including valid registration, commercial permits, fitness certificates, insurance coverage, and Pollution Under Control (PUC) certifications. Regular inspections and adherence to safety standards are mandatory to ensure roadworthiness and passenger safety.

Labour Laws and Employer Responsibility: Employers have a duty to provide a safe working environment, which increasingly extends to employee commuting arrangements. Organizations operating night shifts are expected to implement transportation systems that prioritize employee welfare and mitigate safety risks during transit.

Women Employee Safety and POSH Compliance: Various state guidelines require organizations to implement enhanced safety measures for women employees working late hours. These typically include driver verification, GPS-enabled vehicles, trip monitoring, emergency response mechanisms, and secure pick-up and drop-off procedures. Since company-arranged transportation is often considered an extension of the workplace, incidents occurring during transit may also fall under workplace safety and POSH-related obligations.

Driver and Vehicle Compliance Standards: Corporate transportation providers are expected to maintain comprehensive driver verification records, including licence validation, background checks, and regular training on safe driving practices. Vehicles must undergo periodic maintenance, safety inspections, and documentation reviews to ensure compliance and operational reliability.

Technology and Data Security Requirements: Many organizations now mandate GPS tracking, real-time trip monitoring, panic alert systems, and digital trip records to improve employee safety and compliance visibility. Transportation providers must also ensure the secure handling of employee information, including addresses, contact details, and travel schedules.

Vendor Accountability and Compliance Audits: Even when transportation services are outsourced, organizations remain responsible for ensuring vendor compliance. As a result, companies increasingly conduct audits covering vehicle documentation, driver credentials, insurance coverage, safety protocols, and incident management procedures. Service agreements often include strict compliance clauses and performance standards.

Compliance Driving the Shift Toward Organized Operators: The growing complexity of labour, safety, and transportation regulations is driving corporate clients away from unorganized vendors and toward structured fleet operators. Organized transportation providers are better equipped to meet regulatory requirements through standardized processes, technology-enabled monitoring, documented compliance frameworks, and audit-ready records, making them the preferred choice for large enterprises seeking to reduce operational and legal risks.

Trade Shows, Industry Exhibitions, and Product Launches

As India's economy continues to expand and businesses increasingly focus on brand visibility, customer engagement, and market expansion, trade shows, industry exhibitions, product launches, dealer meets, corporate showcases, and industry conferences have become important drivers of business activity. Participation in such events has increased across sectors including technology, automotive, healthcare, pharmaceuticals,

manufacturing, financial services, consumer goods, telecommunications, and industrial products, thereby generating significant demand for organized mobility solutions.

The operationalization of world-class convention and exhibition infrastructure such as Bharat Mandapam in New Delhi, Yashobhoomi Convention Centre in Dwarka, Jio World Convention Centre, and the Nita Mukesh Ambani Cultural Centre in Mumbai has significantly enhanced India's capability to host large-scale domestic and international exhibitions, government forums, industry summits, trade fairs, and business conferences. These venues regularly attract thousands of delegates, exhibitors, corporate executives, government officials, investors, media personnel, and international participants, creating substantial demand for coordinated transportation services.

Unlike routine corporate travel, event-related mobility requirements involve concentrated demand over a short period, strict scheduling requirements, movement of multiple stakeholder groups, and extensive coordination across airports, hotels, exhibition venues, convention centres, networking events, and partner locations. The successful execution of such events depends heavily on reliable transportation services capable of ensuring seamless participant movement while maintaining high service standards and operational efficiency.

Corporate organizations increasingly rely on organized chauffeur-driven cab and coach operators to manage transportation requirements for senior management, exhibitors, event planners, marketing teams, technical personnel, support staff, clients, distributors, channel partners, and invited guests. Large-scale events often require the simultaneous deployment of multiple vehicle categories, ranging from luxury sedans and executive SUVs for VIP delegates to premium coaches and minibuses for employee groups, exhibitors, and conference attendees.

The growing scale and sophistication of trade events have increased demand for technology-enabled transportation solutions that offer centralized trip management, real-time fleet tracking, route optimization, vehicle scheduling, and on-ground coordination capabilities. Organizers increasingly prefer service providers capable of delivering integrated mobility solutions that ensure punctuality, flexibility, operational visibility, and a consistent customer experience throughout the event lifecycle.

Key transportation requirements associated with trade shows, exhibitions, and product launches include:

- Branded fleet deployment aligned with corporate identity and event positioning during high-visibility events.
- Coordinated airport transfers and multi-point pick-up and drop-off services across hotels, convention centres, exhibition venues, and networking locations.
- Dedicated fleet marshals, centralized control rooms, and real-time operational dashboards to manage large-scale participant movement.
- Flexible vehicle deployment and standby fleet availability to accommodate schedule changes, unscheduled movements, and event extensions.
- Premium chauffeur-driven transportation for senior executives, keynote speakers, government dignitaries, international delegates, and VIP guests.
- Coach and shuttle services for exhibitors, conference participants, employee groups, and event attendees requiring high-volume transportation.

As India continues to position itself as a destination for global business events, international exhibitions, government summits, and large-scale corporate gatherings, demand for organized cab and coach rental services is expected to increase further. The growing MICE (Meetings, Incentives, Conferences, and Exhibitions) ecosystem, combined with investments in convention infrastructure and rising corporate event activity, is likely to remain a significant growth driver for the organized mobility industry.

Transportation Requirements Across Event Types

Event Type	Typical Mobility Requirements
Trade Shows and Industry Exhibitions	Delegate transportation, exhibitor mobility, airport transfers, hotel shuttle services, and movement between exhibition venues and networking events
Product Launches	Executive transportation, media movement, VIP guest transfers, dealer mobility, and event support logistics
Dealer and Distributor Meets	Group transportation, airport pickups, intercity transfers, and coordinated movement between accommodation and event venues
Corporate Roadshows	Multi city transportation planning, executive mobility, event crew movement, and flexible routing across multiple destinations
Industry Conferences and Summits	Delegate transfers, speaker transportation, shuttle operations, and movement between hotels, conference venues, and networking locations

Key Factors Driving Transportation Demand

Increasing Scale of Business Events

The growing number of exhibitions, trade fairs, business conferences, and corporate showcases is generating significant demand for organised transportation solutions. Larger events often involve participants arriving from multiple cities and countries, requiring structured mobility arrangements to ensure smooth coordination.

Rising Importance of Delegate Experience

Businesses increasingly recognise that transportation forms an important part of the overall event experience. Efficient mobility arrangements help improve attendee satisfaction, reduce delays, and enhance event participation, particularly for senior executives, international delegates, and key clients.

Growth in Multi City Product Launches

Companies increasingly conduct product launches and promotional campaigns across multiple cities to maximise market reach. Such initiatives require transportation partners capable of supporting consistent service delivery, route planning, and coordinated fleet deployment across different locations.

Expansion of Industry Specific Events

Sector focused exhibitions, healthcare conferences, technology summits, automotive expos, and manufacturing trade fairs continue to attract increasing participation from domestic and international stakeholders. This trend is creating sustained demand for transportation providers capable of supporting event related mobility requirements.

Vehicle Type	Typical Application
Sedans	Executive travel, airport transfers, speaker transportation, and client mobility
Premium SUVs	Senior management travel, VIP guest movement, and high profile stakeholder transportation
Tempo Travellers	Small group transfers, dealer movement, and team transportation
Mini Buses	Delegate shuttles, event staff transportation, and medium sized group travel
Luxury Coaches	Large scale participant movement, conference delegates, and exhibition attendee transportation

Emerging Trends in Event Mobility

Several trends are reshaping transportation requirements within the corporate events segment:

- Increasing preference for integrated mobility planning as part of overall event management.
- Growing demand for premium transportation experiences for clients, investors, and senior executives.
- Higher utilisation of shuttle services to manage large participant volumes efficiently.
- Greater focus on operational reliability and schedule adherence during high visibility corporate events.
- Increasing adoption of dedicated mobility partners for large scale exhibitions and multi city business events.

As business events continue to expand in scale, complexity, and strategic importance, transportation providers are expected to play an increasingly critical role in ensuring seamless participant movement and supporting successful event execution. Organised cab and coach rental operators with strong fleet capabilities and event management expertise are likely to benefit from growing demand across trade shows, exhibitions, conferences, and product launch activities.

3.5.2 Cab and Coach Rental Services for Exhibitions, Conferences, and Product Launches

Efficient ground transportation plays a critical role in the successful execution of trade shows, industry exhibitions, product launches, dealer conferences, and corporate showcase events. In an environment where every stakeholder interaction contributes to brand perception and operational effectiveness, mobility services have evolved beyond a logistical support function to become an important component of the overall event experience.

For organisers and participating companies, transportation directly influences punctuality, attendee convenience, event coordination, and stakeholder satisfaction. Whether transporting senior executives, clients, delegates, exhibitors, media representatives, or support teams, well managed mobility solutions help ensure seamless event execution while reinforcing a professional corporate image.

As business events become larger and more complex, organisations increasingly require transportation providers capable of delivering structured fleet operations, coordinated scheduling, and consistent service quality across multiple locations and participant groups.

Transportation as an Extension of Brand Experience

Corporate events often represent high visibility opportunities where organisations interact with prospective customers, investors, channel partners, industry stakeholders, and media representatives. As a result, transportation services frequently serve as one of the first physical touchpoints between attendees and the event.

Professionally managed vehicles, organised arrival experiences, courteous chauffeurs, and efficient movement between venues contribute positively to participant perception and enhance the overall event experience. For premium product launches, investor events, and executive gatherings, mobility arrangements often reflect the quality, professionalism, and brand positioning of the host organisation.

Supporting Seamless Delegate and Participant Movement

Large exhibitions and conferences frequently involve the movement of attendees between airports, hotels, convention centres, exhibition halls, networking venues, and offsite event locations. Coordinating these movements efficiently is essential to maintaining event schedules and ensuring a positive attendee experience.

Cab and coach operators support event organisers through:

- Airport pickup and drop services for delegates and speakers.
- Hotel shuttle operations connecting accommodation facilities and event venues.
- Scheduled transportation for networking sessions and evening functions.
- Dedicated mobility arrangements for exhibitors and event management teams.
- Transportation support for technical staff, logistics personnel, and support crews.

VIP and Executive Mobility Management

Senior executives, keynote speakers, investors, board members, and distinguished guests often require specialised transportation arrangements that prioritise comfort, privacy, punctuality, and reliability. Consequently, event organisers frequently deploy premium sedans, luxury SUVs, and dedicated chauffeur driven vehicles to support executive mobility requirements.

These services help ensure smooth movement between airports, hotels, business meetings, media interactions, and event venues while maintaining a high standard of service appropriate for senior stakeholders.

Shuttle Operations for Large Scale Events

For major exhibitions, trade fairs, and conferences, shuttle transportation plays an important role in managing large attendee volumes efficiently. Scheduled shuttle services help reduce congestion, improve participant convenience, and facilitate predictable movement across event locations.

Coach and minibus services are particularly valuable for:

- Delegate transportation between hotels and venues.
- Movement between multiple exhibition halls.
- Transportation to networking events and gala functions.
- Group transfers for corporate delegations and industry associations.
- Movement of event volunteers and operational teams.

Facilitating Multi Venue and Multi City Events

Many corporate roadshows, product launches, and promotional campaigns are conducted across multiple cities and venues within a limited timeframe. Such programmes require transportation providers capable of maintaining service consistency across different locations while supporting changing schedules and varying participant requirements.

The ability to coordinate vehicles, drivers, and participant movement across multiple destinations has become an important capability for transportation operators serving the corporate events segment.

Importance of Operational Coordination

Corporate events typically involve numerous stakeholders, including event organisers, venue operators, exhibitors, sponsors, hospitality partners, and transportation providers. Effective coordination among these stakeholders is essential for ensuring smooth event execution.

Transportation providers increasingly support event operations through:

- Centralised transportation planning.
- Fleet scheduling and deployment management.
- Dedicated event transportation coordinators.
- Real time communication with organisers and venue teams.
- Contingency planning for schedule changes and operational disruptions.

Key Corporate Mobility Priorities During Events

- Brand aligned fleet deployment supporting professional event presentation.
- Structured meet and greet arrangements for delegates and VIP guests.
- Reliable transportation schedules aligned with event programmes.

- Dedicated transportation support for speakers, sponsors, and executives.
- Efficient shuttle operations for large participant groups.
- Flexible vehicle deployment to accommodate changing event requirements.
- Consistent service standards across multiple venues and stakeholder groups.

Strategic Importance for Transportation Providers

The corporate events segment offers significant opportunities for cab and coach rental operators due to its recurring nature, large group travel requirements, and potential for long term client relationships. Successful execution of exhibitions, conferences, product launches, and corporate events often leads to repeat engagements across future business activities.

As India's corporate events industry continues to expand, transportation providers capable of delivering organised fleet management, reliable operations, premium service standards, and seamless participant mobility are expected to strengthen their position within this growing market segment.

Key Business Needs Requiring Cab and Coach Services for Corporate Events

Corporate events involve diverse stakeholder groups, varying travel schedules, and multiple transportation requirements that extend beyond conventional business travel. Event organisers increasingly depend on structured cab and coach services to facilitate efficient movement of employees, delegates, clients, partners, exhibitors, and operational teams throughout the event lifecycle.

The scale and complexity of transportation requirements often vary depending on event size, venue configuration, participant demographics, and programme schedules. Consequently, transportation providers must offer flexible fleet solutions capable of supporting both individual and group mobility needs.

Mobility Requirements Across Corporate Events

Key Business Need	Transportation Requirement
Employee and Staff Transportation	Corporate events frequently require movement of employees from offices, hotels, airports, and designated pickup locations to event venues. Efficient transportation planning helps ensure timely arrivals, smooth programme execution, and better coordination among participating teams.
Client and Partner Mobility	Business partners, investors, distributors, dealers, and strategic clients often require dedicated transportation arrangements that prioritise convenience, comfort, and punctuality. Premium transportation services help organisations deliver a professional and welcoming experience to key stakeholders.
Delegate Shuttle Services	Conferences, exhibitions, and large scale corporate gatherings frequently require scheduled shuttle operations connecting hotels, airports, convention centres, and networking venues. Shuttle services improve attendee convenience while facilitating efficient movement of large participant groups.
Speaker and Executive Transportation	Keynote speakers, senior management teams, and distinguished guests typically require dedicated transportation support aligned with programme schedules. Reliable mobility arrangements help ensure timely participation in meetings, presentations, and event activities.
Multi Venue Transportation Coordination	Events conducted across multiple venues often require participants to travel between conference facilities, exhibition halls, hotels, dining locations, and networking venues. Coordinated transportation services help minimise delays and improve overall event efficiency.
Event Operations and Support Mobility	Event planners, technical teams, production crews, registration personnel, and support staff frequently require transportation throughout the event duration. Flexible

Key Business Need	Transportation Requirement
	vehicle deployment helps ensure uninterrupted operational support and effective event management.
Airport Transfer Management	Participants arriving from different cities and countries often require organised airport transfers to hotels and event venues. Structured arrival and departure planning contributes to a seamless attendee experience and reduces logistical challenges.

Evolving Expectations from Corporate Clients

As corporate events become increasingly experience focused, organisations expect transportation providers to contribute beyond basic mobility support. Key expectations now include:

- Seamless coordination across multiple stakeholder groups.
- Consistent service quality throughout the event duration.
- Flexibility to accommodate schedule modifications and programme changes.
- Capacity to manage both individual and large group transportation requirements.
- Professional representation of the organisation during high visibility events.
- Reliable support during peak arrival and departure periods.

Increasing Importance of Integrated Event Mobility

Transportation is increasingly being integrated into broader event planning processes rather than being managed as an independent logistical activity. Event organisers now seek mobility partners capable of supporting participant experience, operational efficiency, and programme execution through coordinated transportation solutions.

As the scale of conferences, exhibitions, product launches, and corporate gatherings continues to expand, demand for organised cab and coach services is expected to grow steadily, creating opportunities for transportation providers with strong fleet management and event mobility capabilities.

Key Mobility Requirements for Corporate Events

Corporate events involve participants with varying transportation requirements depending on their role, seniority, group size, travel distance, and programme schedule. As a result, organisations typically deploy a combination of vehicle categories to ensure efficient mobility management while balancing comfort, operational efficiency, and cost considerations.

The choice of vehicle is influenced by factors such as participant volume, travel duration, event visibility, stakeholder importance, luggage requirements, and destination accessibility. Transportation providers are therefore expected to maintain diversified fleets capable of supporting both individual executive travel and large scale delegate movement.

Vehicle Categories Commonly Deployed for Corporate Events

Vehicle Type	Capacity	Typical Application
Hatchbacks	3 to 4 passengers	Support staff movement, short distance transfers, local travel requirements, and cost efficient transportation for operational teams.
Sedans	3 to 4 passengers	Airport transfers, executive travel, client meetings, speaker transportation, and business travel requiring a professional and comfortable travel experience.

Vehicle Type	Capacity	Typical Application
Sport Utility Vehicles (SUVs)	5 to 7 passengers	Senior management mobility, intercity travel, client visits, inspection tours, and transportation requiring additional comfort and luggage capacity.
Tempo Travellers	9 to 15 passengers	Small group transfers, team transportation, airport shuttles, and movement of delegates between hotels and event venues.
Mini Buses	18 to 30 passengers	Departmental travel, corporate group movement, conference transportation, and scheduled shuttle operations.
Luxury Coaches	35 to 50 passengers	Large scale delegate transportation, exhibitions, corporate conventions, annual meetings, and employee engagement events involving significant participant volumes.

Factors Influencing Vehicle Selection

Group Size and Participant Volume

The number of attendees remains one of the primary determinants of fleet deployment. While executive mobility typically requires sedans or premium SUVs, larger conferences and exhibitions often depend on minibuses and coaches to facilitate efficient participant movement.

Nature of Participants

Different stakeholder groups have varying transportation expectations. Senior executives, investors, keynote speakers, and international delegates generally require premium mobility solutions, whereas operational teams and event staff may utilise standard fleet categories depending on programme requirements.

Distance and Duration of Travel

Long distance journeys and intercity travel generally necessitate vehicles offering enhanced passenger comfort, luggage capacity, and seating ergonomics. Group transportation for extended travel programmes often relies on coaches and premium buses equipped with additional passenger amenities.

Event Scale and Visibility

High profile events, product launches, investor meetings, and corporate showcases often require premium fleet deployment to align transportation standards with the organisation's brand image and stakeholder expectations.

Operational Flexibility

Corporate events frequently experience changes in schedules, participant arrivals, and venue requirements. Transportation providers must therefore maintain sufficient fleet flexibility to accommodate evolving mobility needs without disrupting programme execution.

Emerging Fleet Preferences in Corporate Mobility

Several trends are influencing fleet deployment decisions within the corporate events segment:

- Growing preference for premium vehicles for executive and client facing transportation.
- Increased utilisation of coaches and shuttle services to improve operational efficiency during large events.
- Rising demand for spacious vehicles capable of supporting luggage intensive travel programmes.
- Greater emphasis on passenger comfort during long distance and multi day events.

- Increasing adoption of environmentally conscious fleet options by organisations pursuing sustainability objectives.

3.6 Luxury Mobility Demand from Weddings and Social Celebrations

The demand for luxury cab and coach rental services in India has expanded beyond traditional corporate mobility requirements and is increasingly driven by personal celebrations, social gatherings, and milestone events. Weddings, anniversaries, birthdays, engagement ceremonies, baby showers, bachelor and bachelorette parties, and other special occasions have emerged as important demand generators for premium transportation services across the country.

As consumer preferences continue to evolve, transportation is no longer viewed solely as a logistical requirement but as an integral component of the overall event experience. The growing emphasis on experiential celebrations, personalized hospitality, and premium guest experiences has elevated the role of luxury mobility providers within the broader events ecosystem.

This trend is particularly evident in destination weddings and large-scale multi-day celebrations, where guest movement across airports, hotels, resorts, banquet venues, and event locations requires structured transportation planning and execution. In such settings, luxury vehicles serve not only a functional purpose but also contribute to the aesthetic appeal, exclusivity, and overall experience associated with the event.

The increasing popularity of destination weddings across heritage cities, beach destinations, luxury resorts, and cultural tourism hubs has further strengthened demand for premium mobility solutions. Luxury sedans, executive sport utility vehicles, vintage automobiles, premium multi-purpose vehicles, chauffeur-driven limousines, and high-end coaches are increasingly being deployed to support guest transportation, ceremonial entries, family movements, and hospitality requirements.

The segment is also benefiting from rising disposable incomes, increasing participation of high-net-worth and non-resident Indian families, growing influence of social media-driven celebrations, and the emergence of professional wedding planners and event management companies. These factors have collectively transformed luxury mobility from a supporting service into an important contributor to the overall guest experience.

As celebrations become larger, more customized, and experience-oriented, demand for professionally managed luxury transportation services is expected to witness sustained growth, creating significant opportunities for organized cab and coach rental operators capable of delivering premium vehicles, trained chauffeurs, personalized services, and seamless event execution.

3.6.1 Factors Driving Demand for Luxury Transportation in Weddings and Social Events

Rising Aspirational Consumption and Social Visibility

The growing influence of social media platforms has significantly altered the way celebrations are planned and experienced. Weddings and milestone events are increasingly designed to create visually compelling experiences that can be shared across digital platforms. Luxury vehicles often serve as focal elements during ceremonies, processions, guest arrivals, and content creation activities. As a result, demand for premium sedans, luxury SUVs, vintage automobiles, and uniquely styled vehicles has increased among consumers seeking enhanced visual appeal and aspirational value.

Experience-Oriented Celebrations

Consumer preferences are increasingly shifting towards experience-led spending, particularly in the events and celebrations segment. Families and individuals are allocating a larger share of event budgets towards creating memorable and differentiated experiences rather than focusing solely on traditional expenditure categories. In this environment, luxury transportation has evolved into an experiential element of the celebration itself, contributing to guest engagement, visual appeal, and overall event positioning. Premium vehicle entries, curated travel experiences, and themed transportation arrangements have become important components of modern celebrations.

Growing Preference for Personalization

Customization has become a defining characteristic of the modern celebrations market. Consumers increasingly seek transportation solutions that align with specific event themes, cultural traditions, and personal preferences. Mobility providers are responding by offering customized vehicle décor, personalized branding, curated music playlists, themed interiors, floral arrangements, welcome amenities, and bespoke guest experiences. Such personalization enhances exclusivity while allowing transportation services to integrate seamlessly into the broader event design.

Enhanced Focus on Premium Guest Hospitality

Guest experience has emerged as a key consideration in event planning, particularly within luxury weddings and high-value social gatherings. Organizers increasingly view transportation as an extension of hospitality rather than a standalone logistical function. Premium airport transfers, chauffeur-driven executive vehicles, dedicated guest assistance, and personalized arrival experiences are being adopted to ensure comfort, convenience, and a positive first impression for attendees.

Growth of Destination and Multi-Venue Events

The increasing popularity of destination weddings and large-scale celebrations has significantly expanded mobility requirements. Events are frequently conducted across multiple venues, including hotels, resorts, banquet facilities, heritage properties, and religious locations, creating a need for coordinated transportation planning. This has driven demand for structured fleet management, luxury coaches, premium minibuses, and dedicated guest transportation services capable of supporting seamless movement throughout the event lifecycle.

Professionalization of the Events Ecosystem

The growing presence of professional wedding planners, event management companies, luxury concierge operators, and hospitality specialists has contributed to the formalization of transportation requirements. Mobility services are increasingly incorporated into comprehensive event planning frameworks, leading to higher expectations regarding service quality, punctuality, fleet presentation, chauffeur professionalism, and operational coordination.

Rising Participation of High-Net-Worth and Global Guests

Luxury celebrations increasingly attract participation from non-resident Indians, high-net-worth individuals, corporate leaders, and international guests. This demographic typically expects globally benchmarked service standards, premium hospitality, and seamless transportation arrangements. Consequently, demand for executive vehicles, luxury airport transfers, premium coaches, and personalized chauffeur services continues to increase across high-value events.

Increasing Demand for Thematic Fleet Experiences

Transportation is increasingly being utilized as a visual and experiential extension of event themes. Wedding convoys, vintage vehicle collections, luxury car processions, and coordinated guest fleets are becoming more common across premium celebrations. These arrangements not only facilitate transportation but also contribute to event storytelling, brand positioning, and overall guest engagement, thereby strengthening demand for specialized luxury mobility services.

3.6.2 Segment-wise Demand Analysis of Luxury Vehicle Rentals for Personal Celebrations

The luxury mobility market caters to a diverse range of personal and social occasions, each characterized by distinct transportation requirements, customer expectations, and service preferences. While weddings remain the largest contributor to premium event transportation demand, other celebrations such as birthdays, anniversaries, bachelor and bachelorette parties, baby showers, and private social gatherings are increasingly generating demand for customized mobility solutions.

The choice of vehicle typically depends on the nature of the occasion, guest profile, group size, duration of travel, and desired experience. As consumers increasingly prioritize personalization and convenience, mobility providers are expanding their offerings beyond conventional transportation services to include curated onboard experiences, customized décor, entertainment features, and event-specific enhancements.

Occasion Type	Preferred Vehicle Categories	Key Service Features	Typical Customer Profile and Booking Motivation
Birthday Celebrations	Luxury sedans, stretch limousines, premium SUVs, party vans	Themed interiors, ambient lighting, music systems, customized décor, refreshments, and entertainment-focused experiences	Individuals, families, and young consumers seeking memorable milestone celebrations and experiential travel arrangements
Anniversary Celebrations	Executive sedans, luxury SUVs, convertibles, premium electric vehicles	Personalized décor, flexible itineraries, privacy-focused travel, romantic themes, and chauffeur-driven experiences	Couples seeking exclusive and personalized travel experiences for private celebrations and special occasions
Bachelor and Bachelorette Parties	Luxury coaches, premium vans, party buses, executive minibuses	Lounge-style seating, entertainment systems, mood lighting, onboard refreshments, and group-oriented travel arrangements	Friend groups and event organizers planning pre-wedding celebrations and social gatherings
Baby Showers and Naming Ceremonies	Luxury vans, executive sedans, premium MPVs	Comfortable seating, climate-controlled interiors, enhanced safety features, luggage capacity, and family-friendly travel arrangements	Families prioritizing convenience, safety, and comfort for elderly guests, infants, and family members
Engagement Ceremonies and Family Functions	Luxury sedans, executive SUVs, premium coaches	Coordinated guest transportation, chauffeur services, venue transfers, and customized event branding	Families organizing formal celebrations requiring structured guest movement and premium hospitality standards
Private Celebrations and Social Gatherings	Luxury SUVs, premium vans, executive coaches	Flexible scheduling, personalized routes, group transportation, and curated travel experiences	Social groups, private hosts, and event planners seeking seamless transportation solutions for special events
Proposals and Curated Experiences	Luxury sedans, convertibles, luxury electric vehicles	Customized décor, privacy features, mood lighting, flexible travel plans, and personalized hospitality services	Couples, event planners, and content creators designing highly personalized and memorable experiences
Destination Celebrations	Premium sedans, luxury SUVs, executive coaches, luxury minibuses	Airport transfers, inter-venue transportation, guest coordination, dedicated chauffeurs, and multi-day mobility management	Families and organizers managing large-scale celebrations across multiple venues and destinations

The increasing diversification of personal celebrations, combined with rising consumer spending on experiences, is expected to support sustained demand for premium transportation services across multiple event categories. Consequently, organized luxury mobility providers are increasingly positioning themselves as experience partners rather than traditional transportation operators, offering integrated solutions that combine mobility, hospitality, and personalization.

3.6.3 Luxury and Destination Weddings as a Key Driver of Premium Mobility Demand

India's wedding industry has evolved significantly over the past decade, transforming from traditional ceremonial gatherings into large-scale experiential events that combine cultural traditions, luxury hospitality, entertainment, tourism, and personalized guest experiences. This transformation has positioned luxury and destination weddings as one of the fastest-growing segments within the broader events, hospitality, and travel ecosystem.

Modern weddings are increasingly characterized by multi-day celebrations, elaborate themes, premium venue selection, curated guest experiences, and professionally managed event execution. Rather than being limited to a single ceremony, weddings today often encompass a series of functions including welcome events, engagement ceremonies, cocktail evenings, Mehendi, Haldi, Sangeet, wedding rituals, receptions, and post-wedding gatherings, each requiring dedicated planning and logistical coordination.

Destination weddings have emerged as a particularly prominent growth segment, driven by increasing consumer preference for exclusive venues, immersive experiences, and intimate celebrations in unique locations. Heritage cities, beach destinations, luxury resorts, hill stations, and cultural tourism hubs have become preferred wedding destinations due to their ability to combine hospitality, tourism, and event experiences within a single offering.

Popular domestic wedding destinations such as Udaipur, Jaipur, Goa, Jodhpur, Mussoorie, Rishikesh, Kerala, and other premium hospitality markets continue to attract significant demand from affluent families seeking customized and experience-driven celebrations. In addition, select international destinations are increasingly being considered by Indian families seeking globally benchmarked wedding experiences.

The growing participation of non-resident Indians (NRIs), high-net-worth individuals (HNIs), entrepreneurs, business families, and global guests has further elevated expectations regarding service quality, personalization, and hospitality standards. As a result, wedding planning increasingly incorporates elements such as luxury accommodation, destination management, premium transportation, curated entertainment, wellness experiences, and bespoke guest engagement programmes.

The expansion of organized wedding planning companies, event management firms, hospitality providers, and luxury service specialists has also contributed to the professionalization of the sector. These stakeholders play an important role in coordinating large-scale celebrations involving multiple venues, hundreds of guests, and complex logistical requirements while maintaining consistency in guest experience and service delivery.

As wedding celebrations continue to become more experiential and hospitality-oriented, transportation and mobility services are increasingly being integrated into the broader event ecosystem. Luxury cab and coach rental operators now play an important role in facilitating guest movement, enhancing hospitality standards, and ensuring seamless execution across multi-day wedding programmes.

The continued growth of destination weddings, rising consumer spending on celebrations, increasing influence of social media, and growing demand for personalized experiences are expected to support long-term expansion of the luxury wedding ecosystem, creating significant opportunities for organized mobility service providers catering to this segment.

Key Growth Drivers Supporting Luxury and Destination Weddings in India

The sustained growth of India's luxury and destination wedding market is being supported by a combination of demographic, economic, social, and lifestyle factors. Wedding celebrations are increasingly being positioned as immersive experiences rather than standalone ceremonies, resulting in higher spending across hospitality, travel, entertainment, décor, and mobility services.

Growth Driver	Description
Rising Disposable Incomes and Premium Lifestyle Aspirations	Growth in household incomes, increasing affluence among urban consumers, and evolving lifestyle preferences have encouraged higher expenditure on premium wedding experiences. Families are increasingly allocating larger budgets towards personalized celebrations, luxury venues, curated guest experiences, and premium hospitality services.
Increasing Popularity of Destination Weddings	Destination weddings continue to gain traction among affluent families seeking exclusive venues and immersive guest experiences. Locations such as Udaipur, Jaipur, Goa, Jodhpur, Kerala, Mussoorie, and Rishikesh have emerged as preferred wedding destinations due to their hospitality infrastructure, scenic appeal, and cultural significance.
Growing Participation of NRIs and HNIs	Non-resident Indians (NRIs), high-net-worth individuals (HNIs), and business families continue to contribute significantly to luxury wedding expenditure. This customer segment typically prioritizes customized experiences, premium hospitality standards, and seamless event execution, driving demand for luxury service providers across the value chain.
Influence of Social Media and Digital Content Creation	Social media platforms have transformed weddings into highly visual experiences. Consumers increasingly invest in unique themes, luxury settings, curated guest experiences, and aesthetically designed event elements that enhance digital storytelling and online engagement.
Expansion of Professional Wedding Planning Ecosystem	The growth of organized wedding planners, event management firms, destination management companies, and hospitality specialists has improved execution capabilities and enabled larger, more sophisticated celebrations. Professional event management has also increased the adoption of premium service categories including luxury transportation.
Growth in Experiential and Multi-Day Celebrations	Modern weddings often span several days and involve multiple functions, entertainment events, and guest activities. This trend has increased demand for integrated hospitality, travel, accommodation, and transportation services capable of supporting complex event schedules.
Wellness and Lifestyle Integration	Luxury weddings increasingly incorporate wellness-focused activities such as yoga sessions, spa treatments, mindfulness experiences, cultural tours, and curated recreational programmes, particularly at destination venues. This has further strengthened demand for coordinated mobility solutions throughout the event duration.
Expansion of Premium Hospitality Infrastructure	Continued investment in luxury hotels, heritage properties, resorts, and convention facilities has enhanced India's ability to host large-scale destination weddings and support associated transportation and hospitality requirements.

3.6.4 Luxury Mobility Planning for Multi-Day Wedding Functions

Luxury and destination weddings are increasingly structured as multi-day celebrations comprising several ceremonies, entertainment programmes, guest engagement activities, and hospitality events. As a result, transportation planning has evolved into a specialized function requiring coordination across venues, guest categories, event schedules, and hospitality requirements.

Rather than serving solely as a mode of transportation, luxury mobility solutions are increasingly designed to complement the theme, ambience, and guest experience associated with each function. Vehicle selection, fleet deployment, chauffeur allocation, and customization requirements are often tailored according to the nature of the ceremony and the profile of attendees.

Wedding planners, hospitality providers, and mobility operators increasingly collaborate to ensure that transportation arrangements align with the overall event concept while maintaining operational efficiency, safety, and guest convenience.

Function Wise Mobility Planning Across Multi Day Weddings

Function Type	Preferred Vehicle Categories	Typical Customization and Service Enhancements
Guest Arrivals and Welcome Events	Luxury sedans, executive SUVs, premium MPVs	Dedicated airport transfers, personalized welcome signage, floral arrangements, uniformed chauffeurs, refreshments, guest assistance services, and branded vehicle displays.
Cocktail and Pre Wedding Gatherings	Premium coaches, luxury vans, executive SUVs	Thematic décor, coordinated fleet movement, ambient lighting, entertainment-enabled interiors, customized guest schedules, and event branding.
Haldi and Mehendi Functions	Decorated tempo travellers, executive coaches, premium minibuses	Theme-based colour coordination, personalized branding, music systems, festive décor elements, and group transportation arrangements for family members and guests.
Sangeet and Reception Events	Luxury coaches, premium SUVs, luxury MPVs	Coordinated guest transfers, luxury hospitality arrangements, premium seating, event-themed customization, and structured arrival scheduling.
Wedding Ceremony and Processions	Vintage automobiles, luxury sedans, convertibles, premium SUVs	Floral décor, ceremonial branding, personalized insignia, convoy management, photography-friendly vehicle styling, and ceremonial entry planning.
Bidai and Departure Functions	Luxury sedans, convertibles, heritage vehicles	Customized farewell arrangements, floral styling, personalized messaging, photography setups, and ceremonial guest coordination.
Post Wedding Gatherings and Brunches	Premium coaches, executive minibuses, luxury vans	Comfortable guest transfers, hospitality kits, branded route management, refreshments, and return transportation support.

As celebrations become increasingly personalized, transportation providers are expanding beyond standard fleet deployment to offer curated mobility experiences that contribute directly to event aesthetics and guest satisfaction.

3.6.5 Specialized Mobility Solutions for VVIPs, Celebrities and High-Profile Guests

The growing participation of celebrities, business leaders, political personalities, international guests, social influencers, and high-net-worth individuals in luxury weddings has created demand for highly specialized transportation solutions focused on privacy, security, comfort, and protocol management.

Unlike conventional guest transportation, VVIP mobility requires detailed planning, route coordination, confidentiality, and enhanced service standards. Event organizers increasingly engage premium transportation providers capable of delivering seamless end-to-end mobility solutions for distinguished guests throughout the event duration.

Luxury vehicles deployed for this segment typically include premium sedans, executive SUVs and luxury MPVs offering enhanced comfort, privacy, and security features.

Key Components of VVIP Guest Mobility

Premium Vehicle Fleet

Luxury sedans and executive vehicles are deployed to deliver a premium travel experience aligned with guest expectations and event positioning.

Protocol Trained Chauffeurs

Chauffeurs are expected to demonstrate professional etiquette, confidentiality, discretion, and familiarity with premium hospitality standards.

Enhanced Privacy and Security

Guest confidentiality, controlled access, secure routing, and coordination with event security teams are increasingly important service requirements.

Airport and Arrival Management

Premium arrival experiences frequently include dedicated airport transfers, fast-track assistance, concierge support, and coordinated guest handling.

Personalized Hospitality Services

Vehicles are often equipped with customized refreshments, curated amenities, communication support, and comfort-focused features to enhance guest experience.

Centralized Movement Coordination

Dedicated mobility coordinators work closely with event planners, hospitality teams, and security personnel to ensure timely and seamless transportation execution.

The increasing prominence of celebrity-led weddings and high-profile social events is expected to support continued demand for premium mobility services within this segment.

3.6.6 Role of Luxury Vehicles in Wedding Entrances and Processions

Bride and groom arrivals have evolved into one of the most anticipated and visually significant moments of modern weddings. These entries are increasingly designed as experiential showcases that reflect personal preferences, family traditions, event themes, and broader wedding narratives.

Consequently, transportation providers are increasingly required to deliver customized, camera-ready mobility experiences rather than standard transportation services. Vehicle selection, décor execution, route planning, convoy management, and arrival sequencing are carefully coordinated to maximize visual impact and guest engagement.

Luxury vehicles used for ceremonial entries range from vintage automobiles and premium convertibles to luxury sedans, sports cars, heritage vehicles, and customized thematic convoys.

Transportation providers frequently collaborate with wedding planners, event designers, and production teams to ensure alignment between vehicle aesthetics, décor concepts, photography requirements, and event timelines.

Changing Preferences in Bridal and Groom Arrival Experiences

Trend Category	Industry Developments
Sports and Performance Vehicles	Premium sports cars and luxury performance vehicles are increasingly used to create dramatic and visually impactful wedding entries.
Thematic Wedding Convoys	Coordinated fleets reflecting specific wedding themes, family identities, cultural traditions, or event branding are becoming increasingly common.
Luxury Electric Mobility	Sustainability-conscious families are increasingly incorporating premium electric vehicles into wedding transportation plans.
Celebrity Inspired Arrivals	Weddings increasingly draw inspiration from celebrity and influencer celebrations, leading to greater demand for curated convoy experiences and high-visibility vehicle presentations.
Technology Integrated Experiences	Drone coverage, live tracking, synchronized arrival planning, and digital content creation are increasingly integrated into wedding mobility arrangements.
Vintage and Heritage Vehicles	Classic luxury automobiles continue to remain popular due to their timeless aesthetic appeal and suitability for heritage venues and traditional celebrations.

The increasing importance of visual storytelling, social media engagement, and experiential event design is expected to further strengthen demand for customized luxury mobility solutions across premium weddings.

3.6.7 Diplomatic and Government Mobility: An Emerging Premium Transportation Segment

India's growing role in international diplomacy, global economic forums, multilateral engagements, and government-led conferences has contributed to increasing demand for organized, protocol-compliant premium transportation services.

Diplomatic delegations, foreign missions, international organizations, government ministries, and multilateral agencies require transportation solutions that combine operational excellence, security, discretion, and adherence to international protocol standards.

The segment generates demand across both event-based deployments and recurring mobility requirements, creating a relatively stable source of revenue for premium transportation providers.

Luxury sedans, executive SUVs, premium MPVs, and customized executive coaches are commonly deployed to support diplomatic visits, international conferences, state-level events, bilateral meetings, and multilateral summits.

Growing Demand from International Summits and Diplomatic Engagements

India's expanding role as a host nation for international conferences, diplomatic engagements, and multilateral forums is expected to create a recurring source of demand for organized cab and coach rental services. Key demand drivers include:

BRICS Summit 2026 (India): India will host the 18th BRICS Summit in September 2026 as part of its rotating chairmanship of the BRICS bloc. The summit is expected to bring together heads of state, ministers, diplomats, business leaders, media delegations, security personnel, and support teams from BRICS member countries and partner nations. Preparations are already underway under India's 2026 BRICS Presidency. The event is expected to generate substantial demand for protocol-compliant transportation services, including luxury sedans, SUVs, executive vans, staff transport vehicles, airport transfers, and dedicated coach fleets for delegates and support personnel.

India-Africa Forum Summit (IAFS-IV): India was scheduled to host the Fourth India-Africa Forum Summit (IAFS-IV) in New Delhi from 28-31 May 2026, bringing together leaders from African nations, the African Union Commission, ministers, diplomats, trade representatives, and business delegations. The summit was subsequently postponed, with revised dates expected to be announced following consultations between India and the African Union. Whenever held, the summit is expected to create significant transportation demand through airport transfers, delegate shuttles, diplomatic convoy movements, hotel-to-venue transportation, and standby fleets for official engagements.

International Big Cat Alliance (IBCA) Meetings and Global Conservation Forums: India is leading the International Big Cat Alliance (IBCA), a global initiative involving 95 big-cat range countries. The first International IBCA Summit was initially scheduled to be held in New Delhi on 1 June 2026 (and subsequently postponed), with participation expected from conservation ministers, policymakers, scientists, international organizations, and government representatives from multiple countries. Beyond the flagship summit, ongoing alliance meetings, technical working groups, conservation conferences, and ministerial discussions are expected to generate recurring demand for organized transportation services, particularly in Delhi and other host cities.

Ongoing FTA Negotiations, Bilateral Summits, and Diplomatic Engagements: India continues to engage in a growing number of Free Trade Agreement (FTA) negotiations, tariff discussions, strategic dialogues, ministerial consultations, and bilateral summits with countries across Europe, the Middle East, Africa, ASEAN, and the Indo-Pacific region. These engagements occur throughout the year and require continuous deployment of protocol-compliant transportation services for visiting foreign delegations, trade negotiators, diplomats, government officials, business representatives, and security teams. The recurring nature of these engagements creates a stable source of demand for premium chauffeur-driven vehicles, executive transport services, luxury coaches, airport transfer fleets, and dedicated event transportation operators, particularly in Delhi NCR, Mumbai, Bengaluru, Hyderabad, and other major diplomatic and business hubs.

3.6.7.1 Key Characteristics of Diplomatic Mobility Demand

High Protocol Compliance Requirements

Transportation services must adhere to strict schedules, security procedures, route clearances, and protocol guidelines established by government agencies and diplomatic missions.

Security and Confidentiality Focus

Mobility providers are expected to maintain high standards of confidentiality, secure transportation practices, and operational discipline.

Specialized Chauffeur Capabilities

Chauffeurs serving diplomatic clients often require training in protocol handling, international etiquette, multilingual communication, and security awareness.

Multi Stakeholder Coordination

Operations frequently involve coordination with ministries, embassies, security agencies, protocol departments, hotels, airports, and event organizers.

Recurring Institutional Demand

In addition to summit-related deployments, embassies and diplomatic missions often require ongoing transportation support through long-term contracts, lease arrangements, and on-demand mobility services.

International Service Expectations

Foreign delegations increasingly expect transportation standards comparable to those available in global business and diplomatic centres, creating opportunities for organized premium mobility operators.

As India continues to host major international events and strengthen global engagement, diplomatic mobility is expected to emerge as an increasingly important niche within the luxury cab and coach rental ecosystem.

3.6.7.2 Government Summits and High Profile Conferences: A Key Demand Driver for Premium Mobility Services

Government-led summits, international forums, investment conferences, diplomatic engagements, and policy dialogues have emerged as an important source of demand for luxury cab and coach rental services in India. These events involve participation from senior government officials, diplomats, global business leaders, investors, policymakers, multilateral organizations, and foreign delegations, creating significant demand for organized and protocol-driven transportation solutions.

The transportation requirements associated with such events extend beyond basic mobility and involve a combination of security, punctuality, comfort, protocol compliance, and operational precision. Consequently, luxury transportation providers play a critical role in ensuring smooth movement of delegates across airports, hotels, conference venues, government establishments, and event locations.

As India continues to strengthen its position as a host destination for international conferences, economic forums, diplomatic engagements, and investment promotion initiatives, premium transportation services are becoming an increasingly important component of event infrastructure.

3.6.7.3 Key Factors Driving Mobility Demand During Government Events

Protocol-Oriented Transportation Requirements

Movement of senior government officials, diplomats, and foreign dignitaries is governed by strict protocol requirements, necessitating carefully coordinated transportation arrangements.

Large Scale Delegate Movements

Government conferences often involve hundreds or thousands of participants requiring transportation between airports, hotels, event venues, official meetings, and networking sessions.

High Service Quality Expectations

International delegates expect transportation standards comparable to those available in major global business destinations, driving demand for premium vehicles and professionally managed fleets.

Enhanced Security Requirements

Many events require secure transportation arrangements involving route management, convoy planning, security coordination, and contingency support.

Multi Day Event Structures

Government summits typically span several days and require continuous fleet deployment and centralized transportation management.

3.6.7.4 Key High Profile Events Supporting Demand for Premium Mobility Services

Event Category	Typical Stakeholders
Diplomatic and Strategic Dialogues	Ambassadors, foreign missions, policy experts, international think tanks, and government officials

Event Category	Typical Stakeholders
Technology and Innovation Conferences	Technology companies, venture capital firms, startups, policymakers, and global innovation leaders
Defence and Strategic Industry Events	Defence organizations, international delegations, industry participants, and security agencies
International Cultural and Diaspora Events	Cultural organizations, overseas communities, diplomats, and government representatives
Global Summits and Multilateral Forums	Heads of state, ministers, diplomats, international organizations, global development agencies, and foreign delegations
National Investment Conferences	Investors, multinational corporations, business leaders, policymakers, industry associations, and trade delegations
State Level Economic and Investment Forums	State governments, industrial groups, investors, business associations, and foreign representatives
Sector Specific Policy Conferences	Regulators, industry stakeholders, consultants, ministry officials, and sector experts

Note: The above categories are indicative and not exhaustive.

3.6.7.5 Mobility Planning and Logistics for Government Summits and Conferences

Transportation planning for government and diplomatic events requires a significantly higher degree of operational coordination than traditional corporate or leisure travel. Mobility providers are expected to maintain service continuity, protocol adherence, security compliance, and scheduling accuracy throughout the event lifecycle.

Core Mobility Requirements

Group Transportation

Large delegate groups, support teams, media personnel, and event staff are commonly transported through premium coaches, executive buses, and organized shuttle networks.

Contingency Fleet Deployment

Standby vehicles, reserve chauffeurs, and backup transportation infrastructure are maintained to address last-minute schedule changes or operational disruptions.

VVIP and Dignitary Transportation

Heads of state, ministers, ambassadors, and senior officials are typically provided with premium sedans, executive SUVs, or specialized vehicles based on protocol requirements and security classifications.

Delegate Transportation

Business leaders, foreign delegates, policymakers, and conference participants generally utilize luxury sedans, executive vans, and premium MPVs that balance comfort, professionalism, and operational efficiency.

Airport and Hotel Transfers

Integrated transportation systems are often established to manage arrivals and departures between airports, hotels, conference venues, and official meeting locations.

Real Time Monitoring and Coordination

GPS tracking, centralized command centres, route monitoring systems, and event control rooms are increasingly utilized to improve operational visibility and responsiveness.

3.6.7.6 Role of Sports Events in Driving Demand for Premium Mobility Services

India's sports industry has undergone significant transformation over the past decade, evolving from a cricket-dominated ecosystem into a diversified sports market encompassing football, kabaddi, badminton, hockey, athletics, motorsports, tennis, and other professional sporting disciplines.

The emergence of professional sports leagues, international tournaments, franchise-based competitions, and sports tourism has created substantial demand for organized transportation services. Luxury mobility solutions are increasingly utilized by athletes, coaching staff, franchise owners, sponsors, broadcasters, officials, media personnel, and VIP guests participating in sporting events.

As tournaments become larger and more commercially significant, transportation is increasingly viewed as a critical component of event operations rather than a supporting logistical function.

3.6.7.7 Importance of Premium Mobility in Sports Events

Athlete and Team Transportation

Professional athletes require comfortable, reliable, and secure transportation between airports, hotels, training facilities, and competition venues.

Sponsor and VIP Hospitality

Sponsors, investors, celebrity guests, and corporate partners increasingly expect premium transportation arrangements as part of the overall event experience.

Broadcast and Media Operations

Media crews, commentators, production teams, and technical personnel require structured transportation support throughout tournament operations.

Multi City Tournament Logistics

Professional leagues often involve travel across multiple cities, increasing demand for coordinated fleet management and intercity transportation solutions.

Brand Visibility Opportunities

Premium transportation fleets frequently serve as mobile branding assets through event-specific customization and sponsorship integration.

3.6.7.8 Mobility Requirements Across India's Sports Event Ecosystem

Sports League / Event	Event Period	Key Locations	Principal Stakeholders	Mobility Requirements and Key Applications
Pro Kabaddi League (PKL)	July - October	Tier I, Tier II and Tier III cities including Pune, Patna, Jaipur, Surat, and Ranchi	Participating teams, coaching staff, event organizers, support personnel, and regional broadcasters	Requirement for intercity transportation and team movement across multiple venues. Luxury minibuses, team coaches, and executive vehicles are increasingly deployed to facilitate player and staff transportation

Sports League / Event	Event Period	Key Locations	Principal Stakeholders	Mobility Requirements and Key Applications
				during the tournament season.
Indian Super League (ISL)	October - March	More than 10 cities including Goa, Kochi, Guwahati, Hyderabad, and Bhubaneswar	ISL franchises, international football players, AIFF officials, foreign coaches, sponsors, and support teams	Regular transportation requirements for players, coaching staff, officials, and sponsors throughout the season. Premium sedans, luxury SUVs, and coaches are commonly used for airport transfers, training sessions, match-day operations, and team logistics.
Indian Premier League (IPL)	March - May	Pan-India across Tier I and Tier II cities including Mumbai, Delhi, Ahmedabad, Lucknow, and Indore	Franchise teams, international players, BCCI officials, celebrity guests, brand ambassadors, sponsors, and media personnel	Significant demand for end-to-end transportation management covering airport transfers, hotel-to-stadium movements, sponsor mobility, and VIP transportation. Premium sedans, luxury SUVs, executive vans, and branded vehicles are widely utilized throughout the tournament.
Hockey India League (HIL)	To be announced (revival anticipated)	Primarily northern and eastern cities including Chandigarh, Ranchi, Delhi, and Bhubaneswar	Players, international coaches, FIH representatives, officials, sponsors, and media personnel	Demand is largely generated by player transportation, foreign guest mobility, official delegations, and media coverage activities. Transportation requirements are expected to increase with

Sports League / Event	Event Period	Key Locations	Principal Stakeholders	Mobility Requirements and Key Applications
				greater international participation and tournament expansion.
Ultimate Table Tennis (UTT)	July - August	Major metropolitan cities including Chennai, Mumbai, Delhi, and Pune	International athletes, tournament organizers, support staff, sponsors, and event management teams	Requirement for coordinated transportation between airports, hotels, training facilities, and competition venues. Executive sedans, premium MPVs, and minibuses are typically used for player and official movements.
International Cricket Tours (BCCI and ICC Events)	Throughout the year	Primarily Tier I cities and select Tier II locations including Mohali, Rajkot, and Visakhapatnam	National and international cricket teams, BCCI officials, ICC representatives, sponsors, dignitaries, broadcasters, and security personnel	Continuous demand for secure and protocol-driven transportation services. Luxury SUVs, executive sedans, high-security vehicles, and premium coaches are frequently deployed and are often customized to meet team-specific and security-related requirements.
Marathons, City Runs and Individual Sporting Events (including TCS Marathon, Vedanta Marathon, Tennis, Badminton and Other Individual Sports Competitions)	Throughout the year	More than 50 cities including Mumbai, Delhi, Bengaluru, Hyderabad, and Jaipur	Event organizers, title sponsors, elite athletes, medical teams, logistics providers, volunteers, and hospitality personnel	Transportation requirements include route monitoring vehicles, support fleets for event operations, sponsor mobility, athlete transportation, medical response vehicles, and luxury coaches for hospitality guests,

Sports League / Event	Event Period	Key Locations	Principal Stakeholders	Mobility Requirements and Key Applications
				sponsors, and event management teams.

3.6.7.9 Key Factors Driving Premium Mobility Demand Across Sporting Events

Increasing Scale and Complexity of Sports Events

The growing scale, frequency, and professionalization of sports events in India have emerged as important demand drivers for luxury cab and coach rental services. Major sporting leagues such as the Indian Premier League (IPL), Indian Super League (ISL), Pro Kabaddi League (PKL), Premier Badminton League, international cricket tournaments, golf championships, hockey events, and other global sporting competitions generate substantial transportation requirements across host cities. These events involve the coordinated movement of players, coaching staff, officials, sponsors, broadcasters, media personnel, support teams, and VIP guests between airports, hotels, training facilities, stadiums, and event venues.

Modern sports tournaments often function as large-scale logistical ecosystems requiring seamless transportation management. With hundreds of personnel associated with each event location, organizers increasingly rely on organized mobility providers capable of delivering reliable, punctual, and professionally managed transportation services. The requirement for airport transfers, dedicated team vehicles, shuttle services, and event-specific transportation planning has made luxury mobility an integral component of successful event execution.

Rising Commercialization and Premiumization of Sports

The increasing commercialization of sports in India has significantly elevated service expectations across all aspects of event management, including transportation. Sports franchises, sponsors, broadcasters, and event organizers increasingly seek premium mobility solutions that reflect the stature and branding of their respective organizations. Luxury transportation is no longer viewed solely as a logistical requirement but also as an extension of the overall event experience and brand image.

High-profile stakeholders including international athletes, franchise owners, corporate sponsors, broadcasters, celebrities, influencers, and government dignitaries often require executive transportation arrangements featuring premium sedans, luxury SUVs, executive vans, and chauffeur-driven vehicles. Consequently, operators offering superior service quality, professionally trained chauffeurs, premium vehicle fleets, and customized mobility solutions are witnessing increasing demand from the sports ecosystem.

Growing Focus on Athlete Comfort and Experience

Professional sports organizations are increasingly prioritizing athlete well-being, comfort, privacy, and recovery, thereby driving demand for premium transportation solutions. Luxury vehicles equipped with enhanced seating comfort, climate-controlled interiors, superior suspension systems, and customized amenities help minimize travel fatigue and improve overall athlete experience during tournaments involving frequent travel schedules.

As sporting leagues continue to attract international athletes and coaching staff, transportation standards are increasingly expected to align with global best practices, creating additional opportunities for organized luxury mobility providers.

Enhanced Security and Protocol Requirements

Security considerations have become increasingly important in major sporting events involving international participants, celebrity athletes, government representatives, and high-profile guests. Transportation providers are often required to comply with strict security protocols, including driver verification procedures, GPS-enabled vehicle monitoring, route coordination, convoy management, and controlled access arrangements.

Luxury fleet operators capable of providing secure transportation solutions, professionally trained chauffeurs, and real-time vehicle tracking systems are better positioned to cater to events where safety, privacy, and protocol compliance are critical operational requirements.

Expansion of Sporting Events into Tier-II and Tier-III Cities

The expansion of professional sports leagues into Tier-II and Tier-III cities has created new opportunities for luxury transportation providers. Sporting events are increasingly being hosted in cities such as Bhubaneswar, Ranchi, Kochi, Indore, Guwahati, Surat, Lucknow, and Visakhapatnam, resulting in growing demand for premium mobility services beyond traditional metropolitan markets.

Many emerging host cities continue to have limited availability of organized luxury transportation infrastructure, creating opportunities for established fleet operators to deploy premium vehicles, executive coaches, and customized event transportation solutions. This geographic expansion is contributing to broader market penetration for luxury cab and coach rental companies.

Growing Demand for Luxury Coaches and Group Transportation

Large sporting events frequently require the coordinated movement of teams, officials, media personnel, sponsors, and support staff in groups. This has increased demand for luxury coaches and executive transportation vehicles capable of handling high passenger volumes while maintaining comfort and operational efficiency.

Luxury coaches equipped with reclining seats, climate-controlled cabins, onboard entertainment systems, Wi-Fi connectivity, and enhanced luggage capacity are increasingly being utilized for team transportation, sponsor movements, media transfers, and event shuttle operations. The growing adoption of premium group transportation solutions reflects the increasing emphasis on participant experience and operational professionalism within India's sports ecosystem.

Technology-Enabled Mobility Management

Technology is playing an increasingly important role in sports-event transportation management. Event organizers and fleet operators are leveraging GPS-enabled fleet tracking, telematics systems, digital dispatch platforms, route optimization tools, and real-time scheduling solutions to manage complex transportation requirements efficiently.

The adoption of AI-enabled fleet monitoring, predictive maintenance systems, and intelligent route planning solutions is further enhancing operational reliability, reducing delays, and improving service quality. As sporting events continue to grow in scale and complexity, technology-enabled mobility solutions are expected to become increasingly important in ensuring seamless event execution.

3.6.7.10 Luxury Vehicle Categories Utilized in Sporting Events

Vehicle Category	Key Features and Specifications	Illustrative Vehicles	Applications in Sports Event Transportation
Executive Sedans	Executive sedans offer superior ride quality and passenger comfort through premium seating, noise-insulated cabins, ambient lighting, advanced climate control systems, touchscreen infotainment, and chauffeur-oriented configurations.	Mercedes-Benz E-Class, BMW 5 Series, Audi A6, Toyota Camry	These vehicles are commonly used for transporting coaches, sports administrators, governing body representatives, international delegates, sponsors, and invited guests. Executive sedans are particularly suited for airport transfers, official meetings, media interactions, hospitality events, and ceremonial functions associated with major sporting tournaments.
Luxury SUVs	Premium SUVs are equipped with high ground clearance, spacious cabins, leather upholstery, advanced infotainment systems, ambient lighting, panoramic sunroofs, and enhanced safety features designed to	Toyota Fortuner, Audi Q7, BMW X5, Mercedes-Benz GLE	Luxury SUVs are widely deployed for the transportation of VIP guests, franchise owners, corporate sponsors, celebrities, and senior officials. Their combination of comfort, security, and road presence makes them suitable for airport transfers, hotel-to-

	improve passenger comfort during urban and intercity travel.		venue movements, sponsor engagements, and protocol-driven transportation requirements. During international sporting events, these vehicles are also utilized for the movement of foreign players, dignitaries, and security-sensitive personnel.
Mini Luxury Coaches (9-15 Seater)	Mini luxury coaches combine group transportation capability with premium passenger amenities. Features typically include captain seats, individual air-conditioning vents, USB charging facilities, luggage storage areas, enhanced interiors, and improved seating comfort for short- and medium-distance travel.	Toyota Coaster, Mercedes-Benz Sprinter, Executive Tempo Traveller	These vehicles are frequently deployed for the transportation of support staff, technical teams, physiotherapists, broadcasters, event management personnel, and smaller player groups. They are particularly useful for hotel-to-training venue transfers, venue coordination activities, media operations, and intra-city transportation during tournament periods.
Large Luxury Coaches (20-40 Seater)	Large luxury coaches are designed for long-distance group mobility and are equipped with reclining seats, extended legroom, onboard Wi-Fi, climate-control systems, entertainment screens, washroom facilities, and ample luggage storage capacity. Many vehicles are customized with team branding and tournament-specific interiors.	Volvo 9400, Scania Metrolink, Mercedes-Benz Multi-Axle Coach	Large coaches serve as the primary transportation mode for sports teams, coaching staff, and support personnel. They are extensively used for match-day transfers between airports, hotels, training facilities, and competition venues. In addition to transportation, these coaches may function as mobile preparation areas for athletes and also provide branding opportunities for sponsors, franchises, and tournament organizers during promotional activities and fan engagement programs.

Major Global Sporting Events Creating Long-Term Demand Opportunities for Cab and Coach Rental Operators

India's ambition to establish itself as a global sporting destination is expected to create significant long-term opportunities for the cab and coach rental services industry. Large-scale international sporting events require extensive transportation infrastructure to facilitate the movement of athletes, officials, media personnel, sponsors, spectators, volunteers, and support staff, generating substantial demand for organized mobility services. Furthermore, such events typically require strict service standards, real-time fleet monitoring, multilingual support, protocol-compliant transportation, and large-scale fleet coordination, positioning organized fleet operators as key beneficiaries.

Commonwealth Games 2030: Ahmedabad has been formally ratified as the host city for the Centenary Commonwealth Games in 2030. The event is expected to attract thousands of athletes, team officials, media representatives, sponsors, volunteers, and international visitors from across the Commonwealth. The Games will generate significant demand for airport transfers, athlete transportation, VIP chauffeur services, event shuttle operations, and large-scale coach deployment connecting hotels, competition venues, airports, and fan zones.

Olympic Games 2036: India is actively pursuing its bid to host the 2036 Summer Olympic Games, with Ahmedabad proposed as the host city. The Indian Olympic Association (IOA) has formally submitted a Letter of Intent to the International Olympic Committee (IOC), and the bid is currently in the "Continuous Dialogue" phase with the IOC's Future Host Commission. If successful, preparations would begin several years in advance, creating substantial demand for organized transportation services across event planning, infrastructure development, test events, and eventual Olympic operations.

Asian Games 2038: India has expressed its intention to bid for the 2038 Asian Games, with Ahmedabad again emerging as the proposed host city. The Indian Olympic Association has reportedly submitted an Expression of Interest to the Olympic Council of Asia (OCA). If awarded, the event would further strengthen long-term

transportation demand by requiring extensive mobility solutions for athletes, officials, spectators, media personnel, and sponsors from across Asia.

World Championships and International Sporting Tournaments: India continues to attract and bid for major international events across sports such as badminton, archery, athletics, hockey, cricket, wrestling, shooting, and other Olympic disciplines. These tournaments create recurring demand for chauffeur-driven vehicles, team transportation, airport transfers, event shuttles, premium coaches, and logistics support for athletes, officials, sponsors, broadcasters, and spectators.

Infrastructure-Led Demand Creation: Preparations for hosting global sporting events typically involve large-scale investments in stadiums, airports, highways, metro systems, hotels, convention centers, and tourism infrastructure. These developments not only generate transportation demand during the event period but also create sustained opportunities for cab and coach rental operators in the years leading up to and following the events through increased tourism, business travel, and urban mobility requirements

3.7 Major Demand Drivers Supporting the Luxury Mobility Market in India

3.7.1 Growing Affluent Consumer Base and Rising HNI/UHNI Population in India

India's rapidly expanding affluent population is emerging as one of the most significant demand drivers for luxury mobility services. The increasing number of High-Net-Worth Individuals (HNIs) coupled with rising disposable incomes and changing consumption patterns, is creating a larger customer base for premium chauffeur driven transportation solutions.

India currently ranks among the world's fastest-growing wealth creation markets and continues to witness substantial expansion in its affluent consumer segment. As of 2024, India is estimated to have approximately 850,000 HNIs and nearly 13,600 UHNWIs, placing the country amongst the largest wealth markets globally. A notable characteristic of India's affluent population is its relatively young profile, with nearly one-fifth of HNIs being below 40 years of age. This demographic typically demonstrates higher spending on experiences, convenience, personalization, and premium lifestyle services compared to previous generations.

Wealth creation across sectors such as technology, financial services, manufacturing, real estate, private equity, and startup ecosystems has further accelerated the expansion of this consumer segment. Rising participation in capital markets, entrepreneurial activity, and asset appreciation have collectively strengthened purchasing power among affluent households.

Tax filing trends further highlight this shift. The number of individuals reporting annual taxable income exceeding INR 1 crore has increased substantially in recent years, while taxpayers declaring income above INR 10 crore continue to grow steadily. The increase in high-income earners has significantly outpaced overall growth in tax filers, indicating increasing concentration of wealth among upper-income groups.

This evolving demographic increasingly prioritizes convenience, privacy, exclusivity, and premium service standards. As a result, demand for chauffeur driven luxury sedans, executive SUVs, premium airport transfers, intercity luxury travel, and personalized mobility solutions is expected to witness sustained growth.

Furthermore, many affluent consumers increasingly prefer access over ownership for specific travel occasions, creating additional opportunities for organized luxury mobility providers. Consequently, the expanding HNI and UHNWI population is expected to remain a key structural growth driver for India's luxury cab and coach rental industry over the medium to long term.

3.7.2 Rising Luxury Vehicle Adoption Reflecting Growing Premium Mobility Preferences

The strong growth witnessed in India's luxury automobile market reflects the broader premiumization trend across consumer spending categories and serves as an important indicator of future demand for luxury transportation services.

Luxury vehicle sales in India increased from approximately 28,329 units in FY2022 to nearly 52,954 units in FY2026, representing a CAGR of around 16.9% during the period. Sales growth remained consistent throughout the period, supported by improving economic conditions, increasing household wealth, stronger corporate profitability, and rising aspirational consumption.

The market expanded from approximately 36,508 units in FY2023 to 45,311 units in FY2024 and further to nearly 48,849 units in FY2025 before reaching record levels in FY2026.

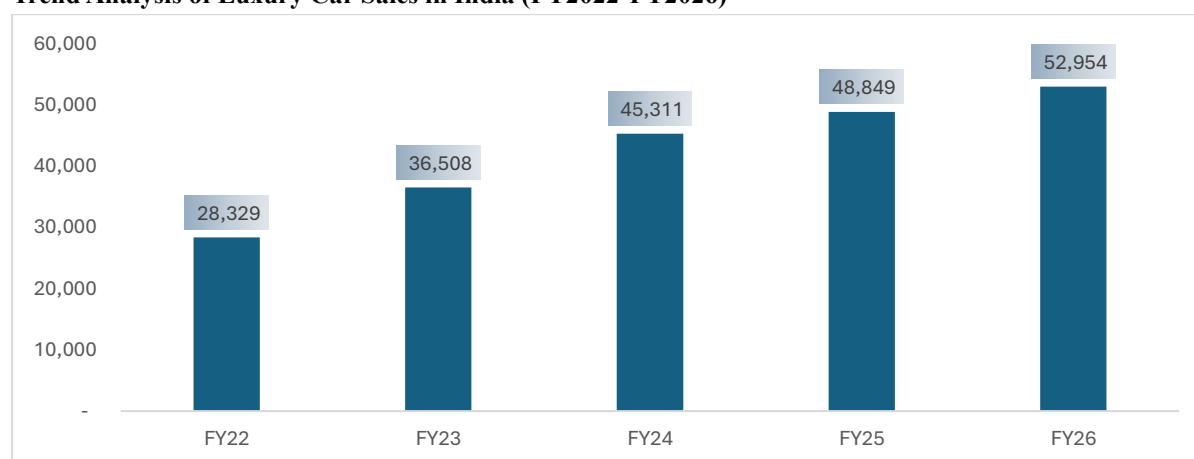
Growth has been particularly strong in premium SUVs, luxury electric vehicles, and chauffeur-driven vehicle categories. Luxury automotive manufacturers have actively expanded their product portfolios, introduced electrified models, and strengthened customer engagement strategies to attract younger buyers and first-time luxury consumers.

Beyond ownership, increasing visibility of luxury vehicles through premium tourism, executive transportation, luxury hotels, destination weddings, and chauffeur driven services has enhanced consumer familiarity and acceptance of premium mobility solutions.

The expansion of luxury vehicle financing, leasing programmes, subscription models, and improved dealership penetration across Tier II cities has further widened the addressable market for premium transportation services.

As luxury vehicle ownership continues to rise, customer expectations regarding comfort, service quality, vehicle standards, and personalized travel experiences are also increasing. This trend is expected to support long-term demand growth for organized luxury cab and coach operators capable of delivering premium mobility solutions.

Trend Analysis of Luxury Car Sales in India (FY2022-FY2026)



Source: Jato Dynamics, Autocars, IMARC, ICRA Analytics

3.7.3 Expansion of the Wedding and Events Market in India

India's wedding and events industry has evolved into one of the largest contributors to premium transportation demand. The increasing scale, sophistication, and experiential nature of celebrations have elevated transportation from a functional requirement to an integral component of the overall guest experience.

India hosts an estimated 10 million weddings annually, making it one of the largest wedding markets globally. Rising disposable incomes, increasing participation of affluent families, and growing popularity of destination weddings have significantly increased demand for luxury mobility services across wedding-related events.

Luxury vehicles are increasingly deployed for airport transfers, bridal and groom entries, VIP guest movements, family transportation, and multi venue event coordination. Premium coaches, luxury vans, executive SUVs, and chauffeur driven sedans are now routinely integrated into wedding planning budgets.

Beyond weddings, India's expanding live entertainment industry is generating substantial transportation demand. Large-scale concerts, music festivals, sporting events, exhibitions, stand-up comedy tours, cultural festivals, and international entertainment shows continue to attract significant audiences across major cities.

Events featuring international and domestic performers such as Coldplay, Ed Sheeran, Dua Lipa, Diljit Dosanjh, Arijit Singh, and other marquee artists have accelerated demand for premium transportation solutions catering to artists, production teams, sponsors, VIP attendees, and event organizers.

The increasing professionalization of event management, combined with growing consumer preference for seamless and experience-driven celebrations, is expected to support continued expansion of luxury cab and coach rental services within the events ecosystem.

3.7.4 Increasing Adoption of Premium Vehicles in Cab and Coach Fleets

India's mobility sector is witnessing a gradual transition from conventional transportation services towards experience-led premium mobility solutions. Customer expectations are increasingly centered around convenience, personalization, comfort, safety, and service excellence rather than transportation alone.

Corporates, affluent consumers, international tourists, wedding planners, diplomatic delegations, and event organizers increasingly prefer professionally managed mobility providers capable of delivering consistent service quality and premium travel experiences.

Key factors supporting fleet premiumization include:

Rising Consumer Aspirations

Increasing global exposure and higher disposable incomes have resulted in growing demand for international standards of comfort, hospitality, and convenience within domestic transportation services.

Expansion of Corporate Mobility

The growing requirement for executive transportation, airport transfers, board meetings, conferences, and business events is driving demand for luxury sedans, executive SUVs, and premium coaches.

Growth in Luxury Tourism

The expansion of luxury leisure travel, destination weddings, experiential tourism, wellness tourism, and heritage tourism is creating demand for specialized premium transportation services.

Digital Transformation

Technology adoption has become a critical differentiator across the industry. Real-time fleet tracking, digital booking platforms, automated dispatch systems, route optimization tools, CRM integration, and cashless payment systems are enhancing customer experience while improving operational efficiency.

Enhanced Onboard Experience

Modern luxury fleets increasingly offer value-added amenities such as Wi-Fi connectivity, charging stations, ambient lighting, premium seating configurations, infotainment systems, refreshments, and personalized travel experiences.

Strategic Ecosystem Partnerships

Collaborations with luxury hotels, travel companies, destination management firms, wedding planners, event organizers, and corporate travel agencies are enabling operators to expand customer reach and strengthen occupancy levels.

Looking ahead, increasing adoption of premium electric vehicles, AI-enabled fleet management systems, subscription-based mobility models, and personalized transportation offerings is expected to further accelerate premiumization across India's luxury cab and coach rental industry.

3.8 Critical Success Factors for Luxury Mobility Service Providers

Critical Success Factor	Importance for Industry Participants
 Superior Customer Service and Experience Management	• Responsive customer support and dedicated account management are critical for retaining corporate and high-value clients. • Seamless booking, scheduling, and communication enhance overall customer satisfaction. • Real-time issue resolution and operational support help maintain service reliability during time-sensitive events. • Personalized service delivery strengthens customer loyalty and repeat business. • Consistent service quality contributes to positive word-of-mouth referrals and brand reputation.
 Fleet Ownership and Control	• Ownership or long-term control over premium vehicles enables operators to maintain consistent service quality and fleet availability. • Direct control over maintenance schedules helps reduce downtime and improve vehicle reliability. • A diversified fleet comprising luxury sedans, SUVs, tempo travellers, minibuses, and coaches allows operators to cater to multiple customer segments. • Standardized fleet management supports brand consistency, safety compliance, and superior customer experience. • Fleet scalability enables operators to handle peak demand during weddings, corporate events, conferences, and government assignments.
 Professional Chauffeurs and Human Capital	• Well-trained chauffeurs play a critical role in delivering premium mobility experiences. • Training programs covering etiquette, safety, route planning, and customer interaction improve service standards. • Background verification and compliance checks enhance passenger safety and trust. • Multilingual capabilities and protocol awareness support corporate, diplomatic, and international clientele. • Experienced chauffeurs contribute significantly to customer retention and brand perception.
 Technology and Fleet Management Capabilities	• GPS tracking and centralized fleet monitoring improve operational efficiency and visibility. • Digital booking platforms and mobile applications enhance customer convenience and accessibility. • Automated dispatch and route optimization help improve vehicle utilization and reduce response times. • Data analytics support demand forecasting and resource planning. • Technology integration enables real-time communication between customers, chauffeurs, and operations teams.
 Customization, Safety and Brand Reputation	• Customized transportation solutions tailored for weddings, corporate events, diplomatic visits, and luxury tourism create differentiation. • Strong safety protocols, chauffeur verification, and vehicle compliance measures are increasingly important for clients. • Established brand reputation enhances customer confidence, particularly in premium and high-profile assignments. • Consistent execution quality helps secure repeat business and long-term contracts. • Operators with proven track records are better positioned to benefit from the growing premium mobility market.

Critical Success Factor	Importance for Industry Participants
 Strategic Partnerships and Institutional Relationships	• Long-term relationships with corporates, hotels, travel companies, wedding planners, and event organizers provide recurring business opportunities. • Preferred vendor status improves revenue visibility and customer retention. • Strategic alliances help operators expand service offerings and market reach. • Strong B2B relationships support fleet utilization throughout the year. • Institutional partnerships create entry barriers for smaller competitors.
 Geographic Reach and Execution Capability	• Presence across major metropolitan cities and key tourism destinations enhances customer accessibility. • Strong regional networks support seamless intercity and multi-location transportation requirements. • Ability to manage large-scale events and high-volume transportation assignments strengthens competitive positioning. • Local operational expertise improves service responsiveness and route efficiency. • Wider geographic coverage enables participation in destination weddings, government events, and corporate roadshows.

3.9 Major Risks and Industry Challenges Affecting Cab and Coach Rental Operators

Challenges	Description
Dependence on Skilled Chauffeurs and Service Personnel	Service quality in the luxury mobility segment is heavily dependent on chauffeur professionalism, customer handling capabilities, and adherence to safety protocols. Recruiting, training, and retaining experienced chauffeurs remains a challenge due to increasing competition for skilled personnel and rising wage expectations.
Seasonality and Demand Volatility	Demand is often linked to weddings, tourism seasons, corporate events, government summits, and festive periods. Off-season periods can result in lower fleet utilization levels, affecting revenue generation while fixed costs such as financing obligations, insurance, and maintenance continue to be incurred.
Regulatory and Compliance Requirements	Operators are required to comply with various central and state-level regulations relating to permits, taxation, vehicle fitness, driver licensing, passenger safety, and environmental standards. Evolving emission norms and increasing focus on sustainable mobility may necessitate fleet modernization and additional capital expenditure.
Capital Intensive Business Model	The luxury cab and coach rental industry requires substantial upfront investment in premium vehicles, fleet expansion, permits, insurance, technology platforms, and maintenance infrastructure. Luxury vehicles typically involve higher acquisition costs and depreciation expenses, making profitability highly dependent on fleet utilization levels, pricing discipline, and demand consistency.
High Operating and Maintenance Costs	Premium fleets require regular servicing, preventive maintenance, specialized repairs, and periodic refurbishment to maintain service quality standards. Rising fuel prices, insurance premiums, spare part costs, and employee expenses can exert pressure on operating margins, particularly during periods of lower utilization.
Industry Fragmentation and Limited Standardization	The Indian cab and coach rental market remains highly fragmented with the presence of numerous regional and unorganized operators. Variations in service standards, fleet quality, pricing structures, and operational practices create challenges for organized players seeking to maintain premium positioning and consistent customer experiences.
Supply Chain Constraints for Luxury Vehicles and Components	Luxury vehicle manufacturers largely rely on imported components and specialized spare parts. Delays in procurement, logistics disruptions, or foreign exchange fluctuations can extend vehicle downtime, increase maintenance costs, and affect fleet availability during peak demand periods.
Urban Congestion and Infrastructure Constraints	Traffic congestion, parking shortages, restricted access zones, and movement limitations for large vehicles in urban areas can affect operational efficiency. These challenges may result in longer travel times, higher operating costs, and reduced fleet productivity.
Technology and Cybersecurity Risks	Increasing reliance on digital booking platforms, GPS tracking systems, fleet management software, and customer databases exposes operators to technology failures, cybersecurity threats, and data privacy risks. Service disruptions may adversely impact customer experience and brand reputation.
Macroeconomic and Tourism-Related Risks	Economic slowdowns, geopolitical uncertainties, public health events, or disruptions in tourism activity can adversely affect discretionary spending on luxury transportation services. Corporate travel budgets and event-related expenditures may also be impacted during periods of economic uncertainty.

3.10 SWOT Analysis of the Premium Cab and Coach Rental Market

3.10.1 Strengths

- Growth in the population of High-Net-Worth Individuals (HNIs), coupled with rising disposable incomes, continues to support demand for premium and luxury mobility services.
- Increasing preference for chauffeur-driven transportation among corporate executives, diplomats, celebrities, business travellers, and international tourists strengthens the industry's addressable customer base.
- Strong demand from destination weddings, luxury celebrations, corporate events, government summits, diplomatic delegations, international conferences, sporting tournaments, and MICE activities creates multiple recurring revenue streams.
- Availability of a diversified fleet portfolio comprising luxury sedans, premium SUVs, executive vans, luxury MPVs, minibuses, and premium coaches enables operators to cater to a broad spectrum of customer requirements.
- Long-standing relationships with luxury hotels, travel management companies, event organizers, airlines, corporate clients, and government institutions support recurring business generation and improve fleet utilization.
- Advancements in fleet management technology, GPS-enabled tracking, digital booking platforms, CRM systems, and real-time operational monitoring enhance service quality, transparency, and customer experience.
- Growth in domestic tourism, premium leisure travel, experiential tourism, wellness tourism, and luxury hospitality continues to expand demand for premium transportation services.
- Government initiatives such as the Swadesh Darshan Scheme, PRASAD Scheme, National Digital Tourism Mission, airport modernization programs, and highway infrastructure development indirectly support the expansion of luxury mobility services across emerging tourism circuits.

3.10.2 Weaknesses

- The industry remains highly capital intensive due to substantial investments required for fleet acquisition, vehicle financing, maintenance, insurance, permits, and technology infrastructure.
- Luxury vehicles experience relatively high depreciation and require periodic upgrades to maintain premium positioning, resulting in elevated lifecycle costs.
- Dependence on skilled chauffeurs and hospitality-trained personnel creates challenges relating to recruitment, training, retention, and service standardization.
- Scaling operations across multiple geographies requires significant investments in fleet expansion, service infrastructure, local partnerships, and compliance management.
- Demand remains concentrated around weddings, tourism seasons, corporate events, and festive periods, resulting in fluctuating fleet utilization and uneven revenue generation.
- Many emerging tourism destinations continue to face limitations relating to road infrastructure, charging infrastructure, premium hospitality facilities, vehicle servicing networks, and spare-part availability.
- Availability of imported spare parts and specialized maintenance support for premium vehicles remains limited in certain regions, potentially leading to increased downtime and higher operating costs.
- The market remains fragmented, with the presence of numerous regional and unorganized operators offering inconsistent pricing and service quality, making brand differentiation challenging for organized players.

3.10.3 Opportunities

- Rising inbound tourism, increasing international visitor arrivals, and growing demand for premium travel experiences create opportunities for luxury airport transfers, chauffeur-driven tours, and customized travel solutions.
- Expansion of destination weddings, luxury celebrations, private events, and multi-day social gatherings is generating recurring demand for premium transportation services.

- Growing adoption of organized mobility solutions by corporates for executive transportation, employee mobility, conferences, exhibitions, and event logistics supports long-term market growth.
- Increasing affluence, improved infrastructure, and rising aspirational spending in Tier II and Tier III cities provide opportunities for operators to expand beyond traditional metropolitan markets.
- Growing preference for access-based consumption models is encouraging customers to rent luxury vehicles rather than purchase them, supporting demand for premium rental services.
- Adoption of electric luxury vehicles, hybrid fleets, and ESG-aligned transportation solutions can create differentiation and attract environmentally conscious corporate and leisure customers.
- Technology-driven innovations such as AI-enabled fleet optimization, predictive maintenance, telematics, dynamic pricing, and integrated customer engagement platforms offer opportunities to improve operational efficiency and profitability.
- Increasing frequency of international conferences, government summits, diplomatic engagements, sporting events, entertainment shows, and cultural festivals provides additional high-value mobility opportunities.
- Strategic partnerships with luxury hotels, airlines, travel operators, destination management companies, and hospitality platforms can strengthen customer acquisition and service integration.

3.10.4 Threats

- Economic slowdowns, inflationary pressures, and fluctuations in discretionary spending may temporarily affect demand for luxury transportation and premium travel services.
- Rising fuel prices, insurance costs, financing expenses, vehicle acquisition costs, and maintenance expenditure can impact operating margins if increases cannot be passed on to customers.
- Intensifying competition from organized fleet operators, luxury mobility platforms, ride-hailing companies, self-drive rental operators, and emerging premium transportation models may create pricing pressure.
- The emergence of luxury vehicle subscription services, peer-to-peer luxury vehicle rentals, premium EV leasing platforms, and alternative mobility formats could fragment customer demand.
- Regulatory changes relating to emissions standards, vehicle permits, EV transition requirements, taxation policies, and operating licenses may increase compliance costs.
- Regional transport regulations and inter-state permit requirements can create operational complexities and restrict seamless scalability across geographies.
- Traffic congestion, parking constraints, route restrictions, and urban mobility regulations may adversely affect service efficiency and customer experience.
- Environmental restrictions, tourism caps, vehicle quotas, and access limitations in ecologically sensitive destinations such as Ladakh, Himachal Pradesh, Uttarakhand, and protected tourism zones may limit operational flexibility.
- Cybersecurity risks, digital platform disruptions, and data privacy concerns could impact customer trust and operational continuity in an increasingly technology-driven business environment.
- Dependence on imported luxury vehicles and spare parts exposes operators to currency fluctuations, supply-chain disruptions, and longer maintenance turnaround times.

4. Government Policies and Regulatory Landscape

4.1 Motor Vehicle Aggregator Guidelines 2020

The Motor Vehicle Aggregator Guidelines, 2020, issued by the Ministry of Road Transport and Highways, were introduced in accordance with the Motor Vehicles (Amendment) Act, 2019 to establish a formal regulatory framework for app-based transport aggregators in India. By incorporating the definition of “aggregator” into the Motor Vehicles Act, 1988, the guidelines address the earlier absence of clear regulation in this sector.

Since 2020, India’s shared mobility ecosystem has undergone rapid and significant change. The rise in demand for diverse and flexible mobility solutions including bike-sharing, introduction of electric vehicles (EVs), and auto-rickshaw rides, has widened the consumer base. As the travel preferences evolve, aggregators have expanded their services to meet these new demands through innovative models. They aim to promote shared mobility, reduce traffic congestion and vehicular pollution, and simultaneously enhance ease of doing business, customer safety, and driver welfare. The framework also recognizes aggregator services as an important public utility contributing to employment generation and affordable, efficient transportation.

4.1.1 Key Features of Motor Vehicle Aggregator Guidelines, 2020

- **Eligibility and Entry Requirements:** The guidelines specify that only legally recognized entities are eligible to operate as aggregators, namely companies registered under the Companies Act, 2013 or co-operative societies under the Co-operative Societies Act, 1912. Such entities are also required to maintain a registered office within India to ensure effective regulatory oversight and accountability.
- **Licensing Framework and Regulatory Control:** Aggregators must obtain a licence from the Competent Authority, which is valid for a period of five years and subject to renewal upon compliance with prescribed conditions. The authority has the power to cancel licences in cases of non-compliance and is responsible for ensuring transparency by maintaining and publishing an updated list of licensed aggregators on the State Transport Authority portal.
- **Driver and Vehicle Compliance Standards:** The guidelines impose detailed compliance requirements for both drivers and vehicles. Drivers must meet prescribed standards such as verification of driving competence, knowledge of relevant laws, and gender sensitisation, along with possessing valid documentation and undergoing police verification. Vehicles, on the other hand, must have valid registration, permits, fitness certificates, insurance coverage, adherence to fuel norms, payment of applicable taxes, and necessary safety features.
- **Fare Regulation and Revenue Sharing Mechanism:** The fare structure is linked to city taxi rates indexed to the Wholesale Price Index, ensuring consistency with prevailing economic conditions. Aggregators are permitted to offer fares up to 50 percent below the base fare and apply surge pricing up to 1.5 times the base fare. The guidelines also ensure fair compensation for drivers by mandating that they receive at least 80 percent of the fare charged for each ride.

4.1.2 Major Provisions of the Motor Vehicle Aggregator Guidelines, 2020

- **Licensing:** The guidelines mandate that all aggregators must obtain a valid license from the respective State Government as a precondition for commencing and continuing business operations. This ensures that only authorized entities are permitted to operate within the shared mobility ecosystem, thereby formalizing the sector.
- **Regulatory Framework:** The Central Government provides overarching guidelines, which State Governments may adopt to regulate aggregators within their jurisdictions. The framework, supported by Section 93 of the Motor Vehicles Act, 1988, empowers states to enforce compliance through penalties and supervisory mechanisms, ensuring accountability and responsible conduct of aggregators.
- **Compliance Areas:** Aggregators are required to adhere to prescribed standards concerning vehicles, drivers, and digital platforms such as mobile applications and websites. The guidelines also emphasize

fare regulation, passenger safety, driver welfare, and service quality, while accommodating emerging mobility practices like ride-sharing and carpooling.

- **EV Exemption:** In alignment with environmental and sustainability goals, electric vehicles and those operating on alternative fuels such as ethanol or methanol have been exempted from certain permit requirements. State Governments are encouraged to facilitate and promote the adoption of such vehicles to reduce fuel consumption, lower emissions, and support cleaner mobility solutions.

4.2 Motor Vehicle Aggregator Guidelines 2025

The Motor Vehicle Aggregator Guidelines (MVAG) 2025, issued by the Ministry of Road Transport and Highways (MoRTH), establish a “light-touch” regulatory approach aimed at modernizing India’s app-based shared mobility ecosystem. Replacing the 2020 framework, the new guidelines permit commercial bike taxis, require the gradual adoption of electric vehicles (EVs), introduce a centralized single-window licensing system, and seek to balance market efficiency with driver welfare and passenger safety.

To streamline processes and reduce administrative friction, the 2025 guidelines do away with fragmented, city-specific applications and implement a unified licensing portal with a clearly defined 90-day approval timeline.

Further, by revising dynamic surge pricing with a cap of up to 2.0x, introducing ownership-based revenue-sharing models, and enforcing robust, inclusive passenger safety measures such as mandatory psychological assessments for drivers and specialized sensitization training for assisting persons with disabilities (Divyangjan) the MVAG 2025 lays out a comprehensive and forward-looking framework for managing India’s expansive urban mobility sector.

4.2.1 Key Features of Motor Vehicle Aggregator Guidelines, 2025

- **Licensing and Regulatory Framework:** The 2025 guidelines refine the licensing system by reducing the suspension period from six months to three months, ensuring faster enforcement of compliance. They also introduce stricter provisions for cancellation of licences in cases of repeated violations over three financial years. Additionally, State Governments are given flexibility to allow aggregation of non-transport motorcycles, expanding mobility options.
- **Driver Welfare and Safety Measures:** Aggregators are required to follow more robust onboarding and welfare practices, including psychological and medical checks for drivers. A minimum of 40 hours of induction training is mandated, with a focus on safety, customer service, and sensitivity towards gender and persons with disabilities. The guidelines also ensure improved insurance coverage for drivers with periodic increases, along with a minimum INR5 lakh insurance cover for passengers.
- **Fare Regulation and Pricing Flexibility:** The framework continues to base fares on rates notified by State Governments but allows aggregators greater flexibility. They may charge fares as low as 50% of the base rate during low demand, while dynamic pricing during peak periods can go up to twice the base fare, increasing from the earlier cap of 1.5x times.
- **Fleet Standards and Sustainability Goals:** The guidelines require aggregators to maintain better fleet quality by restricting vehicles older than eight years. They also promote sustainability and inclusivity by empowering State Governments to mandate a gradual increase in electric or alternative fuel vehicles and the inclusion of specially designed vehicles for persons with disabilities.

The 2025 guidelines expand the regulatory scope to include bike taxis, electric two-wheelers (e-2W), electric three-wheelers (including auto-rickshaws), and electric four-wheelers. Notably, this is the first time bike taxis have been formally permitted under a state-licensed aggregator framework.

The inclusion of bike taxis, along with clear mandates for electric vehicle (EV) adoption, represents a significant shift from the Motor Vehicle Aggregator Guidelines 2020 to the 2025 version. While the 2020 framework largely focused on traditional internal combustion engine (ICE) cabs and auto-rickshaws, the 2025 guidelines update the regulatory landscape to accommodate micro-mobility solutions and promote environmentally sustainable transport.

4.2.2 Difference between MVAG 2020 & MVAG 2025

Table: Difference between MVAG 2020 & MVAG 2025

Regulatory Aspect	MVAG 2020	MVAG 2025
Licensing Jurisdiction	Multi-Tiered: Required fragmented applications across different city and regional transport jurisdictions within a single state.	Single-Window: Issuance of a unified, single license covering all applicable vehicle types across an entire state within a fast-tracked 90-day window.
Licence fee	Grant of License to Aggregator - INR 5,00,000 Renewal of License - INR 2,500 For noting change of address of the licensee - INR 2,500	Grant of License to Aggregator - INR 5,00,000 Renewal of License - INR 25,000 For noting change of address of the licensee - INR 25,000
Validity of License	A licence granted to an aggregator shall remain valid for a period of five years from the date of its issuance, ensuring a fixed tenure for authorized operations.	A licence granted to an aggregator shall remain valid for a period of five years from the date of its issuance, ensuring a fixed tenure for authorized operations.
Renewal of License	The licence may be renewed for a further period of five years upon submission of an application in the prescribed form. The Competent Authority will assess the aggregator's past compliance with the guidelines and review any punitive actions taken within the state before granting renewal.	The licence may be renewed for a further period of five years upon submission of an application in the prescribed form. The Competent Authority will assess the aggregator's past compliance with the guidelines and review any punitive actions taken within the state before granting renewal.
Grievance Redressal Mechanism	Aggregators are required to investigate any complaint against a driver for legal or guideline violations within three days of receiving it. Disciplinary action may be taken only after the inquiry is completed, and the passenger must be informed of the outcome. Each aggregator must appoint a designated Grievance Officer to handle all complaints. The Grievance Officer's contact details must be clearly displayed on the app and website, and periodic grievance reports must be submitted to the Competent Authority through an online system.	Aggregators are required to investigate any complaint against a driver for legal or guideline violations within three days of receiving it. Disciplinary action may be taken only after the inquiry is completed, and the passenger must be informed of the outcome. Each aggregator must appoint a designated Grievance Officer to handle all complaints. The Grievance Officer's contact details must be clearly displayed on the app and website, and periodic grievance reports must be submitted to the Competent Authority through an online system.
Surge Pricing Caps	Dynamic, algorithmic pricing was strictly limited to a maximum of 1.5x times the state-notified base fare.	Maximum surge pricing threshold increased to up to twice (2x) the base fare during peak hours to improve driver supply.
EV / Green Mobility	No Mandates: Mentioned environmental health broadly but offered no distinct incentives or structural targets for Electric Vehicles.	Binding Green Targets: Formally absorbs e-2W, e-3W, and e-4W fleets. Empowers states to enforce progressive, annual percentage targets for EV adoption.
Driver Health Insurance	INR 5 Lakh, plus 5% increment annually.	INR 5 Lakh, plus increment each year as notified by the Central Government.
Driver Term Insurance	INR 10 Lakh, plus 5% increment annually.	INR 10 Lakh, plus increment each year as notified by the Central Government.
Driver Revenue Splits	Uniformly capped aggregator commissions at 20%, ensuring drivers received at least 80% of the fare.	Retains the 80% split for driver-owned assets but allows a 60% split for vehicles owned directly by the aggregator.

Regulatory Aspect	MVAG 2020	MVAG 2025
License Suspension Limit	State authorities could temporarily suspend a platform's operations for up to half a year for major compliance failures.	Maximum suspension window cut to 3 months. However, a second serious violation within 3 consecutive financial years triggers total cancellation.
Vehicle Age Cap	Not Specified	Maximum 8 years from initial registration
Induction Training	Conducting Refresher Training Programme once a year	Mandatory 40 hours
Divyangjan Accessibility	Not Specified	Compulsory Inclusion
Penalty Range	Not Specified	INR 1 Lakh to INR 1 Crore.

Source: Parivahan, ICRA Analytics

- **State Government Perspectives on MVAG 2025**

- **Maharashtra**

- **Surge Pricing Suppression:** While the central MVAG 2025 guidelines allow aggregators to scale surge pricing up to 2x (twice) the base fare during peak hours, Maharashtra explicitly capped maximum surge pricing at 1.5 times the base fare to protect Mumbai and Pune consumers from price gouging.
 - **Floor Price Adjustments:** The central framework allows a lower-end discount floor of up to 50% below base fare. Maharashtra limited this, stating fares cannot drop below 25% of the base fare fixed by local Regional Transport Authorities (RTrAs) to prevent predatory pricing from wiping out local taxi/auto drivers.

- **Delhi (NCR Area)**

- **Aggressive Green Fleet Mandate:** Delhi leveraged the 2025 guidelines to aggressively enforce air quality targets. It created a hard transition timeline requiring aggregators to switch 100% of their new onboarded three-wheelers and four-wheelers to pure electric vehicles (EVs) much faster than standard pan-India baselines.

- **Impact of the MVAG Schemes**

- **Macroeconomic and Labor Market Impact**

- **Income Security for Gig Workers:** The mandate ensuring drivers receive at least 80% of the total fare significantly reduced the ability of tech platforms to arbitrarily increase their commission cuts.
 - **The Rise of the Micro-Entrepreneur:** Legalizing non-transport (private registration) motorcycles as bike taxis opened mass employment. This became a critical economic safety net in Tier-2 and Tier-3 Indian cities, where formal jobs are scarce.
 - **The Formalization of Informal Labor:** By forcing aggregators to provide INR5 lakh health insurance and INR10 lakh term insurance, the central guidelines-initiated India's first large-scale formalization of platform gig workers.

- **Environmental and Urban Mobility Shifts**

- **Accelerating the Electric Vehicle (EV) Transition:** MVAG has become India's most effective tool for corporate decarbonization. Because states have the power to set hard EV onboarding targets for fleet aggregators, companies like Ola, Uber, and Zepto are driving a massive percentage of India's commercial 2-wheeler and 3-wheeler EV sales to meet local compliance.

- **Standardizing First-and-Last Mile Connectivity:** By establishing clear rules for ride-pooling and app-based aggregators, the guidelines helped integrate private tech fleets with public metro rail networks across major metropolitan areas.
- **Corporate and Business Ecosystem Impact**
 - **Increased Operational Compliance Costs:** Aggregators faced a heavier financial burden due to mandatory security deposits (up to INR 50 lakh), continuous background screening, and required 40-hour driver training programs.
 - **The Surge Pricing Margin Squeeze:** Capping surge pricing (typically at 1.5x or 2x of the base fare depending on the state) protected consumer wallets but altered the profitability models of ridesharing giants.

4.3 FAME II Scheme

The Faster Adoption and Manufacturing of (Hybrid &) Electric Vehicles (FAME) India Scheme is a flagship initiative of the Government of India aimed at promoting electric mobility and reducing dependence on fossil fuels. It seeks to encourage the adoption of electric vehicles (EVs) through financial incentives, development of charging infrastructure, and support for domestic manufacturing, thereby contributing to sustainable and environmentally friendly transportation.

4.3.1 Key Features of FAME II Scheme

- **Implementation and Evolution of the FAME Scheme:** The Government of India has played a pivotal role in advancing electric mobility through the FAME India Scheme, implemented in two phases between 2015 and 2024. Phase I (2015-2019) served as a pilot programme, supporting around 2.8 lakh electric and hybrid vehicles, deploying over 400 electric buses, and initiating early-stage charging infrastructure and research initiatives.
- **Expansion under Phase II:** Phase II (2019-2024) marked a significant scale-up, with the budget revised to INR 11,500 crore from the initial INR 10,000 crore. This phase enabled the deployment of over 16.7 lakh electric vehicles, more than 5,000 electric buses, and the installation of over 9,000 public charging stations.
- **Financial Incentives and Impact:** The scheme offered targeted financial incentives, including subsidies for EV purchases and support for charging infrastructure development. Incentives were linked to battery capacity, with INR 10,000 per kWh for electric three- and four-wheelers (capped at 20% of vehicle cost), and an increased INR 15,000 per kWh for electric two-wheelers (capped at 40%) from June 11, 2021. These measures boosted domestic manufacturing and accelerated the transition to sustainable transport.
- **Transition to the PM E-DRIVE Scheme (2024):** Building on the achievements of FAME, the PM Electric Drive Revolution in Innovative Vehicle Enhancement (PM E-DRIVE) Scheme was approved on September 11, 2024, to further advance EV adoption and infrastructure development. With a financial outlay of INR 10,900 crore over two years, it includes demand incentives of INR 3,679 crore for various EV categories such as e-2Ws, e-3Ws, e-ambulances, e-trucks, and buses. The scheme targets the deployment of approximately 24.79 lakh e-2Ws, 3.16 lakh e-3Ws, and more than 14,000 electric buses.

4.3.2 Core Objectives of the FAME-II Scheme

- **Decarbonising Public Transport:** Prioritising budgetary outlays to deploy over 7,000 electric buses across State Transport.
- **Commercial Shared Mobility:** Restricting third-party subsidies for four-wheelers and three-wheelers exclusively to public transport, commercial cabs, and freight delivery networks.
- **Mass Two-Wheeler Adoption:** Bridging the upfront price gap for daily commuters by providing direct showroom discounts on electric scooters and motorcycles.

- **Eradicating Range Anxiety:** Funding and installing thousands of Public EV Charging Stations along major national highways and across high-density urban smart cities.
- **Driving Supply Chain Localization:** Enforcing a strict 50% Domestic Value Addition mandate under the Phased Manufacturing Programme to establish a self-reliant Indian EV manufacturing ecosystem.

Vehicle Targets and Actual Outcomes

Table: EV adoption figures under FAME II (As on September 2024)

Category	Target	Revised Target	Supported as on Aug 2024	Subsidy Disbursed
Electric Two- Wheelers (e-2W)	10,00,000	15,50,225	14,32,450	INR 4,924 Crore
Electric Three Wheelers (e-3W)	5,00,000	1,55,536	1,65,806	INR 1,116 Crore
Electric Four Wheelers (e-4W)	55,000	30,461	22,637	INR 537 Crore
Electric Buses (e-bus)	7,000	7,262	6862 sanctioned (4,992 supplied)	INR 3,009 Crore
Public Charging Stations	2,636	7,580	10,763 sanctioned	INR 913 Crore

Source: Ministry of Heavy Industries, ICRA Analytics.

A total of 16,71,606 electric vehicles has been supported (sold) during the scheme period. Further, 5,195 e-buses have been deployed under the scheme till 31st January 2026. Under the FAME-II scheme, as on 01.01.2026, a total of 9,159 EV PCS has been installed under the FAME-II scheme.

Table: Subsidy (demand incentive) provided to buyers in form of an upfront reduction in purchase price of the electric vehicle, under FAME-II scheme (Amount in INR Crore)

EV Category	FY 2019-20	FY 2020-21	FY 2021-22	FY 2022-23	FY 2023-24	FY 2024-25	Category Total
e-2W	17.4	53.8	346.7	1088.1	2869.6	536.2	4911.8
e-3W	12.6	29.7	107.7	128.4	567.2	264.3	1109.9
e-4W	13.0	15.2	15.7	51.0	304.2	137.4	536.5
FY Total	43.0	98.7	470.1	1267.5	3741.0	937.9	6558.2

Source: PIB, ICRA Analytics.

Table: Number of electric vehicles supported (demand incentive provided) under FAME-II during the last three years

EV Category	Number of vehicles incentivised under FAME-II Scheme			
	FY 2022-23	FY 2023-24	FY 2024-25	Category Total
e-2W	2,27,563	8,04,175	2,58,641	12,90,379
e-3W	22,169	76,183	34,436	1,32,788
e-4W	2,200	12,380	5,984	20,564
FY Total	2,51,932	8,92,738	2,99,061	14,43,731

Source: Ministry of Heavy Industries, ICRA Analytics.

Table: State-wise No. of EVs sold under FAME-II Scheme during 01/4/2023 till 31/3/2025

States	FY 2023-24	FY 2024-25
Andaman and Nicobar Islands	20	3
Andhra Pradesh	28,776	5,318
Arunachal Pradesh	11	3
Assam	7,446	2,006
Bihar	14,890	2,533
Chandigarh	1,821	226
Chhattisgarh	24,719	2,871
Delhi	45,782	5,944
Goa	8,949	896

States	FY 2023-24	FY 2024-25
Gujarat	75,475	4,493
Haryana	6,732	1,693
Himachal Pradesh	390	106
Jammu Kashmir	5,118	881
Jharkhand	6,774	1,327
Karnataka	1,43,758	14,027
Kerala	63,388	5,499
Lakshadweep	12	1
Madhya Pradesh	37,872	5,410
Maharashtra	1,81,013	15,337
Manipur	113	12
Meghalaya	122	356
Mizoram	242	35
Nagaland	5	-
Odisha	32,773	5,304
Puducherry	2,451	405
Punjab	8,018	1,198
Rajasthan	49,164	5,287
Sikkim	4	-
Tamil Nadu	62,204	11,238
Telangana	45,412	5,172
The Dadra and Nagar Haveli and Daman and Diu	125	34
Tripura	4,222	1,221
Uttar Pradesh	56,836	11,631
Uttarakhand	4,957	1,096
West Bengal	14,406	1,764
Total	9,34,000	1,13,327

Source: PIB, ICRA Analytics.

Table: List of State-wise and City-wise E-buses deployed under the FAME-II Scheme as on 31st January 2026

State Name	City	Nos. of e-buses deployed
Andhra Pradesh	Chittoor	100
Bihar	Patna	25
Chandigarh	Chandigarh & Dera Bassi	80
Dadra & Nagar Haveli	Silvassa	25
Delhi	Delhi	1321
Goa	Goa	123
Gujarat	Ahmedabad	200
	Rajkot	150
	Surat	300
Jammu Kashmir	Jammu	100
	Srinagar	100
Karnataka	Bangalore	1121
Maharashtra	Mumbai	367
	Nagpur	40
	Pune	273
	Thane & Ulhasnagar & Navi Mumbai & Badlapur	150
Odisha	Bhubaneswar	50
Uttar Pradesh	Agra	100
	Aligarh	25
	Allahabad	50
	Bareilly	25
	Ghaziabad	50
	Jhansi	25

State Name	City	Nos. of e-buses deployed
	Kanpur	100
	Lucknow	100
	Meerut	50
	Moradabad	25
	Varanasi	50
Uttarakhand	Dehradun	30
West Bengal	Kolkata	40
	Total	5,195

Source: PIB, ICRA Analytics

Transition to Other Schemes

- The Electric Mobility Promotion Scheme (EMPS) 2024** was a strategic, transitional initiative introduced by the Ministry of Heavy Industries to bridge the regulatory gap between the expiration of the FAME-II scheme and the formal activation of the broader PM E-DRIVE program. Launched initially with a budgetary allocation of INR500 crore for four months, the government subsequently upgraded the financial outlay to INR778 crore to extend its operations. The essential objective of EMPS 2024 was to maintain momentum in green transport adoption by targeting the fastest-growing two-wheeler (e-2W) and three-wheeler (e-3W) segments, providing crucial continuity in point-of-sale customer discounts.
- PM E-DRIVE Scheme (2024- 2028):** The PM Electric Drive Revolution in Innovative Vehicle Enhancement (PM E-DRIVE) is India's flagship incentive program launched by the Ministry of Heavy Industries to accelerate the mass adoption of electric vehicles (EVs) was approved on 11 September 2024, aims to expand EVs and charging infrastructure across India. With a total outlay of INR 10,900 crore over two years but later extended till March 2028, it provides demand incentives for a wide range of electric vehicles, including e-2Ws, e-3Ws, e-ambulances, e-trucks, and buses, targeting deployment of 24.79 lakh e-2Ws, 2.89 lakh e-3Ws, and over 14,000 e-buses.

It explicitly expands on earlier green transport initiatives by providing targeted financial subsidies for electric two-wheelers (e-2Ws) capped at a INR1.5 lakh ex-factory value, electric three-wheelers (e-rickshaws) capped at a INR2.5 lakh value, electric ambulances, and electric cargo trucks.

To address technological, research and development, and ecosystem-related challenges under the PM E-DRIVE Scheme (effective from 1 April 2024), several key measures have been undertaken. An allocation of INR 780 crore has been made for upgrading testing agencies to strengthen R&D capabilities. There has been an INR 2,000 crore outlay for installing 22,100 fast chargers (e-4Ws), 1,800 for e-buses, and 48,400 for e-2Ws/3Ws in high EV penetration cities and highways.

4.4 Data Protection and Digital Platform Regulation

The Government of India notified the Digital Personal Data Protection Rules, 2025 on 14 November 2025, thereby completing the operationalisation of the Digital Personal Data Protection Act, 2023. Together, the Act and the Rules establish a comprehensive and citizen centric framework for the responsible handling of digital personal data, ensuring a balance between individual rights and lawful data processing. The Ministry of Electronics and Information Technology adopted a consultative approach by inviting public comments on the draft Rules prior to their finalisation. Enacted by Parliament on 11 August 2023, the Act provides a structured legal regime for the collection, storage, and use of digital personal data in India, with the objective of curbing unauthorised commercial use, minimising digital harms, and fostering a secure environment for innovation.

The Act adopts the SARAL approach, meaning Simple, Accessible, Rational, and Actionable, which enhances clarity and facilitates ease of implementation. It is guided by seven core principles, namely consent and transparency, purpose limitation, data minimisation, accuracy, storage limitation, security safeguards, and accountability. These principles regulate every stage of data processing and ensure that personal data is used only for lawful and specific purposes, thereby reinforcing responsible data governance practices.

A key feature of the framework is the establishment of the Data Protection Board of India as an independent regulatory body. The Board is entrusted with overseeing compliance, investigating data breaches, and enforcing

corrective measures where required. By safeguarding individual rights and ensuring adherence to legal provisions, it plays an important role in strengthening accountability and building trust in India's data governance ecosystem.

4.4.1 Key Provisions of the Digital Personal Data Protection Rules, 2025

- **Phased Implementation and Consent Framework:** The Rules provide an eighteen-month phased compliance period, allowing organisations to systematically transition to the new regulatory requirements. Data Fiduciaries must issue clear, accessible, and purpose-specific consent notices, ensuring individuals are fully informed about how their personal data is collected and used.
- **Regulation of Consent Managers and Institutional Accountability:** Consent Managers are required to be entities incorporated in India, strengthening regulatory oversight and accountability. Additionally, Data Fiduciaries must maintain transparency by providing accessible contact details, including those of designated officers or Data Protection Officers, while Significant Data Fiduciaries are subject to enhanced compliance obligations such as audits and impact assessments.
- **Personal Data Breach Notification Mechanism:** The Rules establish a structured and timely process for reporting personal data breaches. Data Fiduciaries must promptly notify affected individuals in clear and plain language, outlining the nature of the breach, its potential impact, remedial steps taken, and relevant contact details for assistance.
- **Strengthening Rights of Data Principals:** The framework reinforces the rights of individuals by enabling them to access, correct, update, or request the erasure of their personal data. It also allows them to nominate representatives to act on their behalf, with Data Fiduciaries required to respond to such requests within a prescribed period of ninety days.

4.4.2 Implications for Fleet and Aggregator Platforms

Cab aggregators and fleet operators that process the personal data of Indian users are classified as Data Fiduciaries under the Act. Entities operating at significant scale or handling sensitive data may additionally be designated as Significant Data Fiduciaries, thereby attracting enhanced compliance obligations.

- **Strong Security Safeguards:** Data Fiduciaries are required to implement robust technical measures such as encryption, masking, obfuscation, and tokenisation to safeguard personal data against unauthorised access and breaches.
- **Consent Management:** Verifiable and explicit consent must be obtained before collecting passenger information, including location data, payment details, and trip-related information.
- **Access Control Measures:** Strict access control mechanisms must be in place to ensure that only authorised personnel can access computer systems and sensitive personal data.
- **Monitoring, Logging, and Breach Detection:** Data Fiduciaries must maintain comprehensive monitoring systems and access logs to detect, investigate, and prevent unauthorised data access or security incidents in a timely manner.
- **Data Backup and Continuity Planning:** Appropriate data backup and continuity mechanisms must be implemented to maintain processing operations in cases where data confidentiality, integrity, or availability is compromised.
- **Accountability and Contractual Compliance:** Data Fiduciaries are responsible for ensuring that Data Processors comply with security obligations through contractual safeguards, along with technical and organisational measures such as maintaining logs and retaining relevant data (typically for one year) to support compliance and prevent repeat incidents.
- **Obligations in Case of a Data Breach:** Upon becoming aware of a personal data breach, the Data Fiduciary must promptly notify each affected Data Principal in a clear, concise, and easily understandable manner.

- **Individual Rights over Personal Data:** Individuals retain the right to access their personal data, request corrections or updates, and seek erasure in specific circumstances, reinforcing transparency and accountability.
- **Penalties for Non-Compliance:** Failure to implement reasonable security safeguards to prevent personal data breaches may attract penalties of up to INR 250 crore.

4.5 Competition and Antitrust Oversight

The Competition (Amendment) Act, 2023 introduces significant reforms to India's competition law regime by amending the Competition Act, 2002. The amendments are aimed at improving the efficiency and effectiveness of the Competition Commission of India (CCI). A key feature of the Act is the introduction of settlement and commitment mechanisms, which allow enterprises under investigation for certain anti-competitive practices to resolve matters expeditiously, thereby reducing prolonged litigation and encouraging voluntary compliance.

The Act also strengthens enforcement by permitting penalties for anti-competitive conduct to be calculated on the basis of global turnover, rather than being limited to Indian turnover, and by enhancing the maximum penalties for specific violations. It introduces a three-year limitation period for filing complaints to ensure timely regulatory action. Further, the amendments expand and clarify the scope of anti-competitive agreements, enhance the investigative powers of the CCI, impose stricter compliance obligations, and mandate greater transparency in regulatory rule-making.

4.5.1 Key changes made by the Competition (Amendment) Act, 2023

- **Settlement and Commitment Mechanisms Introduced:** New provisions (Sections 48A and 48B) allow enterprises under investigation for certain anti-competitive practices to apply for settlement or offer commitments, enabling faster and more flexible resolution of cases.
- **Expansion of Combination Thresholds and Definition of Control:** A new transaction value threshold (INR 2,000 crore) for merger notifications is introduced, in addition to existing asset and turnover thresholds. The definition of 'control' is broadened to include material influence over management or strategic decisions.
- **Reduction in Timelines for Combination Approvals:** The maximum time for the Competition Commission of India (CCI) to approve combinations is reduced from 210 days to 150 days, expediting the merger review process.
- **Stricter Penalty Provisions and Global Turnover Consideration:** Penalties for anti-competitive agreements and abuse of dominance can now be based on global turnover, not just Indian turnover. For cartels, penalties can be up to three times the profit or 10% of turnover, whichever is higher.
- **Time Limit for Filing Complaints:** A three-year limitation period is introduced for filing information or references with the CCI, with possible condonation for sufficient cause.
- **Enhanced Investigative Powers and Transparency:** The Director General's powers for investigation are expanded, including search, seizure, and examination of persons on oath. The CCI is required to ensure transparency in regulation-making, including publishing draft regulations for public comment.

4.5.2 Digital Competition Law (DCL)

The Digital Competition Law, proposed in 2024, is intended to regulate large digital enterprises operating in India, particularly those that exercise significant influence over core digital services. The proposed legislation seeks to complement the Competition Act, 2002 by introducing an ex-ante (preventive) regulatory framework, enabling the Competition Commission of India (CCI) to intervene before anti-competitive conduct materialises in digital markets. It is specifically designed to address conduct unique to digital platforms such as

self-preferencing, misuse of data, and anti-steering practices which are not effectively addressed under the existing ex-post (after-the-fact) competition law framework.

The Law Has Gained Momentum for the Following Reasons

- **Rapid Digitalisation:** India has over 759 million active internet users, with digital platforms playing a dominant role in sectors such as e-commerce, digital payments, and online services.
- **High Market Concentration:** A small number of large digital enterprises, often global technology firms, have acquired disproportionate market power, raising concerns around competition, innovation, and consumer choice.
- **Limitations of Existing Law:** The current Competition Act relies on ex-post enforcement and is often too slow to prevent irreversible market tipping in fast-evolving digital markets.
- **Stakeholder Feedback:** Repeated complaints from businesses, consumers, and industry bodies regarding unfair practices by major digital platforms have exposed regulatory gaps.
- **Global Regulatory Developments:** Similar ex-ante digital competition frameworks introduced or proposed in jurisdictions such as the EU, UK, and Australia have influenced India's policy approach.

Key Proposals under the Digital Competition Law

- **Ex-Ante Regulation for Large Digital Enterprises:** Introduce a new Digital Competition Act that proactively monitors and regulates the conduct of large digital enterprises (Systemically Significant Digital Enterprises, or SSDEs) in core digital services, supplementing the current ex-post Competition Act.
- **Scope and Applicability:** The law will apply to a pre-identified list of 'Core Digital Services' (e.g., search engines, app stores, e-commerce platforms) that are susceptible to concentration. The list can be updated by the government as markets evolve.
- **Designation of SSDEs:** Only enterprises with a 'significant presence', measured by financial strength (turnover, market cap, gross merchandise value) and user base will be regulated. Both quantitative and qualitative criteria will be used for designation, and group companies can also be included as Associate Digital Enterprises (ADEs).
- **Principle-Based Obligations:** The law will set out broad, principle-based ex-ante obligations for SSDEs and ADEs, such as prohibiting self-preferencing, anti-steering, unfair data use, and exclusive tie-ups.
- **Enforcement and Remedies:** The CCI will enforce the law, with strengthened technical capacity and a dedicated appellate bench for digital market cases. Penalties for non-compliance can reach up to 10% of global turnover. The law also provides for exemptions, differential obligations, and a transparent grievance redressal mechanism for affected parties.

Impact on the Fleet Industry

- **Competition (Amendment) Act, 2023 - Addressing Hub-and-Spoke Cartels (Ex-Post Approach)**

The Competition (Amendment) Act, 2023 strengthens India's competition law framework by explicitly recognising and addressing "hub-and-spoke" cartel arrangements under Section 3(3). Traditionally, establishing a cartel required proving a direct agreement between competing entities. However, this amendment expands liability to include entities that facilitate or coordinate such arrangements. As a result, even intermediaries or digital platforms can be held accountable if they actively participate in or intend to coordinate anti-competitive behaviour, such as algorithm-driven price-setting among independent service providers. This reform enables regulatory authorities to act against anti-competitive practices after they have occurred.

- **Proposed Digital Competition Law - Regulating Gatekeepers (Ex-Ante Approach)**

The proposed Digital Competition Bill adopts a preventive; ex-ante approach aimed at curbing anti-competitive conduct before it arises. It introduces the concept of Systemically Significant Digital Enterprises (SSDEs), which are large digital platforms identified based on user base and revenue thresholds. Once designated, these entities are subject to strict regulatory obligations, including prohibitions on self-preferencing, bundling of services, and misuse of user or business data to restrict competition. The objective is to ensure fair market conditions by proactively limiting the market power of dominant digital platforms.

Fleet aggregators hold billions of data points on city traffic, driver behaviour, and commuter paths. Under the proposed Digital Competition Bill, if an aggregator uses this exclusive data to boost its other AI-driven businesses (like logistics or quick commerce) while denying access to external developers, it violates ex-ante fair-access rules.

4.6 Vehicle Scrappage Policy

The Ministry of Road Transport and Highways introduced the Voluntary Vehicle Modernization Programme, popularly known as the Vehicle Scrappage Policy, in 2021 with the objective of systematically phasing out unfit and highly polluting vehicles across India. The policy seeks to establish a structured scrappage ecosystem through a nationwide network of Registered Vehicle Scrapping Facilities (RVSFs) and Automated Testing Stations (ATSS) to ensure the safe, transparent, and efficient disposal of end-of-life vehicles. By incentivising the replacement of older vehicles with newer, cleaner alternatives, the initiative aims to enhance road safety, reduce vehicular emissions, and improve overall fleet efficiency.

To support the programme, commercial and passenger vehicle manufacturers have extended purchase discounts against a Certificate of Deposit (Scrappage Certificate) for a limited period—two years for commercial vehicles and one year for passenger vehicles. This public-private collaboration encourages vehicle owners to scrap ageing vehicles and invest in newer models, thereby accelerating fleet modernisation and advancing circular economy principles. As of 30 January 2026, a total of 129 RVSFs are operational across 21 States and Union Territories, and approximately 4,30,306 vehicles have been scrapped under the policy.

Further strengthening the initiative, the Ministry of Finance, under the Special Assistance to States for Capital Investment Scheme (2025-26), has allocated INR 2,000 crore to incentivise vehicle scrapping on a first-come, first-served basis. The scheme provides lump-sum incentives ranging from INR 10 crore to INR 200 crore for States and Union Territories offering additional motor vehicle tax concessions. It also includes graded incentives for scrapping government vehicles older than 15 years, ranging from INR 50,000 to INR 1,50,000 per vehicle, and for non-government vehicles, ranging from INR 5,000 to INR 20,000 per vehicle, depending on scrapping volumes. Additionally, incentives between INR 5 crore and INR 9 crore are available for setting up Automated Testing Stations, along with supplementary benefits for timely operationalisation. Collectively, these measures aim to deepen the scrappage ecosystem, expand supporting infrastructure, and facilitate the transition to cleaner and more efficient transport systems.

Incentives for Vehicle Scrapping at Registered Vehicle Scrapping Facilities (RVSF)

- **Waiver of Registration Fees:** As per GSR 714 (E) dated 4 October 2021, no fee is charged for issuing a certificate of registration when a new vehicle is registered using a Certificate of Deposit obtained from scrapping an old vehicle.
- **Concession in Motor Vehicle Tax:** In accordance with GSR 720 (E) dated 5 October 2021, a concession in motor vehicle tax is provided for vehicles registered against a Certificate of Deposit. The concession is up to 25 percent for non-transport vehicles and up to 15 percent for transport vehicles. This benefit is available for up to eight years for transport vehicles and up to fifteen years for non-transport vehicles.
- **Enhanced Tax Concession for Older Emission Norm Vehicles:** As per GSR 200 (E) dated 26 March 2025, a higher motor vehicle tax concession of up to 50 percent is available for vehicles scrapped under older emission standards. This applies to all transport and non-transport vehicles manufactured under Bharat Stage I norms or earlier, as well as all medium and heavy goods and passenger vehicles manufactured under Bharat Stage II norms.

Environmental and Economic Benefits of Vehicle Recycling and Scrapping

- **Environmentally Responsible Disposal:** Scrapping of unfit and old vehicles is carried out in an environmentally sound manner at Registered Vehicle Scrapping Facilities in accordance with government guidelines, ensuring safe handling of hazardous materials and reduced environmental damage.
- **Promotion of Circular Economy:** Vehicle scrapping supports the circular economy by increasing the availability of low-cost raw materials such as steel, copper, aluminium, and rubber, which can be reused across industries including automotive, steel, and electronics.
- **Adoption of Cleaner and Efficient Vehicles:** The scrapping process encourages the replacement of outdated vehicles with modern, fuel efficient, and cleaner alternatives including electric and hybrid vehicles. Newer vehicles comply with stricter emission standards such as BS VI, making them significantly less polluting compared to older vehicles.

5. Company Overview

Mann Fleet Partners Limited

Mann Fleet Partners Limited provides a wide range of mobility solutions across India, spanning economy, premium, luxury and transportation segments. The company also specializes in delivering tailored mobility solutions for global dignitaries, celebrities, international conferences, and large-scale events. To support its extensive operations, the company maintains a substantial fleet of luxury cars, vans and coaches, enabling it to efficiently cater to diverse customer requirements across its service offerings.

Mann Fleet Partners has established a strategic integration with Noida International Airport (NIA), as the official ground mobility partner at India's largest upcoming aviation hub. This partnership grants rights to operate rental cars, intra-terminal shuttles, and city connectivity services, ensuring a dominant presence in passenger mobility. With NIA projected to handle 12 million passengers in Phase 1 and scaling up to 70 million at full capacity, the collaboration represents a significant growth opportunity. The association with Zurich Airport International AG further enhances Mann Fleet's brand credibility on a global scale, while the airport's alignment with the Yamuna Expressway smart city and logistics hubs creates strong synergies for future expansion.

Service segments

Corporate Car Rental (CCR): Corporate Car Rental (Chauffeur-driven) services cater to the needs of corporate clients and their employees, offering professional drivers for transportation purposes such as airport transfers, corporate events, conferences and exhibitions, outstation trips and hourly rentals. A wide range of vehicle options, from economy to luxury, ensures that diverse transportation requirements are met effectively.

Retail Car Rental (RCR): Retail Car Rental (Chauffeur-driven) refers to B2B car rentals for various purposes, including airport transfers, leisure events, and for hourly requirements. Vehicle options range from economy to luxury and from cars to vans, meeting diverse individual transportation needs.

6. Competitive Landscape

6.1 Company profiling and benchmarking

1. Mann Fleet Partners Limited (Established in 1992)

Mann Fleet Partners Limited is engaged in providing economy, premium, and luxury mobility solutions across India. The company caters to corporate clients, government institutions, event management companies, travel operators, and individual customers through chauffeur-driven transportation services. Its service portfolio includes long-term and short-term rentals, employee transportation, corporate mobility solutions, conventions and exhibitions, high-profile delegations, sporting events, weddings, entertainment projects, tourism-related transportation, and specialized mobility solutions for global leaders, celebrities, international conferences, and large-scale events.

2. ECOS (India) Mobility & Hospitality Limited (Established in 1996)

ECOS (India) Mobility & Hospitality Limited is a chauffeur-driven mobility service provider primarily focused on corporate transportation requirements. The company operates in the chauffeured car rental and employee transportation services segments and serves multinational corporations, Fortune 500 companies, travel and tourism operators, hotels, and government organizations through an extensive operating network. Its service offerings include corporate travel solutions, employee transportation services, conference and delegation transportation, event mobility solutions, hotel travel desk operations, wedding transportation, and self-drive vehicle rentals.

3. Avis India Mobility Solutions Private Limited (Established in 1995)

Avis India Mobility Solutions Private Limited operates under the globally recognized Avis brand and provides a comprehensive range of mobility solutions across India. The company offers chauffeur-driven transportation, self-drive rentals, vehicle leasing, fleet management services, and airport mobility solutions catering to corporate

customers, business travellers, multinational companies, and leisure travellers. As part of the Oberoi Group's mobility services business, Avis India focuses on delivering technology-enabled mobility solutions and customer-centric mobility solution through a combination of short-term rentals, long-term leasing arrangements, and customized transportation services.

4. ORIX Auto Infrastructure Services Limited (Established in 1995)

ORIX Auto Infrastructure Services Limited, a subsidiary of ORIX Corporation, provides integrated mobility, leasing, and fleet management solutions in India. ORIX Corporation is a Japan-headquartered diversified financial services group engaged in leasing, financing, investment, asset management, banking, insurance, and infrastructure-related businesses across multiple countries. The company serves both corporate and retail customers through vehicle leasing, business transportation services, employee mobility solutions, fleet outsourcing, and self-drive mobility offerings. In addition to transportation services, ORIX provides fleet lifecycle management and mobility solutions serving customers across a diverse range of industries.

5. KTC India Limited

K.T.C. (India) Limited is engaged in providing premium and luxury ground transportation services across India. The company offers chauffeur-driven mobility solutions through a fleet of luxury cars, executive vehicles, SUVs, and coaches catering to corporate clients, government institutions, travel operators, hotels, airlines, and individual customers. Its service portfolio includes VIP delegation transportation, airport transfers, employee transportation services, conferences and events mobility, wedding transportation, long-term vehicle leasing, airline crew transportation, hotel travel desk operations, and customized tour solutions. The company has developed capabilities in handling high-profile state visits, diplomatic delegations, and hospitality-related transportation requirements.

6.2 Financial benchmarking of key peers in the sector

Table: Financial benchmarking of key peer companies for the December 31, 2025
Comparison with industry peers

For the period ending December 31, 2025					
Particulars	Mann Fleet Partners*	ECOS Mobility	Avis India	KTC	Orix Auto
Revenue from Operations (₹ in Lakhs)	8,968.70	58,205.60	NA	NA	NA
Growth in Revenue from Operations (%)	NA	NA	NA	NA	NA
OPBDIT (₹ in Lakhs)	4,766.70	6,875.20	NA	NA	NA
OPBDIT Margin (%)	53.15%	11.81%	NA	NA	NA
Profit After Tax (₹ in Lakhs)	2,042.59	4,122.40	NA	NA	NA
PAT Margin (%)	22.34%	6.99%	NA	NA	NA
RoE (%)	NA	NA	NA	NA	NA
RoCE (%)	NA	NA	NA	NA	NA
Debt to Equity Ratio	0.84	NA	NA	NA	NA

Source: Company filing (Standalone financial statement), ICRA Analytics

NA: Not Available

*Consolidated financial statements have been considered in the analysis due to the non-availability of standalone financial statements.

Note: OPBDIT Margin, PAT Margin, RoCE, RoE are calculated basis formula mentioned below (considering different ways to compute the same) to ensure consistency of calculation methodology across the years and availability of data.

Table: Financial benchmarking of key peer companies for the Financial Year 2025
Comparison with industry peers

For the period ending March 31, 2025					
Particulars	Mann Fleet Partners	ECOS Mobility	Avis India	KTC	Orix Auto
Revenue from Operations (₹ in Lakhs)	9,527.05	62,643.00	NA	NA	NA

For the period ending March 31, 2025					
Particulars	Mann Fleet Partners	ECOS Mobility	Avis India	KTC	Orix Auto
Growth in Revenue from Operations (%)	-28.42%	17.13%	NA	NA	NA
OPBDIT (₹ in Lakhs)	4,767.52	8,938.30	NA	NA	NA
OPBDIT Margin (%)	50.04%	14.27%	NA	NA	NA
Profit After Tax (₹ in Lakhs)	1,863.99	5,780.10	NA	NA	NA
PAT Margin (%)	18.69%	9.08%	NA	NA	NA
RoE (%)	24.99%	29.45%	NA	NA	NA
RoCE (%)	26.00%	37.13%	NA	NA	NA
Debt to Equity Ratio	1.01	0.53	NA	NA	NA

Source: Company filing (Standalone financial statement), ICRA Analytics

NA: Not Available

Note: OPBDIT Margin, PAT Margin, RoCE, RoE are calculated basis formula mentioned below (considering different ways to compute the same) to ensure consistency of calculation methodology across the years and availability of data.

Table: Financial benchmarking of key peer companies for the Financial Year 2024
Comparison with industry peers

For the period ending March 31, 2024					
Particulars	Mann Fleet Partners	ECOS Mobility	Avis India	KTC	Orix Auto*
Revenue from Operations (₹ in Lakhs)	13,310.16	53,481.57	41,044.00	25,371.47	1,40,911.00
Growth in Revenue from Operations (%)	134.68%	29.45%	11.55%	64.52%	36.09%
OPBDIT (₹ in Lakhs)	7,184.43	8,815.86	19,739.00	5,143.73	76,344.00
OPBDIT Margin (%)	53.98%	16.48%	48.09%	20.27%	54.18%
Profit After Tax (₹ in Lakhs)	4,464.67	6,107.92	5,757.76	2,732.79	10,409.00
PAT Margin (%)	33.27%	11.14%	13.31%	10.72%	6.98%
RoE (%)	107.78%	42.18%	33.49%	144.49%	12.50%
RoCE (%)	87.60%	50.70%	27.13%	74.56%	15.86%
Debt to Equity Ratio	1.34	0.65	2.49	3.00	5.72

Source: Company filing (Standalone financial statement), ICRA Analytics

NA: Not Available

*Consolidated financial statements have been considered in the analysis due to the non-availability of standalone financial statements.

Note: OPBDIT Margin, PAT Margin, RoCE, RoE are calculated basis formula mentioned below (considering different ways to compute the same) to ensure consistency of calculation methodology across the years and availability of data.

Table: Financial benchmarking of key peer companies for the Financial Year 2023
Comparison with industry peers

For the period ending March 31, 2023					
Particulars	Mann Fleet Partners	ECOS Mobility	Avis India	KTC	Orix Auto*
Revenue from Operations (₹ in Lakhs)	5,671.71	41,313.45	36,793.25	15,421.40	1,03,546.00
Growth in Revenue from Operations (%)	NA	188.10%	69.21%	209.79%	38.04%
OPBDIT (₹ in Lakhs)	1,868.77	6,624.94	16,630.52	2,162.20	48,417.00
OPBDIT Margin (%)	32.95%	16.04%	45.20%	14.02%	46.76%
Profit After Tax (₹ in Lakhs)	875.72	4,165.46	3,899.08	589.98	3,368.00
PAT Margin (%)	15.02%	10.01%	10.27%	3.84%	3.11%
RoE (%)	NA	44.52%	31.49%	256.57%	4.40%
RoCE (%)	NA	54.73%	25.10%	48.08%	11.45%
Debt to Equity Ratio	1.88	1.00	3.15	17.62	4.88

Source: Company filing (Standalone financial statement), ICRA Analytics

NA: Not Available

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Note: OPBDIT Margin, PAT Margin, RoCE, RoE are calculated basis formula mentioned below (considering different ways to compute the same) to ensure consistency of calculation methodology across the years and availability of data.



Table: List of Formulas used for the key peer comparison

Sr. No.	KPI	Formula
1	Revenue from Operations (₹ in Lakhs)	Revenue from operations as per Financial Statements.
2	Growth in Revenue from Operations (%)	Growth in revenue from operations is current period value less previous period value divided by previous period value.
3	OPBDIT (₹ in Lakhs)	OPBDIT refers to Revenue from operation less total expenses add interest, depreciation & amortisation
4	OPBDIT Margin (%)	OPBDIT Margin refers to OPBDIT during a given period as a percentage of revenue from operations during that period.
5	Profit After Tax (₹ in Lakhs)	Profit After Tax as per Financial Statements.
6	PAT Margin (%)	PAT Margin refers to PAT during a given period as a percentage of Total income during that period.
7	RoE (%)	Return on equity (RoE) is equal to Net profit after taxes divided by average shareholder's equity
8	RoCE (%)	Return on Capital Employed (RoCE) (%) is calculated as profit before tax plus finance costs divided by average of sum of total equity and non-current borrowings
9	Debt to Equity Ratio	Debt-to-Equity ratio is calculated as total liability divided by total equity.

Source: Company filing, ICRA Analytics



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